

“appropriate redactions” to the *ex parte* transcripts). Given the deadline ordered by the Court, the Special Master will confer with the Venezuela Parties and other applicable parties with respect to whether they require certain redactions of their respective confidential information contained in the versions of certain transcripts attached hereto to be maintained.

Respectfully submitted,

POTTER ANDERSON & CORROON LLP

OF COUNSEL:

Matthew S. Barr (Admitted *pro hac vice*)
David Lender (Admitted *pro hac vice*)
Jared R. Friedmann (Admitted *pro hac vice*)
Chase A. Bentley (Admitted *pro hac vice*)
WEIL, GOTSHAL & MANGES LLP
767 Fifth Avenue
New York, New York 10153
Telephone: (212) 310-8000
Facsimile: (212) 310-8007
Matt.Barr@weil.com
David.Lender@weil.com
Jared.Friedmann@weil.com
Chase.Bentley@weil.com

By: /s/ Myron T. Steele

Myron T. Steele (#00002)
Matthew F. Davis (#4696)
Bindu A. Palapura (#5370)
Malisa C. Dang (#7187)
Hercules Plaza, 6th Floor
1313 North Market Street
P.O. Box 951
Wilmington, DE 19801
Telephone: (302) 984-6000
Facsimile: (302) 658-1192
msteele@potteranderson.com
mdavis@potteranderson.com
bpalapura@potteranderson.com
mdang@potteranderson.com

Dated: October 19, 2025
12520240 / 21202.00001

Counsel for Special Master Robert B. Pincus

Exhibit A

Transcript of July 27, 2023 *Ex Parte* Meeting of the Court and the Special Master

Page 1

* * * HIGHLY CONFIDENTIAL * * *
IN THE UNITED STATES DISTRICT COURT
FOR THE DISTRICT OF DELAWARE

CRYSTALLEX)
INTERNATIONAL)
CORPORATION,)
Plaintiff,)
v.) Misc. No. 17-151-LPS
BOLIVARIAN REPUBLIC)
OF VENEZUELA,)
Defendant.)
-----)

HIGHLY CONFIDENTIAL
SPECIAL MASTER EX PARTE MEETING
July 27, 2023
12:00 PM

APPEARANCES:

Robert B. Pincus, Special Master

WEIL, GOTSHAL & MANGES LLP
767 Fifth Avenue
New York, New York 10153
Ray C. Schrock, Esq.
Alexander W. Welch, Esq
Chase A. Bentley, Esq.
Mike Aiello, Esq.
Eoghan Keenan, Esq.

Ray Strong, Senior Managing Director,
Evercore, Houston
David Ying, Senior Managing Director
Evercore, New York

1 * * * HIGHLY CONFIDENTIAL * * *

2 JUDGE STARK: Good afternoon.

3 MR. SCHROCK: Good afternoon,
4 Judge.

5 JUDGE STARK: Hopefully you all
6 can hear us.

7 MR. SCHROCK: Yes, we can, Judge.

8 MR. PINCUS: Thanks for making
9 the time today. We very much
10 appreciate it.

11 JUDGE STARK: Sure. I may say a
12 few things at the beginning but you
13 can say a few things even before the
14 beginning if you like, Bob.

15 MR. PINCUS: Well, just to
16 introduce the participants on the Zoom
17 today, I have the Weil restructuring
18 team that you know, Ray Schrock, Alex
19 Welsh and Chase Bentley. The Weil M&A
20 team who just got involved in this,
21 Mike Aiello and Eoghan Keenan, and the
22 Evercore Group, David Ying and Ray
23 Strong with me today.

24 JUDGE STARK: Welcome to those of
25 you who are new and welcome back to

1 * * * HIGHLY CONFIDENTIAL * * *

2 those of you who have been with us for
3 some time.

4 Is there anyone else you want to
5 introduce?

6 MR. PINCUS: Oh, I'm sorry,
7 Sandra Bartels is the court reporter
8 that is taking the transcript of this
9 call.

10 JUDGE STARK: Right. And welcome
11 to you as well.

12 I'm sure she understands this
13 transcript is going to be a sealed
14 transcript, just be provided to the
15 Special Master, Mr. Pincus, and we
16 will keep it under seal until further
17 order of the Court.

18 So for those of you who don't
19 know, I'm Judge Stark and I'm joined
20 today by two of my law clerks, Alyssa
21 (inaudible), you may have met in court
22 with me before, and Reed is a former
23 district court and Third Circuit clerk
24 and not really working on our case but
25 is interested and a valuable resource.

* * * HIGHLY CONFIDENTIAL * * *

This being the first of what I envision as basically monthly ex parte meetings, I just wanted to say a few things for the record even though, again, we don't know if anybody other than us is ever going to see these transcripts but I'm glad that we're going to have at least this first one and I do want, when I turn it back to you in a minute, Bob, want to start by talking about whether or not you have any concerns about having a court reporter present with us at future discussions on the same terms. But I do want to note, as you all know, by this time by tomorrow I will forget, earlier today I issued a memorandum order which addressed some of the open issues with priority disputes, and to expenses, reimbursement, if there are additional judgment creditors, I just wanted to put it on the record for whatever it may turn out to mean. I made those decisions and entered that

1 * * * HIGHLY CONFIDENTIAL * * *

2 opinion hours before this meeting. I

3 had no substantive contact with

4 anybody, the Special Master or any of

5 his team. That includes that he sent

6 to us a couple days ago I think what

7 seem to be some materials that we are

8 going to talk through in the course of

9 today's meeting, a slide deck.

10 Although I had that slide deck, I did

11 not look at it prior to putting the

12 opinion out earlier today.

13 Also, I worked with Alyssa this

14 morning after we issued the order to

15 write an e-mail to Mr. Pincus, Special

16 Master, which I was going to have her

17 read quickly into our record. Go

18 ahead.

19 MS. CLERK: Mr. Pincus, as you

20 have seen, we just docketed a lengthy

21 memorandum order resolving many of the

22 additional judgement, priority and

23 expenses issues. If your team wants

24 more time to read through it, we are

25 available to push today's meeting back

* * * HIGHLY CONFIDENTIAL * * *

1 later in the afternoon, if you would
2 like. We are also fine to go forward
3 at noon. Judge Stark does not expect
4 to be discussing today's order with
5 you during the meeting. Also, he would
6 like to start the discussion by
7 finding out if your team has any
8 remaining concern about having court
9 reporters present for our meeting to
10 take down our confidential ex parte
11 transcripts and suggesting that we
12 plan to avoid discussing open issues
13 that are being litigated, or which
14 foreseeably could be litigated. We
15 will be ready to proceed at noon today
16 unless you get back to me to ask that
17 we delay until some time later today.
18 We look forward to talking to you.

19 JUDGE STARK: Thank you, Alyssa.
20 And then I think we got a response
21 that I think indicated you don't have
22 concern any longer about having a
23 court reporter on these terms but why
24 don't you address that to the extent
25

1 * * * HIGHLY CONFIDENTIAL * * *

2 you want to before we go forward.

3 MR. PINCUS: I think that is our
4 point here, we don't have concerns
5 about having a reporter and we
6 understand that we are not going to be
7 talking about open issues or those
8 that could be subject to litigation.

9 JUDGE STARK: Well, then you
10 anticipated my next question, which is
11 in the e-mail. So we'll do our best
12 to avoid -- this it not meant to be a
13 substitute for the litigation but
14 happily for this moment I feel like I
15 resolved most of the issues that were
16 pending and inevitably I expect there
17 will be more. And talking about those
18 is really not the propose of these
19 meeting.

20 So that was all I wanted to do in
21 the beginning so I'll turn it back
22 over to you guys.

23 MR. PINCUS: As you know, we
24 submitted to you a draft agenda and if
25 you are okay with us proceeding on it

* * * HIGHLY CONFIDENTIAL * * *

it we will do so. If not, if you'd like to talk about anything else first or in a different order, please let us know.

JUDGE STARK: Right, that was part of the slide deck you sent and I'm happy to proceed in that manner. So go right ahead when you're ready.

MR. PINCUS: Great. I'm going to turn this over to Ray in a second but what I wanted to add here is that we have spent some time coming up with a proposed timetable in that material. It is intended to keep the pressure on the Venezuela Parties to cooperate with us throughout the process because as you know the process only works with their cooperation. It's also intended to sort of give us an early signal if that's not going to be the case so that we could then talk to you about where we are going but this is really going to have to be a very cooperative process in order to get

1 * * * HIGHLY CONFIDENTIAL * * *

2 this done and as set forth in the

3 timeline we have a number of dates

4 where information is required, et

5 cetera, so it will give us a signal

6 early. And I just wanted to add that.

7 And other than that, I want to turn

8 this over to Ray Schrock. So thank

9 you very much.

10 JUDGE STARK: Sure. Thank you.

11 MR. SCHROCK: Thanks very much,

12 Bob. Just for the court reporter's

13 benefit, it's Ray Schrock with Weil

14 Gotshal.

15 Can you hear me okay, Judge?

16 JUDGE STARK: We can hear you

17 perfectly fine, thank you.

18 MR. SCHROCK: Great. Thank you.

19 And hopefully -- we do have the

20 document up on share screen. I don't

21 know if you guys see it or need it,

22 given your setup in the room, Judge.

23 JUDGE STARK: Both. We have hard

24 copies and we can see it, so whatever

25 you prefer.

* * * HIGHLY CONFIDENTIAL * * *

MR. SCHROCK: Well, we'll just follow along in that order. This is intended to be an update for The Court, just what we've been doing and, frankly, where we're heading from here, and please feel free to interrupt us and ask questions where you have them and we are just going to take it step by step as to where we are going.

The agenda set forth on the page, I think that we'll spend the majority of time talking with you about what we are going to be doing over the coming weeks and how we see this process unfolding. It is a little bit -- many things about this situation are unusual, including that we're going to have to get the cooperation of CITGO and the Venezuela Parties in order to sell this asset. I think that we've accounted for everything we need in terms of getting that cooperation but of course one of the things that I

* * * HIGHLY CONFIDENTIAL * * *

think we'll be using the status reports for is if we are having trouble in any particular regard we can certainly note that in the some form but there's procedures that are outlined in the sale procedures order for getting cooperation. We hope it won't ever be necessary but we've already begun the outreach to the Venezuela Parties.

So just briefly, following the June 26th hearing the Special Master and his advisors thought it would be appropriate to start preliminary organizational work streams to ensure that upon the issuance of Your Honor's July opinion, should you decide to move forward with the presentation launch date, which you did, we'd be ready to hit the ground running. Those activities included internal discussions regarding diligence strategy, preparation of the initial letter to the Venezuela Parties, which

* * * HIGHLY CONFIDENTIAL * * *

is attached to today's materials at Appendix B, and really just preparing and getting organized for diligence. We've held a few strategy calls to discuss the scope and timeline of diligence activities, particularly in light of the special scenario that we've talked about in this process, and we tried to design initial materials to be as close as possible to an ordinary course sale process while recognizing this is a Court forced sale, which necessarily requires a longer timeline for most of the steps in this process.

We've prepared a tentative prelaunch timeline that we are going to walk through at Appendix A to the deck. We've not yet shared this timeline with the Venezuela Parties or CITGO management as we wanted to just run through it briefly with Your Honor, but it's not a secret and we certainly intend to share this

* * * HIGHLY CONFIDENTIAL * * *

1 * * * HIGHLY CONFIDENTIAL * * *

2 timeline with the Venezuela Parties

3 because we think having a frank and

4 open dialogue about how this is going

5 to proceed and getting a cadence of

6 calls and a rhythm with their team is

7 going to be critical to having some

8 cooperation moving forward.

9 So maybe, Chase, if we can flip

10 over to the timeline and just allow

11 the other Ray on this matter, it's Ray

12 Strong, Your Honor, from Evercore,

13 leads Evercore's energy practice to

14 talk about some of the key dates on

15 this timeline.

16 JUDGE STARK: I'm sure that never

17 leads to any confusion between the two

18 of you, right?

19 MR. SCHROCK: It's both Ray S, of

20 course, too.

21 MR. STRONG: Exactly. We can say

22 Ray S and it still causes confusion.

23 So it's Ray Strong from Evercore

24 speaking. I appreciate the time

25 today.

* * * HIGHLY CONFIDENTIAL * * *

And, Judge, we'd love this to be a little bit of an open dialogue. Given the sale process, we have got a prep launch date of July 24th and then a launch date of October 23rd. What happens in between? And so we wanted to provide a timeline on our thoughts on what could be a schedule to make this happen. And as we look at this timeframe, as you look at the rows down the Y-axis, if you will, we divide that into three buckets. The first of the first three rows, and I'll get into these in more detail, but is organization under our collective control here. The second is diligence, and that's rows about four through nine, which is going to be very interactive. And then the last number of rows are sort of the finalization of a CIM, confidential information memorandum, and kind of sharing that and getting really ready to go live.

* * * HIGHLY CONFIDENTIAL * * *

So as we walk through this, please interrupt, ask questions if something is not clear. And before I jump into that, and some of the things we'll talk about a little bit later, we've received a bunch of inbounds, and we'll talk about that later, but the questions from the inbounds have been really three: What is the balance sheet, how clean is it, all the creditors, number one; number two, what is the ask here, what is it that you are really selling; and number three, what's the process. Those have been the main questions coming in.

JUDGE STARK: Let me interrupt you because I think you've already used a term I want to make sure I understand. Inbounds. Is that potential bidders, people that may be interested in buying this asset?

MR. STRONG: So we received eight calls. These are parties that are interested in the process. Some have

* * * HIGHLY CONFIDENTIAL * * *

1 said I'm directly interested in
2 potentially buying the asset, others
3 have said I'm interested to see what
4 happens here because I may be
5 interested in parts or I may be
6 interested in parts of the balance
7 sheet. These parties -- so the answer
8 is yes, interested parties. Interested
9 in what, is a little bit nuanced.
10 These are large cap oil and refining
11 companies, these are trading houses
12 and private equity, and these are
13 bankers and lawyers.

14 JUDGE STARK: I promise I'm not
15 holding anybody to predictions, but
16 are you surprised? Would you have
17 expected zero? Would you have
18 expected eight? Would you have
19 expected a hundred of these inbounds
20 by this point?

21 MR. STRONG: Given the public
22 nature of this and what people have
23 seen, frankly I would have expected a
24 little bit more than eight.
25

1 * * * HIGHLY CONFIDENTIAL * * *

2 JUDGE STARK: Okay. Thank you.

3 MR. STRONG: So in answering the
4 questions on process -- and we've kind
5 of kicked the can down the road on
6 those inbounds, we've only mentioned
7 what has been publicly stated in the
8 sales process order.

9 So if we look at the timeline
10 now, again, the first three rows, a
11 little bit organizational, it is
12 kick-off, get a letter sent to
13 Venezuela, put together a diligence
14 list, put together a working group
15 list. These are all things that are
16 under our collective control and
17 things we can do and things we've
18 already started. That's pretty easy.

19 The next bucket is really the
20 critical path area and that is the
21 diligence, the interaction with
22 management, with PDVSA, with us gather
23 data so we can put a CIM, confidential
24 information memoranda, together with
25 projections and really understand what

* * * HIGHLY CONFIDENTIAL * * *

is the business model here, what's the capital expenditures, the growth, the cash flow potential of the assets, and all the liabilities that come with it. That we do not know right now and we need help. So this is -- and we'll be guided by, first the diligence request that we sent, and then we would envision multiple conversations with management to get our full team up to speed. There are two procedural orders in there, one is the 10-days discussion with PDVSA regarding minority shareholders, and the other is the additional judgement creditors coming into the Special Master. And Ray Schrock and team, I'll kick it over to you on those two items and then I can pick up a little bit on diligence and sort of the timing of putting everything together.

MR. SCHROCK: Thanks. Again, it's Ray Schrock. So by August 7th the Special Master and PDVSA must meet

1 * * * HIGHLY CONFIDENTIAL * * *

2 and confer regarding potential

3 minority shareholder governance

4 rights. I expect that -- we hope to

5 hold this initial meeting with CITGO

6 management on this date to -- by not

7 later than this date, to really start

8 discussing diligence, talk initially

9 about minority shareholder rights. I

10 think we have guarded expectations as

11 to what to expect from that first

12 meeting. I think it's going to be the

13 first of several discussions around

14 this topic. It's kind of hard to tell,

15 you know, they are certainly from

16 CITGO's and from PDVSA's perspective

17 they are going to have to start

18 thinking about things, you know, if I

19 am a minority shareholder what kind of

20 rights do I want? If I'm a majority

21 shareholder kind of rights do I want?

22 But I expect it will be in iterative

23 discussion, Your Honor, that would

24 start and kick off officially on

25 August 7th.

* * * HIGHLY CONFIDENTIAL * * *

JUDGE STARK: Just to be clear, as I understand it, the discussions will include both if the bidder is going to take a minority position as well as if the current owners are going to end up in a minority position because none of us know how that will play out.

MR. SCHROCK: That's exactly correct, Your Honor. So I think that given that perspective, they'll have to be very thoughtful about what kind of positions they want to take on each because it could end up either way.

And by August 14th the potential additional judgement creditors have to provide to the Special Master with statements regarding judgement amounts. In that regard, Your Honor, we've received informal inquiries from a couple of those parties just asking for the relevant information that they should provide. We are conferring internally just about providing just

* * * HIGHLY CONFIDENTIAL * * *

kind of a uniform set of information so that they can fill it out and, frankly, provide it to the court and other parties but that's still an ongoing process.

And then finally, by October 16th, which is seven calendar days prior to the launch date, the Special Master has to share a draft of the teaser and the CIM, as we call it, confidential information memorandum with counsel to the sale process parties and have a meet and confer with the sale process parties. And I know we are not talking about Your Honor's recent memorandum opinion but we do note that there is a joint status report that will be provided by August 24th as well and so we'll make sure we are attending to those matters as well.

Ray Strong, back to you.

MR. STRONG: Let's go back into the middle part of the page there,

* * * HIGHLY CONFIDENTIAL * * *

particularly where we see responses to DRL, which is diligence request list from CITGO management. So normal process, we provide a diligence list over, they work on material, get us information into a VDR, we have a conversation, we understand that, we digest that, we have further questions and understand their model and projections. Again, this is the critical path area where in a normal course we'd have, I don't know, two, three, four weeks of diligence around that and we've got a big team on this so our team can put together a CIM in two weeks. We provided a little bit of cushion there in this timeline but, again, this is the kind of back and forth. So receive response to DRL, additional diligence between Evercore, Weil, CITGO management, and prepare detailed financial model teaser CIM top priority VDR documents. That block that is from roughly August 7th

* * * HIGHLY CONFIDENTIAL * * *

through September 11th, that really is our critical area where it's back and forth and us getting the information that we need and putting it together. Throughout that, we'd be reporting to the Special Master. We've got one of the timeline things in there on the 21st, initial findings, my guess is we'll be doing that almost weekly with the Special Master on progress. And then on the back end of this as we move down the page, we would parallel, figure out our outreach list which would be the potentially interested parties. Those obviously would include the inbounds that we've received, the calls we received from various parties, plus a number of other parties that we've started to put together a potentially list on, and then we envision being proactive and maybe having some initial calls, informal, to educate folks on how this process is going.

* * * HIGHLY CONFIDENTIAL * * *

So, if you look at this timeline in a little bit of a different fashion now from the time -- so the X-axis on top, look at the columns, the first three columns over the next few weeks, again a little bit in our control, we get the letter over, we get the diligence list over, we say here's our working group list, let's establish the organization of this.

The second bucket is from call it August 7th through September 11th roughly, is this diligence phase to get our information and then it's all putting it all together, September 11th column all the way to October 23rd.

Folks, September 11th to October 23rd, frankly, is our cushion. We got a little bit of cushion there to work on that. In a normal process we'd be tightened up on this and have a CIM ready to go by mid September. The good news is, by design by this collective

* * * HIGHLY CONFIDENTIAL * * *

group, we have that launch date, October 23rd, to provide that cushion in there, timing cushion, for what might be delays or might be more complicated in getting information, but we are hopeful that that flex allows us to get everything we need and to go live so that we can share, as Ray Schrock mentioned, share that draft teaser and CIM on that sort of October 9th week and then go live to hit the launch date of October 23rd.

Let me pause there for any questions. I know we walked through that fairly quickly. But any questions? We tried to put into the buckets as to how we kind of operate and manage this. Any questions on that or do you want to go into any detail?

JUDGE STARK: I think my only question is I just want to say back to you what I'm hearing and you tell me if I got this right. Of course I come

1 * * * HIGHLY CONFIDENTIAL * * *

2 at this with a litigator's mind, for
3 better or worse.

4 If we are going to have trouble,
5 if this is going to fall apart or get
6 a rocky start, we are going to know
7 that between August 7th and September
8 11th most likely. But even then,
9 there is some cushion so that if I
10 need to resolve problems we may still
11 be able to hit our launch date if you
12 identify problems quickly enough and I
13 can address them quickly enough; does
14 that sound right?

15 MR. STRONG: That is fair,
16 correct.

17 MR. SCHROCK: Your Honor, it's
18 Ray Schrock again. I think also once
19 we share this timeline with CITGO and
20 with the Venezuela Parties, if there
21 are things that adjust or they say,
22 listen, it's going to take longer
23 given that one part or the other,
24 we'll update this, of course, and
25 we'll try and make sure that we are

* * * HIGHLY CONFIDENTIAL * * *

communicating and getting their cooperation and frankly we need their buy-in to a certain degree, I think ideally to, you know, that this is at least realistic in terms of putting together these materials. We did have some preliminary conversations when we were first involved in putting together the sale procedures order so we know a little bit about how they think about it but I expect that it will take us a couple weeks, I think, to really get an understanding from them about where they are going to push back on this but I'm hopeful that we'll know by roughly the third week in August if there is going to be a significant problem with them kind of getting information to us and on what timeline making people available but it's going to take several meetings obviously to be able to put together a confident information memorandum and a teaser and get through all the

1 * * * HIGHLY CONFIDENTIAL * * *

2 diligence and so loading that VDR and
3 kind of getting through all that
4 protocol is going to take some effort.

5 JUDGE STARK: That's helpful. I
6 think in your ordinary transactions
7 that you all have experience with,
8 there's the folks that come to you to
9 hire you, they want the deal to
10 happen.

11 MR. STRONG: Exactly.

12 JUDGE STARK: I guess my question
13 was going to be, you probably
14 encounter problems, maybe not
15 resistance, but problems, challenges,
16 in getting everything you need but
17 those problems can be managed in a
18 matter of weeks, it sounds like, when
19 the intensions are aligned correctly
20 in your normal situations; is that an
21 accurate assessment?

22 MR. STRONG: I think that's fair.
23 So as we run into a disagreement on
24 the projections or how much growth
25 capital to put in, things like that,

* * * HIGHLY CONFIDENTIAL * * *

but it's usually with a party that says I want to be selling so what is the best course of action, what is the best strategy, what is the best message. Here, frankly, are we all on the same page, we want to be selling? That may not be the case but again we try to build in some cushion where we can kind of get through that and I think you accurately mentioned that we will know by the mid to back part of August whether there is resistance or not or, hey, it's going to take more because we don't have this material ready or whatever the things may be.

MR. SCHROCK: And I would expect, Your Honor, normally it's just one party you are dealing with, your hired and you are kind of working with the company. Here, we've got two parties that we are effectively dealing with because they're going to have CITGO, they're going to have the PDVSA parties, you know, and when we were

* * * HIGHLY CONFIDENTIAL * * *

last in touch with them they had their own set of professionals of course that they still had plugged in and their on banker that was plugged into the process as well.

JUDGE STARK: Another question is -- is this naive or is this accurate, if you found it necessary in your discussions, if you are encountering recalcitrance, to say your understanding, based on the rulings that are all public, is it looks like this process is going forward. The best chance of getting a value-maximizing transaction is to give us what we are asking for. If you don't give us what we are asking for, this may go forward anyway. The odds are it's not going to be a value-maximizing transaction, it's going to be something different. You are more likely to end up in a minority role than a majority role, something like that. Does that logic

1 * * * HIGHLY CONFIDENTIAL * * *

2 hold or is that not an accurate way to
3 see this?

4 MR. STRONG: I think that's very
5 logical. And if you stay focused on
6 the end game, guys, how do you
7 maximize value, we all have to stack
8 hands and work together to maximize
9 value; if we don't, we will not
10 maximize value.

11 JUDGE STARK: Okay. Thank you.

12 MR. STRONG: And I'm hopeful,
13 Judge, we cleared a lot of the
14 underbrush on these points in the
15 course of putting together the sale
16 process order but I just know having
17 been involved in this process, not
18 nearly as long as you but past the
19 two-year mark now, that I'm sure there
20 will be disputes and if there are
21 we'll try and work them out. If we
22 can't, we'll follow the process and
23 move through it as quickly as we can.

24 JUDGE STARK: Right. Okay. I
25 can't believe it's been two years.

1 * * * HIGHLY CONFIDENTIAL * * *

2 MR. SCHROCK: Time flies when you
3 are having fun.

4 Anything else you want to hit on
5 the timeline here, Ray Strong?

6 MR. STRONG: Nothing more, unless
7 there are other questions.

8 MR. SCHROCK: Good. I think,
9 Your Honor, what we wanted to hit next
10 is just talk a little bit about the --
11 we sent a diligence letter to the
12 Venezuela Parties on July 25th. That
13 was just what I consider like a
14 preliminary diligence request. We
15 wouldn't typically submit this
16 diligence request in this manner but
17 given we needed to have a record of
18 making the request, we were mindful of
19 that, having put it in writing, having
20 requested the meeting, so we thought
21 the initial engagement would be
22 appropriate in that manner. We hope
23 that, you know, as we progress we will
24 be able to set up a cadence of
25 meetings, kind of, you know, on a very

* * * HIGHLY CONFIDENTIAL * * *

frequent basis with them if we move through this.

I'd be remiss if I didn't mention the realities of getting all of the information. One of the things I'm glad we have a little cushion here is it's August and when companies and other parties, they take vacations sometimes in the back half of August so we'll try to be pushing forward but we are mindful that there could be some slippage just due to that and we'll try to be diligent but also cognizant that people having other things going on.

So the diligence list itemizes materials for financial and business diligence, general, corporate, financing and legal. The most pressing category is the financial and business diligence which will help Evercore start to form a perspective on value. Evercore and the Weil M&A team will be leading that process with

* * * HIGHLY CONFIDENTIAL * * *

1 them. We are happy to go over the
2 types of materials that we are
3 requesting, Your Honor, or we can,
4 frankly, skip that if you'd like but
5 it is what I consider a fairly typical
6 diligence list and it has a priority
7 of items that consider it would be
8 most important to really go kind of
9 the baseline of value. We understand,
10 just to say, that I know one of the
11 things that we've heard from the
12 Venezuela Parties is we only want to
13 sell one share, for instance, so why
14 are we having to talk about all of
15 these things? I think that our
16 approach, as we've said, is we have to
17 look at selling any or all of the
18 shares, that's the only way you are
19 going to find bids for, the relevant
20 bids, and so you really have to do
21 whole company diligence in order to
22 put that process together. I believe
23 we've, quote unquote, chopped that
24 wood with the Venezuela Parties but
25

1 * * * HIGHLY CONFIDENTIAL * * *

2 we'll find out pretty quickly as we
3 move through it.

4 JUDGE STARK: I would prefer not
5 to go through this list in any detail.
6 No offense meant, but it reminds me
7 why I wanted to be a litigator and not
8 a transactional attorney.

9 MR. PINCUS: No offense taken but
10 just as Ray said, we did prioritize
11 the things that were most important
12 for the Evercore team to get their
13 arms around to sort of start
14 understanding this business so
15 hopefully we'll have a discussion
16 about delivery of that stuff pretty
17 quickly and we'll have a sense what
18 they are going to do and not going to
19 do here.

20 MR. STRONG: The only thing to
21 add, guys, is knowing that they have
22 advisers and bankers, this should not
23 come as a surprise. But what we don't
24 know is do they really have, for
25 instance, No. 3, projections for the

* * * HIGHLY CONFIDENTIAL * * *

next five years? They may say we only look one year forward, things like that. But we need to get this to them, which we have, and then have a discussion around it. And it may be the case that we don't need five years. We'll work with them. We will be constructive. We just need to initiate the dialogue.

MR. SCHROCK: And I would say, Your Honor, one of the things that at least I see in my practice, the restructuring side when we're selling assets, is it's not uncommon that they don't have what they consider long-term projections that are going to fit for public consumption and they have to take some time to put that together and so if we are going to see push back, I would not be surprised at all if they say, listen, we need to take a couple more weeks here to put those together before we can get back to you, and we'll certainly know that

1 * * * HIGHLY CONFIDENTIAL * * *

2 first and foremost.

3 JUDGE STARK: Let me throw this
4 out while I'm thinking of it. You know
5 hopefully, Bob, you can file a status
6 report or a letter at any time, and I
7 hope you would if you think you need
8 assistance. I don't think anyone would
9 reasonably read my order today as
10 saying don't bother me until the end
11 of August. That's not what it's meant
12 to say. So if you hit an impasse
13 sooner and need me to know, let me
14 know that.

15 MR. PINCUS: Absolutely.
16 Understood. Thank you.

17 MR. SCHROCK: I'm glad you said
18 that, Judge, that was one of my
19 questions certainly is if we are
20 having issues, filing a status report
21 could be an easy way to get that
22 process moving. But we won't hesitate
23 in that regard.

24 MR. PINCUS: And we obviously are
25 going to try to work all these things

1 * * * HIGHLY CONFIDENTIAL * * *

2 through before we come to you. You
3 don't need the headache.

4 MR. SCHROCK: We'll try not to
5 bother you. But the initial -- we do
6 have monthly status conferences,
7 speaking of that, and, Your Honor, I
8 know that we have the joint status
9 report that you'd like submitted by
10 August 24th. I don't know if you
11 would like to set a time for the next
12 monthly status conference before we
13 conclude here but we are happy to
14 address that if you'd like.

15 JUDGE STARK: I think that's a
16 good idea. I didn't actually bring my
17 calendar in -- yes, if you wouldn't
18 mind.

19 How do you all feel about -- of
20 course I can always do more often, but
21 if we are targeting once a month,
22 presumably towards the end of the
23 month given that's where we're
24 starting, does that seem like a good
25 way to at least start this off?

1 * * * HIGHLY CONFIDENTIAL * * *

2 MR. SCHROCK: I think so, Your
3 Honor, it would be good to get
4 monthly -- I'm sorry, Bob. I was
5 going to say I would like to file that
6 initial joint status report first,
7 that would be my one suggestion, just
8 so we have it.

9 MR. PINCUS: That's the 24th?

10 JUDGE STARK: Yeah, I made that
11 due the 24th. So then I would think
12 presumptively we are looking at
13 sometime that following week to talk
14 and it may be that there are things
15 that we actually have to talk about
16 because I'm not promising I will have
17 resolved any issues over the weekend.
18 We don't know what that (inaudible)
19 but notwithstanding that, I would
20 think we'll have things we will want
21 to talk about since that will be four
22 or five weeks from now. And I'm fine
23 with -- the technology is working
24 really well on my end. If it's
25 working as well on your end I'm more

* * * HIGHLY CONFIDENTIAL * * *

1 * * * HIGHLY CONFIDENTIAL * * *
2 than happy to presumptively do these
3 by Zoom although if you ever want to
4 meet in person as long as you can get
5 to DC or Delaware we can make that
6 happen. So that's all to say at the
7 moment I'm pretty flexible that last
8 week of August if you want to suggest
9 a time or get back to me with the
10 time.

11 MR. PINCUS: Why don't we get
12 back to you with the time that last
13 week.

14 JUDGE STARK: You have a lot of
15 schedules to coordinate. So that's
16 good. I should be fine with whatever
17 you suggest.

18 MR. SCHROCK: And I'll speak for
19 everybody, Your Honor, in saying doing
20 it by Zoom the last week in
21 August would be great.

22 JUDGE STARK: It's not a good
23 time of year to come to DC anyway.

24 If we are getting close to
25 wrapping up, we have a few other

1 * * * HIGHLY CONFIDENTIAL * * *

2 little points we wanted to raise.

3 MR. PINCUS: Before we do that,
4 Ray, did we want to talk about the
5 budget process here? Because we
6 haven't had anything that we could
7 budget and now we do so, Ray, do you
8 want to talk about that a little bit?

9 MR. SCHROCK: Sure. So we have a
10 monthly, we are going to start filing
11 monthly budgets for the remainder of
12 the marketing process. I think that we
13 haven't been filing them just because,
14 frankly, we've been reacting as
15 litigation has appeared and sporadic
16 activity. But we expect that our
17 work, we'll be able to put together
18 more thoughtful, monthly budgeting
19 process, it will be more predictable.
20 I would note that none of the sales
21 process parties have complained or
22 said, geez, we need this budget, we
23 need that budget, but we just wanted
24 to be proactive about that, Your
25 Honor, and make sure that we are doing

1 * * * HIGHLY CONFIDENTIAL * * *
2 that going forward and so we are
3 preparing the first -- those
4 associates with the marketing process
5 and make sure we follow the process
6 agreed upon here for the month of
7 August.

8 JUDGE STARK: Thank you.

9 MR. SCHROCK: And also, Your
10 Honor, I know you have a couple other
11 things to address but I just wanted to
12 note that we will file a notice on the
13 docket noting, as required, that notes
14 the location, which is by Zoom
15 conference, the meeting. We'll file
16 that notice no later than seven days
17 after today, although I expect we can
18 do it sooner than that. And if there
19 was anything else you'd like us to
20 include in the notice we will
21 certainly note that, Your Honor, but
22 we just plan to stay with noting that
23 it occurred and those things that you
24 noted on the record.

25 JUDGE STARK: That was one of the

* * * HIGHLY CONFIDENTIAL * * *

things I was going to raise, was to remind you of the May 10th order, D-I-5-5-9, which you also may have in front of you, but about your obligation to do that.

I'm not thinking there is any need to have you point anything more substantive out, I suppose with the possible exception you may indicate -- I don't know if this makes sense -- that you provided me a document in advance. I'm not suggesting that you document that document, but just if anyone was ever trying to track that and argue that they should see the document that was presented to me, it would at least have a entre to know a document was provided to me.

MR. SCHROCK: We'll, of course, defer to, Your Honor, on that. The document will be part of the record, the sealed transcript will certainly ensure that. I do worry a little bit that if we just note there was a

1 * * * HIGHLY CONFIDENTIAL * * *

2 document shared, the first thing that
3 will happen is a lot of people saying,
4 oh, there is a document we need to
5 get.

6 JUDGE STARK: So let's do that.
7 Let's -- I am directing you to attach
8 to the sealed transcript, in however
9 safe place you keep it, a copy of the
10 document that I have so if anybody
11 ever needs to litigate whether they
12 should have had access to this, it
13 will all be there clear on the record.

14 MR. SCHROCK: Very well, Your
15 Honor, we'll make sure we do that.

16 JUDGE STARK: I will be careful
17 how I raise this. We've seen public
18 reports that there may be settlement
19 discussions going on with perhaps some
20 creditors. I don't know if you are
21 part of these or aware of them --

22 MR. SCHROCK: Neither, Your
23 Honor.

24 JUDGE STARK: Then prospective,
25 if you become aware of them or a part

* * * HIGHLY CONFIDENTIAL * * *

of them, I need to leave it to you in the first instance to decide what to tell me about that. I'm sort of viewing your role as similar to the role I played when I was a magistrate judge and did settlements, we were always very careful not to share anything sort of substantive that might prejudice, back then the district judge, who may have to resolve litigation issues. But sometimes it was helpful and important to let the district judge know, hey, the parties are talking and maybe even you may not want to make this motion for summary judgment that's pending your number one priority because you've got hundreds of other things to do. So I think that sort of things is fair game but, you know, here's the offer on the table and here is who is causing the problem, that sort of thing we definitely do not share. I think you've got nothing to share

1 * * * HIGHLY CONFIDENTIAL * * *

2 anyway right now but --

3 MR. SCHROCK: We don't. And
4 heard and understood, Judge. That's
5 the way we would plan on handling it.

6 MR. PINCUS: And we've obviously
7 offered to help if we can help but not
8 taken up for the last year by them.
9 Maybe with more pressure on them
10 they'll think about it.

11 JUDGE STARK: Right. It seems to
12 me from the various things you all
13 have put in your filings and I've put
14 in various orders, that you -- as well
15 as the license -- that you are
16 authorized to participate in that
17 process if anybody wants you to and I
18 would hope, of course, that you would
19 if you saw an opening to do that.

20 The only other thing I have
21 written down is I do think I would
22 like to have a copy of the transcript
23 from our call. It will be helpful to
24 refresh my recollection but I think
25 other than that we should be careful

1 * * * HIGHLY CONFIDENTIAL * * *

2 to limit the number of copies of the
3 transcript that are out there and I'll
4 leave it to you to decide if you want
5 to e-mail it to me or just Fed Ex me a
6 hard copy so there are not a lot of
7 copies floating around, whatever you
8 think is best on that.

9 I didn't have anything else. Did
10 you, Alyssa?

11 Anybody else want to talk about
12 anything else?

13 MR. SCHROCK: All set here,
14 Judge.

15 MR. PINCUS: Thank you for your
16 time.

17 JUDGE STARK: Thank you all.
18 Good luck. And I'm sure we will talk
19 again in late August and if you need
20 me sooner than than, you know how to
21 find me.

22 (Whereupon the meeting was
23 concluded at 12:49 P.M.)

24

25

* * * HIGHLY CONFIDENTIAL * * *

CERTIFICATE

STATE OF NEW YORK)

: SS.:

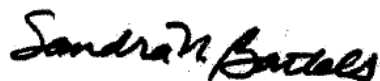
COUNTY OF ORANGE)

I, SANDRA NOEL BARTELS, a Notary
Public for and within the State of New
York, do hereby certify:

That the witness whose testimony as
herein set forth, was duly sworn by me;
and that the within transcript is a true
record of the testimony given by said
witness.

I further certify that I am not
related to any of the parties to this
action by blood or marriage, and that I am
in no way interested in the outcome of
this matter.

IN WITNESS WHEREOF, I have hereunto
set my hand this 31st day of July 2023.



SANDRA NOEL BARTELS

* * *

Federal Rules of Civil Procedure

Rule 30

(e) Review By the Witness; Changes.

(1) Review; Statement of Changes. On request by the deponent or a party before the deposition is completed, the deponent must be allowed 30 days after being notified by the officer that the transcript or recording is available in which:

(A) to review the transcript or recording; and

(B) if there are changes in form or substance, to sign a statement listing the changes and the reasons for making them.

(2) Changes Indicated in the Officer's Certificate. The officer must note in the certificate prescribed by Rule 30(f)(1) whether a review was requested and, if so, must attach any changes the deponent makes during the 30-day period.

DISCLAIMER: THE FOREGOING FEDERAL PROCEDURE RULES ARE PROVIDED FOR INFORMATIONAL PURPOSES ONLY.

THE ABOVE RULES ARE CURRENT AS OF APRIL 1, 2019. PLEASE REFER TO THE APPLICABLE FEDERAL RULES OF CIVIL PROCEDURE FOR UP-TO-DATE INFORMATION.

VERITEXT LEGAL SOLUTIONS

COMPANY CERTIFICATE AND DISCLOSURE STATEMENT

Veritext Legal Solutions represents that the foregoing transcript is a true, correct and complete transcript of the colloquies, questions and answers as submitted by the court reporter. Veritext Legal Solutions further represents that the attached exhibits, if any, are true, correct and complete documents as submitted by the court reporter and/or attorneys in relation to this deposition and that the documents were processed in accordance with our litigation support and production standards.

Veritext Legal Solutions is committed to maintaining the confidentiality of client and witness information, in accordance with the regulations promulgated under the Health Insurance Portability and Accountability Act (HIPAA), as amended with respect to protected health information and the Gramm-Leach-Bliley Act, as amended, with respect to Personally Identifiable Information (PII). Physical transcripts and exhibits are managed under strict facility and personnel access controls. Electronic files of documents are stored in encrypted form and are transmitted in an encrypted

fashion to authenticated parties who are permitted to access the material. Our data is hosted in a Tier 4 SSAE 16 certified facility.

Veritext Legal Solutions complies with all federal and State regulations with respect to the provision of court reporting services, and maintains its neutrality and independence regardless of relationship or the financial outcome of any litigation. Veritext requires adherence to the foregoing professional and ethical standards from all of its subcontractors in their independent contractor agreements.

Inquiries about Veritext Legal Solutions' confidentiality and security policies and practices should be directed to Veritext's Client Services Associates indicated on the cover of this document or at www.veritext.com.

Crystallex v. Bolivarian Republic of Venezuela Special Master *Ex Parte* Meeting Discussion Materials

July 27, 2023

Weil

EVERCORE

Agenda⁽¹⁾

- Update on Special Master Activities since June 26, 2023 Hearing
 - ▶ Pre-Preparation Launch Date Organization
 - ▶ Special Master's July 25, 2023 Diligence Letter to the Venezuela Parties
- Key Near-Term Marking Process Activities
 - ▶ Diligence and Marketing Process
 - ▶ PDVH Shares Certificate
 - ▶ Additional Judgment Creditors
- Initial Status Conference
- Special Master's Budget Procedures
- Appendix A: Tentative Pre-Launch Timeline
- Appendix B: Special Master's July 25, 2023 Diligence Letter to the Venezuela Parties

(1) The oral discussion accompanying these written materials is integral to the presentation.

Appendix A: Project Horizon – Tentative Pre-Launch Timeline

Activity	Week													
	7/24/23	7/31/23	8/7/23	8/14/23	8/21/23	8/28/23	9/4/23	9/11/23	9/18/23	9/25/23	10/2/23	10/9/23	10/16/23	10/23/23
Preparation Launch Date ("PLD")	★													
Evercore and Weil send Diligence Request List ("DRL"), Working Group List ("WGL") and Illustrative Minority Shareholder Rights and Protections to CITGO Management														
Finalize WGL with input from CITGO Management														
Initial discussion with PDVSA regarding minority shareholder rights within 10 business days of PLD, as required by the Sale Procedures Order ("SPO")		★												
Organizational Meeting with CITGO Management to discuss process timing and logistics, conduct initial due diligence and coordinate sharing of information via Virtual Data Room ("VDR")														
Potential additional Judgement Creditors to provide Special Master with statements regarding judgement amounts within 21 days of PLD, as required by SPO			★											
Receive responses to DRL from CITGO Management														
Additional due diligence between Evercore, Weil and CITGO Management														
Prepare detailed financial model, Teaser, CIM and top-priority VDR documents														
Evercore to provide initial findings to the Special Master including a review of CITGO capital structure, preliminary valuation and potential strategies and paths for a successful sales process					★									
Finalize sale process outreach list														
Conduct informal, pre-NDA meetings to educate select buyers on the business, process and legal nuances														
Share draft of Teaser and CIM with counsel to the Sale Process Parties and meet and confer with Sale Process Parties												★		
Launch marketing process and establish data room														★

★ Key Milestones

Appendix B

Special Master's July 25, 2023 Diligence Letter to the Venezuela Parties

JULY 25, 2023

TO: Bolivarian Republic of Venezuela (the “Republic”), Petróleos de Venezuela, S.A. (“PDVSA”), CITGO Petroleum Corporation (“CITGO Petroleum”), and PDV Holding, Inc. (“PDVH” and together with the Republic, PDVSA, and CITGO Petroleum, the “Venezuela Parties”)

FROM: Robert B. Pincus, in his capacity as Special Master for the United States District Court for the District of Delaware

RE: *Crystallex International Corporation v. Bolivarian Republic of Venezuela* (Misc. No. 17-151-LPS)—Special Master’s Marketing Process

Reference is made to the *Memorandum Order* dated July 17, 2023 [D.I. 643] (the “July Order”) and the *Sixth Revised Proposed Order (A) Establishing Sale and Bidding Procedures, (B) Approving Special Master’s Report And Recommendation Regarding Proposed Sale Procedures Order, (C) Affirming Retention of Evercore as Investment Banker by Special Master and (D) Regarding Related Matters* dated October 4, 2022 [D.I. 481] (the “Sale Procedures Order”). Pursuant to the July Order, the Court has directed the sale of the PDVH Shares¹ to proceed on the following schedule:

Event	Date
Preparation Launch Date	Monday, July 24, 2023
Launch Date	Monday October, 23, 2023
Additional Judgment Deadline	Thursday, November 2, 2023
Tentative Sale Hearing	Monday, July 15, 2024

See July Order, p. 11.

As of this date, and in accordance with the schedule set forth in the July Order, I have begun preparations for the launch of the Marketing Process. As Special Master, my duties and obligations with respect to the Marketing Process are set forth in the Sale Procedures Order as follows:

On and after the Preparation Launch Date, the Special Master and the Special Master’s Advisors are hereby directed to prepare for the Marketing Process and take all such preliminary actions in connection therewith, **including or performing appropriate due diligence and related analysis**. Without limiting the foregoing, in preparation for the Marketing Process following the Preparation Launch Date, the Special Master shall prepare a customary “teaser” and a “confidential information memorandum” (“CIM”) to be shared with Potential Bidders and such other materials that the Special Master reasonably determines to

¹ Capitalized terms used but not otherwise defined herein shall have the meanings given to such terms in the Sale Procedures Order.

be necessary or appropriate. Subject to the Protective Order, the Special Master shall share a draft of the “teaser” and CIM with counsel to the Sale Process Parties no later than seven (7) calendar days prior to launch of the Marketing Process and shall consult in good faith with the Sale Process Parties regarding the same. **Further, the Special Master shall (a) no later than 10 business days after the Preparation Launch Date, meet and confer with PDVSA regarding any minority shareholder rights or other protections that could facilitate a sale of minority shares . . .**

Sale Procedures Order, ¶ 4 (emphasis added).

In furtherance of the Court’s directives under the Sale Procedures Order, and to facilitate preparation of the CIM, I attach to this letter, as Exhibit A, a preliminary list of requested documents and information. I anticipate that my Advisors and I will need to request additional information from you as our due diligence review progresses. Additionally, my Advisors and I will need to meet with management and principals of CITGO (and potentially other entities) in furtherance of discharging their duties and obligations in the coming weeks.

Lastly, I seek your availability for a conference with PDVSA regarding minority shareholder rights, as required by the Sale Procedures Order, prior to August 7, 2023 (*i.e.*, 10 business days from the Preparation Launch Date). *See id.* To facilitate our discussions, I attach as Exhibit B to this letter a list of illustrative minority shareholder rights and protections that we expect may be sought by a potential purchaser of a minority of the PDVH Shares.

In an effort to prepare the CIM and other marketing materials in an efficient manner, and with a view to maximizing the value of the PDVH Shares through the Marketing Process, my Advisors and I ask that you please begin to gather the materials requested in Exhibit A, so that we can discuss their availability and method for transmission at the minority shareholder rights conference referenced above.

Please contact Project.Horizon.Weil@weil.com and Project-Horizon@evercore.com to discuss any matters related to this request. Given the dynamic nature of our anticipated conversations, I am also attaching as Exhibit C to this letter a Working Group List for me and my Advisors.

Thank you in advance for your assistance. We look forward to engaging with you over the coming months. In the meantime, if you foresee any of the above being an issue or any impediment to promptly complying with the above requests please let us know immediately so that we can apprise the Court.

Sincerely,

/s/ Robert B. Pincus

Robert B. Pincus, as Special Master for
the United States District Court for
the District of Delaware

cc:

Ray Schrock (ray.schrock@weil.com)
Michael Aiello (michael.aiello@weil.com)
Alexander Welch (alexander.welch@weil.com)
Eoghan Keenan (eoghan.keenan@weil.com)
Chase Bentley (chase.bentley@weil.com)
Ray Strong (Ray.Strong@Evercore.com)
William Hiltz (hiltz@Evercore.com)
David Ying (Ying@Evercore.com)

Exhibit A

Due Diligence Request List



CITGO – Preliminary Due Diligence List

Set forth below is a preliminary list of documents and information that we request to review in connection with a potential transaction involving CITGO Holding, Inc., PDV Holding, Inc. and/or CITGO Petroleum Corporation (such entities and their affiliates and subsidiaries collectively, the “Company”). When providing materials, please identify the item from the list below in respect of which such material is being supplied and return a copy of this list indicating the status of items requested.

At this time, we request that delivery of the items listed under the “Financial and Business Diligence” section be prioritized. As our due diligence review and the diligence review of prospective bidders progresses, we expect that we will need to request additional information. Thank you in advance for your assistance.

Financial and Business Diligence

1. Please provide historical annual and quarterly financial reports and investor presentations going back three years (2020, 2021, 2022, and year-to-date)
2. Please provide historical segment-level financials going back five years (2018 – 2022)
3. Please provide segment-level financial projections for the next five years (2023 – 2027)
4. Please disclose all material assumptions in the financial projections, including:
 - a. Primary macro assumptions (industry outlook, crack spread assumptions, etc.)
 - b. Revenue growth drivers by business line and geography
 - c. Assumptions driving operating margins
 - d. G&A cost drivers
 - e. Key cash tax assumptions
 - f. Existing tax basis of the Company’s assets, projected tax DD&A for a minimum of five years for existing assets and DD&A for projected growth and maintenance capital expenditures
5. Historical and projected capital expenditure details for current assets, broken down by:
 - a. Maintenance / Replacement (to maintain status quo)
 - i. Provide detail on turnaround schedule, tank maintenance schedule and any asset replacement forecasted
 - ii. Is there any additional maintenance capital expenditures that could potentially be deferred beyond 2027?
 - b. Growth
6. Please provide a list of identified growth capital projects and detail with respect to the capital expenditures and EBITDA generated for each
 - a. Please provide the probabilities and status of growth opportunities for project backlog
7. Please provide latest cash and liquidity position for each Company entity
8. Please provide any credit documentation summaries, if available
9. Please provide compliance certificates and details on financial covenant calculations for the time period between 1Q’22 and 1Q’23 for each Company entity
10. Please provide projected financial covenant levels for each Company entity

11. Please provide any ratings agency presentations, bank decks and asset overview presentations going back four years (2019, 2020, 2021, 2022, and year-to-date), if available

General Corporate

1. Corporate organizational chart of the Company, including for each entity: (i) jurisdiction of organization, (ii) legal form of entity, (iii) tax classification, (iv) ownership information (including percentage ownership and class/type of securities owned), (v) debt holders, if any, and (vi) list of members/managers/directors/officers
2. Detailed capitalization table (including a schedule of all equityholders of each Company entity and all outstanding equity and equity-based incentive awards and rights issued or to be issued by the Company with an indication as to grant date, vesting status, acceleration rights and, if applicable, strike price, distribution threshold or similar economic terms), share register(s) and copies of any issued share certificates
3. All agreements and instruments relating to the management, ownership or control of the Company, or that otherwise impose any restrictions or liens on the transfer, voting or issuance of any Company entity's securities, including all charters, bylaws and similar documents, voting, trust, redemption, standstill, shareholder or similar agreements covering any securities of the Company and all agreements relating to preemptive rights or other preferential rights of equityholders
4. Documents evidencing instruments convertible into or exchangeable for equity securities, stock appreciation rights, phantom equity or other rights to purchase or sell equity securities, including warrants and all equity and equity-based award agreements (or provide forms thereof and confirmation that all awards have been granted pursuant to such forms)

Financing

1. Schedule of all of the Company's indebtedness (secured and unsecured and including all intercompany loans, advances or notes of the Company), including lender, principal amount, security (if any) and maturity date
2. All agreements related to indebtedness (including copies of all credit documents, indentures, and/or documents relating to any financing facilities, including any security documents, guarantees, commitments and similar obligations, of the Company, or by which any of its assets or properties are bound, and all documentation regarding capital leases or operating leases, sale-leaseback, installment purchase, and other financing arrangements) and any correspondence related thereto regarding any waiver, consent, default, acceleration, termination or covenant compliance
3. List of all liens and encumbrances on any material asset of the Company, copies of recent lien searches and a list of the identity and filing location of any financing statements relating to property of the Company or evidencing a security interest of the Company and all material correspondence relating to such documents
4. Schedule showing all operating bonds or letters of credit with respect to which the Company is liable or contingently liable

Legal

1. All agreements related to the acquisition or disposition of entities, businesses or material assets or any business combinations entered into within the last five years or where there are otherwise ongoing material obligations, a description of any pending acquisitions or dispositions, if applicable, and any related documentation

2. All joint venture, partnership or similar agreements and all material agreements related thereto.
3. Schedule of all real property owned by the Company and copies of material documentation related thereto
4. Schedule of all material real property leased by the Company, and copies of all leases, subleases and other documentation related thereto
5. List of all material governmental or regulatory or self-regulatory permits, licenses or authorizations which would be or likely to require a change-in-control filing, whether requiring consent or notice
6. Copies of summary documents relating to any ongoing or planned material environmental investigation or remediation concerning any real property currently or formerly owned or leased by the Company or for which the Company may have liability arising under environmental, health or safety ("EH&S") laws
7. Description of all disputes, litigation, settlements, consent decrees, injunctions, or other decrees, orders, administrative proceedings, arbitration proceedings, indemnity claims and government or regulatory investigations or inquiries, whether pending, threatened, contingent or outstanding, in each case which would be material to the Company, taken as a whole, and which do not relate to (i) claims for nonpayment of outstanding indebtedness of the Company, or (ii) claims or judgments that are the subject matter of *Crystallex International Corporation v. Bolivarian Republic of Venezuela* (Misc. No. 17-151-LPS), including any potential Additional Judgments, as defined in *Sixth Revised Proposed Order (A) Establishing Sale and Bidding Procedures, (B) Approving Special Master's Report And Recommendation Regarding Proposed Sale Procedures Order, (C) Affirming Retention of Evercore as Investment Banker by Special Master and (D) Regarding Related Matters* dated October 4, 2022 [D.I. 481]

Exhibit B

Illustrative Minority Shareholder Rights and Protections



CITGO – Minority Shareholder Rights and Protections

Set forth below, in connection with the Sixth Proposed Sales Procedures Order issued on October 4, 2022 by the Honorable Leonard P. Stark in the matter of *Crystallex International Corporation v. Bolivarian Republic of Venezuela* (Case No. 1:17-mc-00151-LPS), is a list of potential minority shareholder rights and protections that we expect may be sought by a minority investor in a potential transaction involving CITGO Holding, Inc., PDV Holding, Inc. and/or CITGO Petroleum Corporation (such entities and their affiliates and subsidiaries collectively, the “Company”). Parties to discuss the potential minority ownership thresholds which may give rise to such rights and protections.

I. Governance Rights

1. *Board of director (“Board”) size and appointment rights.*
2. *Board committee appointments.*
3. *Board observer right.*
4. *Appointment of certain members of management.* A minority shareholder may seek the right to appoint or remove certain members of management, including:
 - Chief Executive Officer / President
 - Chief Operations Officer
 - Chief Financial Officer
 - Chief Legal / Compliance Officer

II. Liquidity/Exit Rights

1. *Transfer Restrictions.* Minority investors may be restricted from transferring their equity interests, subject to certain exceptions, including:
 - Transfers to affiliates
 - Indirect “up-stream” transfers of equity interests
 - Syndication of equity interests to limited partners or investors
 - Time-based restriction on transfers
 - Incurrence of encumbrances or pledging of equity interests
2. *Majority holder Right of First Offer (“ROFO”) or Right of First Refusal (“ROFR”) on sales of equity interests by minority holder.*
3. *Inclusion of Buy-Sell Provisions* (e.g., in the event of a deadlock)
4. *Drag Along Rights.* Applying to minority investors in the event of sale of the Company.
5. *Tag Along Rights.* In favor of minority investors seeking to participate in a sale of equity interests by the majority holder.
6. *IPO Rights.* (e.g., the ability of a minority investor to cause the Company to pursue an IPO after a period of time).

7. *Registration Rights.* (e.g., demand registration rights, piggyback registration rights, underwritten offerings).

III. **Consent Rights:** Extent and scope of any minority investor consent rights to be discussed, but may include:

1. *Amending, modifying, or waiving constitutive documents.*
2. *Making a capital call or other unscheduled request for additional capital contributions.*
3. *Accepting an unscheduled capital contribution or authorizing new equity that is dilutive to the minority shareholder's interest.*
4. *Authorizing distributions, including any in-kind distributions.*
5. *Admitting a new equity investor.*
6. *Authorizing or incurring certain capital or other expenditures above budgeted amounts.*
7. *Authorizing an acquisition or divestiture, merger, or other similar type of transaction.*
8. *Authorizing a material reorganization or restructuring.*
9. *Converting into a different form of entity.*
10. *Entering into, amending, or terminating a material contract.*
11. *Making acquisitions or investments above an agreed threshold.*
12. *Selling or licensing key technology or IP outside the ordinary course of business.*
13. *Incurring or guaranteeing debt (typically if in excess of a dollar threshold or outside the ordinary course of business).*
14. *Granting liens on assets.*
15. *Making loans or advances outside the ordinary course of business.*
16. *Entering into a joint venture, corporate strategic relationship, or similar type of business arrangement.*
17. *Entering into related-party transactions.*
18. *Entering into a new line of business.*
19. *Adopting or amending the Company's business plan or annual budget.*
20. *Abandoning any material assets or aspects of the Company's business plan.*
21. *Engaging or terminating the Company's auditors or external accountants.*
22. *Modifying the terms of key executive's employment arrangements or compensation.*
23. *Making any tax election or material change in tax or accounting policies.*
24. *Instituting or settling material litigation outside the ordinary course of business.*
25. *Liquidating, dissolving, or winding up.*

IV. **Information Rights**

1. *Frequency and auditing standard of financial statements*

2. *Timing of delivery of financial statements.*
3. *Providing access to books and records.*

Exhibit C

Working Group List

EVERCORE

Project Horizon

***Crystallex International Corporation v. Bolivarian Republic of
Venezuela (Misc. No. 17-151-LPS)***

Working Group List

Updated as of July 25, 2023

SPECIAL MASTER	
Robert B. Pincus Special Master for the U.S. District Court of Delaware	Tel: [REDACTED] Email: [REDACTED]

COUNSEL TO THE SPECIAL MASTER	
WEIL, GOTSHAL & MANGES LLP	
NEW YORK OFFICE 767 FIFTH AVENUE NEW YORK, NEW YORK 10153 TEL: (212) 310-8000 PROJECT.HORIZON.WEIL@WEIL.COM	
Restructuring	
Ray Schrock Partner	Tel: (212) 310-8210 Email: Ray.Schrock@weil.com
Alex Welch Partner	Tel: (212) 310-8127 Email: Alexander.Welch@weil.com
Chase Bentley Associate	Tel: (212) 310-8871 Email: Chase.Bentley@weil.com
Maggie Burrus Associate	Tel: (212) 310-8602 Email: Maggie.Burrus@weil.com
Esther Hong Associate	Tel: (212) 310-8616 Email: Esther.Hong@weil.com

Corporate – M&A	
Michael J. Aiello Partner	Tel: (212) 310-8552 Email: Michael.Aiello@weil.com
Eoghan Keenan Partner	Tel: (212) 310-8268 Email: Eoghan.Keenan@weil.com
Amanda Kadish Associate	Tel: (212) 310-8267 Email: Amanda.Kadish@weil.com

INVESTMENT BANKER TO THE SPECIAL MASTER

EVERCORE GROUP LLC

NEW YORK OFFICE
55 E 52ND ST,
NEW YORK, NY 10055
TEL: (212) 857-3100

HOUSTON OFFICE
909 FANNIN STREET
HOUSTON, TX 77010
TEL: (713) 403-2440

PROJECT-HORIZON@EVERCORE.COM

M&A Advisory

William Hiltz Senior Managing Director	Tel: (212) 857-3154 Email: hiltz@evercore.com
Ray Strong Senior Managing Director	Tel: (713) 427-5146 Email: ray.strong@evercore.com
Kevin Putman Vice President	Tel: (713) 427-5678 Email: kevin.putman@evercore.com
Michael Winterholler Vice President	Tel: (713) 427-5139 Email: michael.winterholler@evercore.com
Vikram Murali Associate	Tel: (713) 427-5796 Email: vikram.murali@evercore.com
Jishnu Shah Analyst	Tel: (713) 403-2448 Email: jishnu.shah@evercore.com

Restructuring and Capital Markets Advisory	
Stephen Goldstein Senior Managing Director	Tel: (212) 849-3663 Email: stephen.goldstein@evercore.com
David Ying Senior Managing Director	Tel: (212) 857-3144 Email: ying@evercore.com
Andrew Yeh Managing Director	Tel: (646) 259-7245 Email: andrew.yeh@evercore.com
Daniel Lakhdhir Vice President	Tel: (646) 259-7226 Email: daniel.lakhdhir@evercore.com
Jim Li Associate	Tel: (646) 259-7345 Email: jim.li@evercore.com
Lisa Huang Analyst	Tel: (646) 259-7391 Email: lisa.huang@evercore.com

Exhibit B

Transcript of August 31, 2023 *Ex Parte* Meeting of the Court and the Special Master

1 * * HIGHLY CONFIDENTIAL * *

2 IN THE UNITED STATES DISTRICT COURT

3 FOR THE DISTRICT OF DELAWARE

4 -----x

5 CRYSTALLEX INTERNATIONAL

 CORPORATION,

6 Plaintiff,

7 v. Misc No. 17-151-LPS

8

9 BOLIVARIAN REPUBLIC OF VENEZUELA,

10 Defendant.

11 -----x

12 HIGHLY CONFIDENTIAL

13 SPECIAL MASTER EX PARTE MEETING

14 August 31, 2023

15 9:00 a.m.

16

17

18

19

20

21

22

23

24

25

* * HIGHLY CONFIDENTIAL * *

A P P E A R A N C E S:

ROBERT PINCUS, Special Master

WEIL GOTSHAL & MANGES LLP

767 Fifth Avenue

New York, New York

BY: RAY C. SCHROCK, ESQ.

MICHAEL AIELLO, ESQ.

ALEXANDER W. WELCH, ESQ.

LUNA BARRINGTON, ESQ.

EOGHAN KEENAN, ESQ.

CHASE BENTLEY, ESQ.

EVERCORE L.L.C.

RAY STRONG, Senior Managing Director, Evercore, Houston

WILLIAM HILTZ, Senior Managing Director, Evercore, New York

1
2
3
4
5
6
7
8
9
10
11
12
13
14
15
16
17
18
19
20
21
22
23
24
25

* * HIGHLY CONFIDENTIAL * *

MR. PINCUS: Thanks for
taking the time today.

Just to introduce everybody
again, you have Weil's restructuring
team that's been in court with us
since the beginning, Ray Schrock,
Alex Welch and Chase Bentley.

You also have the Weil's M&A
team who has jumped in and is
working on the transaction, Mike
Aiello and Eoghan Keenan and you
have Luna Barrington, who is a
commercial litigator from Weil
that's helping us with respect to
the priorities and the filings, et
cetera, that we sent a report on
last week.

We also have Ray Strong and
William Hiltz from Evercore that are
leading up Evercore's finance team
in trying to get this deal done.

I'm going to turn it over to

1 * * HIGHLY CONFIDENTIAL * *

2 Ray and we were going to go through
3 the agenda that we provided you, but
4 if you have something you want to
5 talk about first, you know, please
6 go ahead.

7 THE COURT: I think only just
8 a reminder of some of the sort of
9 caveats from last time, I know I
10 have some issues that I would say
11 are strictly speaking litigation
12 based on what was in the status
13 report.

14 You might allude to some of
15 them, such as after the step 5 and
16 step 7 date, but obviously we are
17 not going to get into argument, I
18 have your position, I will get an
19 order out in due course.

20 But I just wanted to put a
21 reminder out there on that, I don't
22 think that should constrain us very
23 much in what you want to convey to
24 me.

25 MR. PINCUS: Yes, and we do

1 * * HIGHLY CONFIDENTIAL * *

2 have a court reporter on the phone
3 as well.

4 THE COURT: I see, that looks
5 like his name is Steve.

6 Welcome, thank you, Steve.

7 MR. PINCUS: Ray, your show.

8 MR. SCHROCK: Thanks very
9 much, Bob.

10 Good morning again, Ray
11 Schrock from Weil Gotshal.

12 THE COURT: Good morning.

13 MR. SCHROCK: Good morning.

14 As Mr. Pincus mentioned, we do have
15 a court reporter on and we did
16 provide some materials.

17 We propose that similar to
18 last time we simply attach the
19 materials that we will be referring
20 to the transcript and handle, you
21 know, the materials in the same
22 manner.

23 You know, we can keep them
24 under seal and certainly hold a copy
25 with the special master and provide

1 * * HIGHLY CONFIDENTIAL * *

2 a copy to the court as well.

3 THE COURT: Yes, that's all
4 fine, and I should say I do have
5 your presentation, the slides that
6 he sent yesterday, I have them in
7 front of me.

8 MR. SCHROCK: Very good, Your
9 Honor.

10 And we will try and keep in
11 mind the reminder that you had at
12 the beginning, which I think is a
13 very good one, you know, with regard
14 to the issues that are going to be
15 heard at the status conference, we
16 will just keep those issues as kind
17 of a light referral to them,
18 understanding that Your Honor is
19 going to be ruling and you have the
20 special master's position.

21 If it's all right with Your
22 Honor, could we put the materials on
23 screen, just to help everybody
24 follow their part.

25 Chase, if you wouldn't mind.

1 * * HIGHLY CONFIDENTIAL * *

2 MR. BENTLEY: Can everybody
3 see it?

4 THE COURT: I can see it,
5 yes.

6 MR. SCHROCK: Yes, go ahead
7 and flip the -- thank you.

8 So, Your Honor, the agenda we
9 have outlined is an updated
10 pre-launch timeline, a diligence
11 overview, an illustrative sale
12 timeline, including recommended step
13 5 and step 7 deadlines, and then
14 implementation of the priority
15 arrangement, which we can simply
16 refer to, given Your Honor's
17 admonition, and handle anything
18 that -- any questions that you had,
19 so let's go ahead and flip, Chase.

20 So, you know, just a general
21 overview, Your Honor.

22 Following since the July 27th
23 ex parte meeting we have been quite
24 busy and I think we have made good
25 progress.

* * HIGHLY CONFIDENTIAL * *

We have been engaged on a number of work streams, including meeting and conferring with Citgo regarding minority shareholder rights on August 7, 2023.

We have been engaging with Citgo on a weekly basis regarding diligence related matters.

We have been reviewing the additional judgment creditor statements.

We have been conferring with the team and the implementing with the M&A team the beginning of the pre-launch process.

And we have spent quite a bit of time meeting and conferring with the sale process parties and other creditors regarding the proposed step 5 deadline, step 7, as well as the priority treatment of additional judgment creditors, and we submitted the report regarding the same to the court on August 24, 2003.

* * HIGHLY CONFIDENTIAL * *

So, regarding the initial meet and confer with PDVSA regarding minority governance rights.

I would say it was a constructive meeting, cordial, we met with representatives of PDVSA and Citgo management on August 7th to confer regarding minority shareholder governing and also discuss the key milestones and general cadence of the diligence process.

As we expected, it was difficult to really resolve anything on minority shareholder rights this early in the process.

We did put together a list of what we would consider, our M&A team would consider a pretty standard, you know, list of minority shareholder rights.

There was some discussion about whether or not, you know, that PDVSA and Citgo would have to think

1 * * HIGHLY CONFIDENTIAL * *
2 about it depending on whether or not
3 they would have a minority position
4 versus having a majority position.

5 But they said that listen, we
6 think your list is the right list
7 that you put together on behalf of
8 the special master.

9 We continued the initial meet
10 and confer with a discussion of the
11 anticipated timeline for the
12 pre-launch process and the cadence
13 of diligence, as well as the
14 preparation of marketing materials
15 and I would say that it was a good
16 meeting overall, and that the
17 cadence we have -- we have
18 established a cadence of meetings
19 around diligence between Evercore
20 and Citgo management.

21 People are cooperating and I
22 think there is a general sense that
23 everybody involved really wants to
24 maximize value associated with this
25 process.

* * HIGHLY CONFIDENTIAL * *

I would say that's particularly so, given that with the additional judgment parties that are asserting rights, you know in excess of \$20 billion now, that's a particular focus for everyone involved.

But at the conclusion of that initial meet and confer, the representatives of Citgo management agreed to facilitate the diligence process, which I am pleased to report has been going well.

And committed to weekly meetings in furtherance of the diligence process and preparation of marketing materials.

But there has been quite a bit of activity, you know, with Evercore, with the Weil M&A team and I would say that, you know, we have been proceeding apace.

But we are happy to answer any questions that you may have,

1 * * HIGHLY CONFIDENTIAL * *

2 Your Honor, and I'm happy to turn it
3 over to anyone in the special master
4 team, if you guys would like to
5 provide any more color around that
6 particular aspect of just kind of
7 the cadence of diligence from our
8 course.

9 THE COURT: I would be happy
10 to hear more.

11 I may have a few questions or
12 you, but nothing pressing.

13 MR. STRONG: Ray Strong from
14 Evercore.

15 Judge, you have seen this
16 page before, and this looks similar
17 but it's not exactly the same.

18 The middle of the page, the
19 wide bars, have kind of extended out
20 two or three boxes, i.e., two or
21 three weeks and that one star where
22 we are going to kind of give a
23 summary to the special master on
24 valuation and the capital structure,
25 that got pushed out about three

1 * * HIGHLY CONFIDENTIAL * *

2 weeks.

3 The good news is we are still
4 on track for launching the marketing
5 process on October 23rd, it's just
6 taking a little bit more time on
7 gathering the diligence and
8 receiving everything and digesting
9 everything.

10 We will go into that a little
11 bit in the next page.

12 But as Ray Schrock mentioned
13 a cooperative other side here and we
14 are working well together.

15 Just taking a little bit
16 longer, but we had kind of suspected
17 that that might happen.

18 So we are still on track for
19 the October 23rd date.

20 MR. PINCUS: Ray, you had
21 built in that delay, we understood
22 that, right, and it fits right in
23 the table.

24 MR. STRONG: We had some
25 cushion in there, we just missed the

1 * * HIGHLY CONFIDENTIAL * *
2 deadline, Bob, to get to you, three
3 weeks, but that was an internal
4 deadline anyway, so we think we are
5 still on track.

6 MR. PINCUS: Yes.

7 THE COURT: Thank you.

8 MR. SCHROCK: Your Honor,
9 also just to mention, Citgo has
10 hired some specialists, I think just
11 to facilitate, industry specialists
12 to facilitate the sale process, you
13 know the dialogue has been, again,
14 constructive and I think at this
15 stage, you know, what I'm going to
16 say the M&A experts have been
17 discussing both among themselves, as
18 well as with input from the sale
19 process parties, as well as PDVSA
20 and Citgo, just looking at and
21 saying, you know, what is going to
22 be the best way to maximize value
23 during the sale process.

24 And I believe there is
25 general agreement that under no

1 * * HIGHLY CONFIDENTIAL * *
2 circumstances do we really see the
3 sale process, at least at this time
4 being extended, you know that we
5 think we can complete it within the
6 timeline that we have here.

7 There is, you know, some
8 discussion around, you know, is it
9 better to have what I call a
10 traditional M&A process, where you
11 have a first set of bids that come
12 in versus having a, quote unquote,
13 stalking horse bid.

14 So there has been some -- no
15 contentious dialogue, but I think
16 just people trying to think about,
17 given the players that may come into
18 this process, what is going to be
19 the best way.

20 For instance is a strategic
21 party really going to want to have
22 their name out there in public at an
23 initial first round bid?

24 Or are we more likely to get
25 more competition if we had a private

1 * * HIGHLY CONFIDENTIAL * *

2 submission of a first round bid?

3 So while we haven't made any
4 determinations around those issues,
5 Your Honor, we do have flexibility,
6 we believe, within the sale
7 procedures order, and we are really
8 working with parties to make sure
9 that when we do send out the initial
10 process letter, that, you know, we
11 have got agreement, and frankly the
12 best process put in place.

13 But we don't have anything
14 that formal to recommend to the
15 court at this point, but I did want
16 to let you know that the M&A experts
17 are -- they are discussing some of
18 the middle milestones around this,
19 and when we submitted our August
20 24th report, we were mindful of that
21 in the way we kind of framed our,
22 you know, the step 5 and step 7
23 deadlines with reference to an
24 initial bid, rather than, for
25 instance a stalking horse bid and so

1 * * HIGHLY CONFIDENTIAL * *

2 on.

3 I think that it won't change
4 the -- how the court and how the
5 special master think about or the
6 other parties how they think about
7 any of those deadlines, but I did
8 want to let you know that those are
9 just some things in the background
10 that I just wanted to foreshadow
11 that we may want to discuss in the
12 future.

13 THE COURT: Does that
14 decision just from an M&A
15 perspective need to be made before
16 you launch the actual marketing
17 process?

18 MR. PINCUS: Not necessarily,
19 and I think all part of this is
20 flexibility as we get into the
21 auction and into the marketing sort
22 of where people are and what need to
23 be done.

24 I don't think we need to
25 announce that day one of launch.

1 * * HIGHLY CONFIDENTIAL * *

2 Ray, do you disagree?

3 MR. STRONG: If I am on the
4 other side, I'm going to ask the
5 question how is this all going to
6 work?

7 And I think it comes up
8 pretty quickly, so we may not have
9 to, but pretty shortly thereafter we
10 might.

11 MR. SCHROCK: So, for
12 instance, normally in a process
13 letter, Your Honor, you would have
14 here when initial bids are due, here
15 is how the process is going to work,
16 et cetera.

17 People have seen the
18 illustrative process timeline that's
19 obviously in the sale procedures
20 order.

21 But I think that, you know,
22 if there is going to be any
23 questions around those issues, and
24 certainly we are going to try and
25 give some kind of guidance as to at

1 * * HIGHLY CONFIDENTIAL * *

2 least what's open or not open.

3 THE COURT: Thank you.

4 MR. SCHROCK: Your Honor,
5 regarding the additional judgment
6 creditor statement, under paragraph
7 32 of the sale procedure order, by
8 August 14th, that is 21 days after
9 the preparation launch date, holders
10 of judgments seeking to become
11 additional judgment creditors had to
12 submit to the special master a
13 statement summarizing the judgment
14 amount.

15 On August 14th, creditors
16 filed attached judgment statements.

17 One attached judgment was
18 filed after the court's August 14th
19 deadline.

20 That statement was filed by
21 Rudy Lovati and Alessandro Lucibello
22 Piani at docket entry number 695 on
23 August 24th, 2023.

24 Steve, I can help you out
25 with the spelling of that if we need

1 * * HIGHLY CONFIDENTIAL * *

2 to after we finish this.

3 Prior to filing the
4 statement, counsel for this
5 particular judgment creditor
6 contacted us about filing the
7 statement after the deadline.

8 Counsel informed special
9 master they had a judgment
10 recognized on the docket as related
11 on or about August 9, 2023 and we
12 are attempting to get up to speed on
13 the docket.

14 Counsel represented they were
15 not aware of the sale process until
16 recently and therefore sought
17 guidance from the special master how
18 to proceed.

19 We instructed counsel to file
20 a statement as soon as they could
21 and indicated that the special
22 master would take the reasoning
23 under consideration and would confer
24 with the court as needed.

25 And I just wanted to note

* * HIGHLY CONFIDENTIAL * *

that we are considering this in connection with our review of other attached judgment statements, but I did want to note there was one late party there.

Overall, there has been 27 judgments that have been submitted for inclusion in the sale process.

The headline is that \$22 billion worth of judgments were submitted, approximately \$12 billion of which belong to Conoco Philips.

However, many of those creditors still need to reach the critical step 5 of holding a Writ of Attachment.

And at this time the amount of judgments held by creditors that have reached step 5 already is about \$6.5 billion.

There is a significant volume of materials, as Your Honor has probably seen on the docket, attached to the statements, and the

1 * * HIGHLY CONFIDENTIAL * *
2 special master and his advisors are
3 working through everything in
4 connection with preparing a
5 recommendation to the court on the
6 amount of each judgment.

7 But that was, I think it's
8 fair to say, Your Honor, that you
9 know, that was -- there was a
10 significant amount and could be in
11 excess of what would even be
12 realized during a sale process, but
13 we will have to see.

14 THE COURT: Yeah, I think I
15 was just interested at a high level
16 whether what you got was in any way
17 roughly what you expected to get,
18 and if it's too soon to know whether
19 it's even possible to satisfy all
20 those judgment in our best case
21 scenario on the assumption, which of
22 course none of us knows, if they
23 were all added to the sale.

24 I don't know if you have any
25 thoughts on that or you feel

1 * * HIGHLY CONFIDENTIAL * *
2 comfortable sharing at this stage.

3 MR. SCHROCK: I wasn't
4 personally, Your Honor, I wasn't
5 sure what to expect.

6 We know that just from the
7 headlines out there that there is --
8 frankly there could be more given
9 the judgments that are even out
10 there.

11 And, of course, this is in
12 addition to -- this is excluding,
13 rather, the \$2 billion of bonds that
14 are structurally senior to all of
15 these judgments that are in the, you
16 know, for which, Your Honor, the
17 2020 bondholders that have been
18 referenced a number of times.

19 But I don't know, Ray Strong,
20 or Will, if there is anything you
21 have to add here on this point.

22 MR. STRONG: I think the
23 management side on Citgo would agree
24 when you stack up all the numbers,
25 it's a pretty high lofty number.

1 * * HIGHLY CONFIDENTIAL * *

2 We haven't done our
3 valuation, but it feels in excess,
4 if I were to take a stab.

5 MR. HILTZ: I would agree
6 with that.

7 MR. PINCUS: I think the
8 surprise, Your Honor, was the amount
9 of the Conoco judgments.

10 We have been working with
11 them for a year and a half and I
12 don't know, I had never heard that
13 they had that much out there in
14 addition to those that we have been
15 talking about for a long time.

16 THE COURT: Thank you.

17 MR. SCHROCK: Sure.

18 On the diligence update, you
19 know, I don't know if there is
20 anything else that we want to
21 highlight here.

22 MR. STRONG: Just in broad
23 strokes for the, you know, for the
24 court, but, Your Honor, this is an
25 overview on slide 3.

1 * * HIGHLY CONFIDENTIAL * *

2 MR. SCHROCK: The main point
3 is we have had good discussions,
4 frequent discussions, we have
5 submitted a questions list, two
6 weeks, three weeks later we got
7 access, we got access to a model,
8 although it wasn't a dynamic model
9 we were finally able to get access
10 to that, and things are progressing
11 in a good, constructive manner,
12 maybe a little bit slower, but again
13 we factored that into the timing.

14 THE COURT: So I am going to
15 read that, perhaps naively, as a
16 positive report.

17 MR. PINCUS: Yes.

18 THE COURT: My recollection
19 is last time you suggested if things
20 were going to break down in the
21 diligence process and maybe
22 materialize in discovery disputes in
23 litigation we would likely see that
24 between when we last spoke and
25 around mid-September.

1 * * HIGHLY CONFIDENTIAL * *

2 I know we are not at
3 mid-September yet, who knows what
4 will happen tomorrow, but do you
5 think things are for the moment
6 going at least as well as you could
7 have hoped?

8 MR. STRONG: Things are going
9 as well as we could have hoped.

10 I think the temperature level
11 decreased when we said hey, guys, we
12 will be cooperative and we will be
13 sharing information, we will work
14 together in creating the sim and we
15 think that's the best way to
16 maximize value.

17 As soon as we said that, they
18 said we completely agree, let's work
19 together and we have done so since
20 that conversation.

21 So yes, it has -- it's going
22 well.

23 MR. PINCUS: Ray, wouldn't
24 you say because of the amounts of
25 the judgments they have become more

1 * * HIGHLY CONFIDENTIAL * *

2 focused on maximizing value and
3 being collaborative as well?

4 MR. STRONG: Absolutely.

5 MR. SCHROCK: Your Honor
6 personally I've been pleasantly
7 surprised, we have been able to --
8 between Mr. Stall and myself we have
9 said we have to find a way to work
10 together and let the business
11 parties and the M&A parties really
12 work this process for the benefit of
13 everyone involved, and let the
14 litigators take a step back with
15 regard to implementation.

16 Those issues are still out
17 there, so I think overall I was
18 pleasantly surprised.

19 THE COURT: Great.

20 MR. SCHROCK: Your Honor, in
21 terms of, you know, the priority
22 arrangement, step 5 and step 7
23 deadline, I know that those are
24 things that are going to be
25 discussed at the status conference.

1 * * HIGHLY CONFIDENTIAL * *

2 We are happy to answer any
3 questions, we do have Ms.
4 Barrington, my partner, that is
5 assisting with how we were thinking
6 about some of these issues.

7 But we can also save it
8 certainly for the status conference
9 as well, Your Honor.

10 THE COURT: Yeah, I think I
11 don't need to get into any detail on
12 those issues now.

13 It sounds as if I'm not
14 holding anybody on this call up if
15 we keep those issues pending,
16 perhaps as long as until the status
17 conference, is that right?

18 MR. SCHROCK: That's correct,
19 Your Honor.

20 THE COURT: Okay, I don't
21 think we need to discuss them
22 further at this time.

23 MR. SCHROCK: You know, I'll
24 open it open to the rest of my team
25 and the -- and Mr. Pincus, Evercore,

1 * * HIGHLY CONFIDENTIAL * *

2 are there other things that anybody
3 wants to address with the court at
4 this time?

5 MR. PINCUS: Ray, is it worth
6 updating the court on the Chancery
7 Court action to get the certificate,
8 which becomes a very important issue
9 here?

10 I don't know if you have been
11 following the filings, Your Honor.

12 THE COURT: Only a little bit
13 so I would appreciate an update,
14 thank you.

15 MR. SCHROCK: Sure.

16 Your Honor, in response to
17 court's July 17th order, PDVSA filed
18 a letter with the court on Friday,
19 July 21st, where it represented that
20 it would file an action in the
21 Chancery Court seeking an expedited
22 order that PDH immediately issue a
23 replacement share certificate by
24 July 31st, and it's at docket entry
25 645.

* * HIGHLY CONFIDENTIAL * *

On July 31st PDVSA did file an action in the Delaware Chancery Court seeking an expedited order.

PDH immediately issued a replacement share certificate. PDVSA also simultaneously filed a motion to expedite seeking an expedited hearing and an Order to Show Cause under a Delaware chancery date Code Section 168 A, wire replacement, why a replacement certificate should not be issued.

On August 25th of 2023 PDVH filed a brief in response to the Order to Show Cause why PDVH should not issue replacement shares to PDVSA.

While PDVH does not object to issuing a replacement share certificate, it has -- it does ask that the court require the posting of an indemnity bond which it argues is required by Delaware Law.

PDVH estimates the potential

1 * * HIGHLY CONFIDENTIAL * *
2 value of Citgo as being between \$32
3 billion and \$40 billion multiplying
4 the EBITDA of \$4 billion by 8 to 10
5 times.

6 The special master has been
7 tracking the Chancery Court
8 proceedings and is considering
9 whether it would be appropriate to
10 make an appearance or submit any
11 briefings to ensure the sale process
12 interests are adequately
13 represented.

14 But, you know, it's a bit of
15 a strange issue, to be honest, Your
16 Honor, on the issuing of a bond
17 under these particular
18 circumstances.

19 And I would say we are
20 analyzing it carefully and, you
21 know, it's not the normal
22 circumstances where you would see
23 certainly a bond issued.

24 I think it's fair to say, but
25 when we read the statute, I think

1 * * HIGHLY CONFIDENTIAL * *
2 there are arguments that could be
3 made for that.

4 So, we are analyzing it at
5 this point.

6 THE COURT: Well, I recognize
7 I guess this issue probably is in
8 litigation right now in Chancery,
9 and I could foresee it could come to
10 me as well.

11 So let me just ask this,
12 which is truly just an empirical
13 question, if a bond were posted
14 voluntarily or by order of a court,
15 does that -- do you see that
16 potentially having an impact on our
17 sale process?

18 MR. PINCUS: I don't think
19 that anybody can issue a \$40 billion
20 bond.

21 I mean that's really the
22 issue. They say yes, you know,
23 great, but just issue a bond in that
24 amount.

25 So, I think that's a real

1 * * HIGHLY CONFIDENTIAL * *

2 roadblock here.

3 MR. SCHROCK: It is, Your
4 Honor, I mean it's -- it seems if
5 somebody were going to require a
6 bond like that, that would be a huge
7 issue, so --

8 THE COURT: Okay.

9 Thank you for that update.

10 I think I saw briefing is
11 pretty expedited, I think completed
12 in September and maybe a hearing
13 scheduled in September.

14 Is that -- do you know if
15 that's correct?

16 MR. SCHROCK: That is
17 correct, I believe.

18 Mr. Chase, do you have the
19 specific dates handy by chance?

20 MR. BENTLEY: I don't have
21 the specific date handy, but that
22 sounds right based on our review of
23 the proceedings.

24 THE COURT: Thank you.

25 I think the only other

1 * * HIGHLY CONFIDENTIAL * *
2 question I had last time, and I
3 think this was Mr. Strong, but there
4 was some number of at least informal
5 approaches from potential bidders
6 and I think maybe they were less
7 than you had been hoping to have
8 informally even heard at that stage.

9 Do you have an updated sense
10 as to that?

11 MR. STRONG: No, we have had
12 one inbound since our last
13 conversation from more of an advisor
14 side, but agreement with the Citgo
15 folks on kind of reviewing that list
16 and I think we have got that kind of
17 scheduled for the week of September
18 11th or the 18th, so no further
19 comment than that.

20 THE COURT: Okay, thank you.

21 Is there anything anybody
22 else wanted to add or discuss?

23 MR. SCHROCK: Nothing here,
24 Your Honor.

25 THE COURT: Li, I know you're

1 * * HIGHLY CONFIDENTIAL * *

2 still there, did you have any
3 questions or anything you wanted to
4 raise?

5 MR. ZHANG: No questions from
6 me.

7 THE COURT: And I think it's
8 working well to do these by Zoom and
9 approximately once a month,
10 although, again, I am available to
11 you if you need me.

12 And I don't think we had too
13 much trouble in the end figuring out
14 a schedule for this.

15 Should we just continue with
16 this process?

17 I think we exchanged some
18 e-mails with Chase maybe and we
19 worked it out.

20 Does that sound like a good
21 process?

22 MR. PINCUS: It does.

23 THE COURT: Okay, all right,
24 so we will tentatively target late
25 in September, of course we will see

1
2
3
4
5
6
7
8
9
10
11
12
13
14
15
16
17
18
19
20
21
22
23
24
25

* * HIGHLY CONFIDENTIAL * *

each other in court before then, and I will just leave it to Chase and Li, maybe, to get the conversation started offline on a specific date and time.

MR. PINCUS: Great.

MR. BENTLEY: We can grab our schedule and send it around.

THE COURT: Okay.

MR. PINCUS: Have a great Labor Day weekend, end of summer.

THE COURT: Enjoy the weekend, yes.

Summer, sadly, is just about over.

(TIME NOTED 9:45 a.m.)

* * HIGHLY CONFIDENTIAL * *

C E R T I F I C A T E

I, STEPHEN J. MOORE, a Shorthand
Reporter and Notary Public of the State of
New York, do hereby certify:

That the transcript as
hereinbefore set forth is a true and
accurate record said proceedings.

I further certify that I am
not related to any of the parties to this
action by blood or marriage; and that I am
in no way interested in the outcome of
this matter.

A handwritten signature in black ink, appearing to read 'SJM', is written over a horizontal line.

STEPHEN J. MOORE, RPR, CRR

CITGO v. Bolivarian Republic of Venezuela

Special Master *Ex Parte* Meeting Discussion Materials

August 31, 2023

Discussion Materials

Agenda

- 1 Updated Pre-Launch Timeline
- 2 Diligence Overview
- 3 Illustrative Sale Timeline Including Recommended Step 5 and Step 7 Deadlines
- 4 Implementation of Priority Arrangement

The oral discussion accompanying these written materials is integral to the presentation.

Discussion Materials

Pre-Launch Timeline

Activity	Week													
	7/24/23	7/31/23	8/7/23	8/14/23	8/21/23	8/28/23	9/4/23	9/11/23	9/18/23	9/25/23	10/2/23	10/9/23	10/16/23	10/23/23
Preparation Launch Date ("PLD")	★													
Evercore and Weil send Diligence Request List ("DRL"), Working Group List ("WGL") and Illustrative Minority Shareholder Rights and Protections to CITGO Management														
Organizational Meeting with CITGO Management to discuss process timing and logistics, conduct initial due diligence and coordinate sharing of information via Virtual Data Room ("VDR")														
Finalize WGL with input from CITGO Management														
Receive responses to DRL from CITGO Management														
Initial discussion with PDVSA regarding minority shareholder rights within 10 business days of PLD, as required by the Sale Procedures Order ("SPO")			★											
Additional due diligence between Evercore, Weil and CITGO Management														
Prepare detailed financial model, Teaser, CIM and top-priority VDR documents														
Potential additional Judgement Creditors to provide Special Master with statements regarding judgement amounts within 21 days of PLD, as required by SPO														
Evercore to provide initial findings to the Special Master including a review of CITGO capital structure, preliminary valuation and potential strategies and paths for a successful sales process								★						
Finalize sale process outreach list														
Conduct informal, pre-NDA meetings to educate select buyers on the business, process and legal nuances														
Share draft of Teaser and CIM with counsel to the Sale Process Parties and meet and confer with Sale Process Parties												★		
Launch marketing process and establish data room														★

★ Key Milestones

Discussion Materials

Diligence Overview

CITGO has provided preliminary responses to the initial diligence requests and Evercore has submitted follow-up requests

Date	Commentary
July 25, 2023	■ The initial Due Diligence Request Letter was sent to CITGO ■ The letter included 26 questions, eight of which were communicated to be high-priority items and 18 communicated as medium-priority items
August 10, 2023	■ VDR access was granted to Evercore and Weil and files were uploaded by CITGO in response to four of eight high-priority requests ▶ Responses were provided for the four remaining high-priority requests ■ Files included historical financials and CITGO's 2023-2028 Medium Term Plan
August 17, 2023	■ A PDF version of the CITGO financial model was uploaded by CITGO to the VDR ■ An updated version of the Data Request List was sent to CITGO, with the addition of six new requests communicated as medium-priority items ■ A call was held to discuss CITGO's Medium Term Plan
August 21, 2023	■ The CITGO financial model was provided in excel format along with a batch of 132 files in response to six high-priority requests and six medium-priority requests ▶ The additional files included financial and business diligence, financing, and legal related items
August 23, 2023	■ A follow-up call was held to continue discussion of CITGO's Medium Term Plan
August 29, 2023	■ Evercore Submitted 15 additional follow-up due diligence requests

Discussion Materials

Illustrative Sale Timeline

	Deadline	Key Event
Pre-Launch Timeline	July 24, 2023	■ Preparation Launch Date (“PLD”)
	August 7, 2023 (PLD + 10 Business Days)	■ SM/PDVSA Meet and Confer – No later than 10 business days after the PLD, the Special Master shall meet and confer with PDVSA regarding any minority shareholder rights or other protections that could facilitate a sale of minority shares
	October 16, 2023 (L - 7 days)	■ CIM and Teaser Share Date – No later than seven calendar days prior to Launch Date, the Special Master shall share a draft of the “teaser” and “confidential information memorandum” to be shared with Potential Bidders with counsel to the Sale Process Parties and shall meet and confer with the Sale Process Parties regarding same

■ Complete

Discussion Materials

Illustrative Sale Timeline

Deadline	Key Event
October 23, 2023 (L)	■ Launch Date (“L”) – Special Master to Launch Marketing Process and Establish Data Room in accordance with terms of the Sale Procedures Order
November 2, 2023 (L + 10 days)	■ Additional Judgment Deadline – Deadline for the Court to decide if any judgments are to be considered by the Special Master for the purpose of the Sale Transaction
December 7, 2023 (L + 45 days)	■ Deadline to Submit Non-Binding Indications of Interest
30 days prior to deadline for first round of bidding	■ Venezuela Parties’ Proposed Step 5 (Writ) Deadline
10 days prior to deadline for first round of bidding	■ Special Master’s Proposed Step 5 (Writ) Deadline
Promptly after the Step 5 (Writ) Deadline	■ Proposed Deadline for the Special Master to submit the Steps Chart to the Court by filing it on the docket of the <i>Crystalex</i> case
January 22, 2024 (L + 90 days)	■ Deadline to Submit First Round Bids

■ Dates Proposed by the Venezuela Parties

■ Dates Proposed by Special Master in the August 24 Joint Status Report

Discussion Materials

Illustrative Sale Timeline

Deadline	Key Event
March 21, 2024 (90 days after the Step 5 (Writ) Deadline)	■ Venezuela Parties' Proposed Step 7 (Perfected Writ) Deadline
April 11, 2024 (90 days after the Step 5 (Writ) Deadline)	■ Special Master's Proposed Step 7 (Perfected Writ) Deadline
May 20, 2024 (L + 210 days)	■ Deadline to Submit Second Round Bids
May 27, 2024 (L + 217 days)	■ Deadline for Special Master to Notify Bidders of Status as Qualified Bidders
June 10, 2024 (L + 230 days)	■ Auction to be conducted at the offices of Potter Anderson & Corroon LLP (1313 N. Market Street, 6th Floor, Wilmington, DE 19801-6108) or such other location as is mutually agreeable to the Special Master and each of the Sale Process Parties
As soon as reasonably practicable following conclusion of the Auction or, if no Auction, selection of the Successful Bid	■ Deadline to File Notice of Successful Bid

■ Dates Proposed by the Venezuela Parties

■ Dates Proposed by Special Master in the August 24 Joint Status Report

Discussion Materials

Illustrative Sale Timeline

Deadline		Key Event
Post-Launch Timeline	July 1, 2024 (L + 250 days)	■ Deadline to File Objections to Sale Transaction
	July 12, 2024 (L + 263 days)	■ Deadline for Parties to Reply to Objections to Sale Transaction
	July 15, 2024 (L + 270 days)	■ Sale Hearing

Discussion Materials

Implementation of Priority Arrangement

Proposed Rolling Deadlines, per August 24 Joint Status Report*

■ Proposed Deadlines Regarding the Implementation of the Priority Arrangement

- ▶ Promptly after the Step 5 Deadline, the Special Master will submit the Steps Chart to the Court by filing it on the docket.
- ▶ After the Special Master submits the Steps Chart, and assuming the new PDVH Share certificate has been issued, the Court will issue the Priority Order, stating the relative priority of Crystallex and all Additional Judgment Creditors.
- ▶ **Deadline for the Additional Judgment Creditor to submit the completed proposed form of the writ to the Clerk of Court** – Two (2) Business Days after the issuance of the Priority Order
 - **Deadline for the Additional Judgment Creditor to obtain and file on the *Crystallex* case docket an affidavit as set forth in the Joint Status Report** – One (1) Business Day after the submission to the Clerk of Court
- ▶ After the second business day from the issuance of the Priority Order, the Court will issue the Writ Order including, among other things, a **two (2) business day window in which each Additional Judgment Creditor must deliver the writ materials to the U.S. Marshal.**
 - **Deadline for the Additional Judgment Creditor to obtain and file on the *Crystallex* case docket an affidavit as set forth in the Joint Status Report** – One (1) Business Day after the submission to the U.S. Marshal

*Capitalized terms used but not otherwise defined shall have the meanings ascribed to such terms in the August 24 Joint Status Report [D.I. 693]

Exhibit C

Transcript of October 9, 2023 *Ex Parte* Meeting of the Court and the Special Master

* * * HIGHLY CONFIDENTIAL * * *
IN THE UNITED STATES DISTRICT COURT
FOR THE DISTRICT OF DELAWARE

CRYSTALLEX INTERNATIONAL)
CORPORATION,)
Plaintiff,)
v.) Misc. No.
BOLIVARIAN REPUBLIC) 17-151-LPS
OF VENEZUELA,)
Defendant.)
-----)

HIGHLY CONFIDENTIAL

SPECIAL MASTER EX PARTE MEETING
October 9, 2023
1:00 PM

B E F O R E: Honorable Leonard P. Stark

APPEARANCES:

Robert B. Pincus, Special Master
WEIL, GOTSHAL & MANGES LLP
767 Fifth Avenue
New York, New York 10153
Ray C. Shrock, Esq.
Alexander W. Welch, Esq.
Chase A. Bentley, Esq.
Luna Barrington, Esq.

EVERCORE:

Ray Strong, Senior Managing Director
David Ying, Senior Managing Director
Daniel Lakhdhir

Li Zhang, Law Clerk

* * * HIGHLY CONFIDENTIAL * * *

MR. PINCUS: I think you know everybody here. It's basically the Evercore team and the Weil restructuring and M and A team. And we do have a court reporter. We had sent around a proposed agenda, but we are happy to talk about anything you'd like first or if you'd like us to go through the updates, we are happy to do that.

JUDGE STARK: Yeah, I received the agenda. I think I'll just at the outset confirm what I think is implicit, which is no discovery disputes have arisen and hopefully you don't anticipate any at this point. Is that right?

MR. PINCUS: I will let Ray Shrock talk about it because he's leading the M and A effort, but we are sort of at the place where the rubber may hit the road as we start really pushing on the confidential information memorandum. We provided

* * * HIGHLY CONFIDENTIAL * * *

it to them, we need their comments and we need to work really closely together, but so far so good and no disputes. And it looks like things are moving that will meet our timeline as well. So let me turn it over to Ray Shrock to start and we'll go from there.

JUDGE STARK: Sounds good. Thank you.

MR. SHROCK: Good afternoon, Your Honor. Thanks for meeting with us. We are going to put the materials up on screen, if that's okay, so we can follow along.

So this should be a pretty efficient conversation today, subject to anything Your Honor wants to discuss. We'll discuss the prelaunch timeline. Evercore will cover the diligence overview. We'll talk about our proposed approach to bidding procedures, having gotten a lot of feedback from Citgo. We've also

* * * HIGHLY CONFIDENTIAL * * *

1 * * * HIGHLY CONFIDENTIAL * * *

2 talked to some of the sale process

3 parties' advisors about this, but we

4 wanted to walk through that with you.

5 And then just really briefly just

6 hit -- there was a Citgo bond

7 offering. We just wanted to make sure

8 you were aware of it because we've had

9 some inquiries from some of the

10 interested parties about it and just

11 make sure The Court was aware of that.

12 So, Chase, let's put up the

13 slide, please.

14 So, Judge, in general, I'd say

15 I'm happy to report that the Special

16 Master and his advisors have continued

17 to make significant progress on due

18 diligence as well as the preparation

19 of the launch date, including drafting

20 marketing materials and a draft of the

21 confidential information memorandum,

22 or the CIM as we refer to it since we

23 last spoke. We met with the Citgo

24 management on at least a weekly basis,

25 and sometimes much more frequently

* * * HIGHLY CONFIDENTIAL * * *

than that, to discuss outstanding due diligence needs. It's been a cordial, you know, cooperative tone that we've all struck on working together. And as my colleagues at Evercore will discuss in more detail, we're nearing the completion, at least the initial due diligence efforts, to prepare a draft of the confidential information memorandum. There's a ton of work, as you might imagine, that goes into preparing that initial document so we've prepared a draft. We have sent it now to Citgo and now is where the real work begins, I think, the interaction between Citgo, Evercore and Weil and Special Master, just making sure that that document is in good shape so that we can get the launch date, as soon as Your Honor authorizes that, you know, on schedule.

So with that, I'll turn it over to -- I don't know if Ray Strong, if

1 * * * HIGHLY CONFIDENTIAL * * *

2 you are on the line yet?

3 MR. STRONG: I'm on.

4 MR. SHROCK: Perfect. I'll turn
5 it over to you to hit the diligence
6 efforts.

7 MR. STRONG: Good afternoon.
8 Thanks, guys. Thank you, Ray. I'm in
9 the lobby of a hotel room with some
10 obnoxious jazz music in the
11 background, so I apologize on that.
12 Way louder than I would like.

13 As Ray mentioned, just hinting on
14 kind of where we are in terms of the
15 process. We've continued to do due
16 diligence. The dialogue has been good
17 with the Citgo team. We've worked
18 around both the CIM and the financial
19 model and understanding that. We've
20 shared our draft CIM, which we've
21 progressed pretty well, with Citgo
22 last Friday, the 6th, and we continue
23 to work on preparation of the
24 (inaudible). We've also on kind of a
25 parallel path gone through cap

* * * HIGHLY CONFIDENTIAL * * *

structure, general high-level view on valuation, just more for our internal team to just kind of set a foundation, and then we've also received some -- continued a few inbounds and are finalizing our outreach list. But all of this in preparation of as per our guidelines sharing by the 16th to send the teaser to the sales process parties and launching on the 23rd.

As Ray Shrock mentioned, we progressed the CIM to what we think is a good shape but now the heavy lift is really polishing that up, making it something we are all proud of to achieve highest value, and the Citgo team is on the same page. But it's going to require a lot of work, frankly more from them than us. We've progressed it as far as we can, now they've got to really polish it, make it their own document. They're aware of that. And we are going to continue to push them, the deadline on that.

1 * * * HIGHLY CONFIDENTIAL * * *

2 And so we don't see any issues with
3 the upcoming deadlines of both the
4 16th and the 23rd. So that's my quick
5 summary, Ray.

6 And then in terms of diligence,
7 we had a page in what we sent to you.
8 It's been back and forth. (Inaudible)
9 tracker. Their team has been good
10 about following up on that. There's
11 been lots of back and forth. So we
12 have a weekly call with them and in
13 between those a bunch of calls for the
14 working team. So that, again, it's
15 progressing well, the dynamics.
16 Again, heavy lift on their side is
17 really now, over the next two, three
18 weeks.

19 JUDGE STARK: The final version
20 of the CIM that, I guess, the market
21 will see, is that available on the
22 very same day that you launch? Or it
23 could be a few days after? How does
24 that work?

25 MR. STRONG: Yes. It should be

1 * * * HIGHLY CONFIDENTIAL * * *

2 available on the 23rd. Practice will

3 tell us it will be 99 percent ready.

4 We need a couple more days to spin

5 through it, which is fine, because it

6 usually takes longer than people think

7 to clear MDAs. So, rarely do we have

8 "here's the teaser and MDA" and

9 someone just signs it and sends it

10 back. Always legal comments. Always

11 takes two days to two weeks. But we

12 are hoping to have it 99 percent done

13 by the 23rd of October.

14 JUDGE STARK: Thank you.

15 MR. SHROCK: Chase, let's flip

16 the slide, if we could, please.

17 So, Judge, we've spent a

18 considerable amount of time evaluating

19 the bid procedures and specifically

20 the process that we think will

21 maximize value. After getting input

22 from Citgo, frankly, the parties and

23 just overall, you know, considerations

24 of the market, and to that end the

25 Special Master, with the assistance of

1 * * * HIGHLY CONFIDENTIAL * * *

2 advisors of weighing the pros and

3 cons, of an approach to a bidding

4 process that would not entail a

5 stalking horse being selected, but

6 rather a more traditional M and A

7 process. The primary impetus for

8 this, you know, for this thought on

9 approach is the positive development

10 of Citgo's industry and financial

11 performance since the original

12 stalking horse design was proposed.

13 The recovery has resulted in more

14 interest in the sale process by

15 strategic as opposed to kind of credit

16 bid buyers. We believe that, you

17 know, in the opinion of all of those

18 involved, I think including Citgo,

19 that those companies, these strategic

20 buyers, would be less likely to

21 participate in a stalking horse

22 process for fear of having their

23 public name exposed earlier in the

24 process before selection. Our goal is

25 to encourage an active participation

* * * HIGHLY CONFIDENTIAL * * *

in the sale process. Of course still comply with The Court's order and applicable law in terms of having ultimately a public sale, but also increase competition and maximize the sale price.

Now, under the terms of the sale procedures order, we, you know, are very careful when we submitted it and, you know, we know the sale process parties are aware of this as well, that there's no compulsory stalking horse selection. You know, all of the directives in the sale procedures order, the Special Master may select a stalking horse. You know, we may, you know, do these things but we have flexibility to run the process, frankly, in a manner so long as we, you know, actually have a public process at the end, you know, a type of process that will maximize value. So all of that being said, you know, we've talked to the advisors to the

* * * HIGHLY CONFIDENTIAL * * *

sale process parties and, you know, our thought is having, at least at this time, having a process that's more of a traditional M and A process where instead of having, you know, a stalking horse bid, for instance, here you see on the screen at L plus 90 days, that that would instead be the date by which you submit a non-binding indication of interest. L plus 150 designating a stalking horse bidder and entering a stalking horse agreement, not having that. Of course maintaining flexibility that, for instance, that let's say there's nobody that comes forward -- we think that's very unlikely, but if that were to happen and you just had a credit bid that was in place, I think we would have to once again say, listen, let's pivot and let's make sure that we have a stalking horse in place. But so long as there's strategic interest that's out there, we thought

1 * * * HIGHLY CONFIDENTIAL * * *

2 that having the flexibility to not

3 have a stalking horse process and

4 instead execute transaction documents

5 that in a more traditional manner we

6 are still going to maintain

7 flexibility at the end here depending

8 on negotiations, this is merely

9 illustrative, that will either sign up

10 a deal and that will be subject to

11 higher or better bids, or we could

12 select a successful bidder and then

13 that party, you know, once you notice

14 up the sale procedures order,

15 obviously if somebody were to come in

16 and come in over the top after having

17 this extensive process, we still feel

18 that that would satisfy the

19 requirement of having a public sale

20 but also maximize value.

21 In terms of, you know, whether or

22 not we actually go out and announce

23 any kind of formal change or

24 modification to the sale procedures,

25 there is a mechanism in the sale

1 * * * HIGHLY CONFIDENTIAL * * *

2 procedures order that says if we

3 modify the procedures in any

4 significant regard, we send out a

5 notice to the sale procedures -- sale

6 process parties, they have five days

7 to comment. As we said, we've already

8 gone out to their advisors and while

9 they haven't confirmed officially that

10 they don't have any issues, the

11 feedback's been constructive and, you

12 know, we know that Citgo who actually

13 was requesting that we modify the

14 process in this manner, is supportive,

15 as well as the Venezuela parties and

16 Conoco Philips and Crystallex didn't

17 voice any objection either, that, you

18 know, proceeding in the manner and at

19 least having an initial process letter

20 that would go out that contemplates

21 that, listen, we're going to have

22 non-binding indications of interest

23 due on January 21st and not kind of

24 foreshadowing, at least in the initial

25 process letter, that we're going to

* * * HIGHLY CONFIDENTIAL * * *

have a stalking horse. We think that makes the most sense. We don't think that you necessarily have to go out and, you know, announce this change but, Judge, you know, we really defer to The Court if after thinking about it or considering it, and we don't need a decision obviously on this right at this moment, you thought that, listen, I feel better if we let people know here's the process that we are going to follow, we are certainly of course happy to do that because we have been talking about a stalking horse process and the illustrative timeline prior to this point even though it wasn't compulsory. So our initial thought is, listen, let's go out with this, you know, traditional M and A timeline, let's see what kind of interest we get, leave our options open in terms of how the back end of this process will actually play out, but certainly maintain flexibility to

* * * HIGHLY CONFIDENTIAL * * *

pivot, still conduct the auction within the overall timeline, that that's going to be the best way to generate the most interest in light of what we're seeing from the market, the potential value and all the other facts and circumstances that we've considered. So I know that was a bit of a mouthful, Judge, but I'm happy to open it up for you if you have any questions.

JUDGE STARK: Yeah, I do have some. So putting aside for the moment what the sale procedure order may require or what might be necessary from a litigation perspective, just from a marketing perspective I think what I hear you saying is that this change, which is all to not necessarily have a stalking horse and a live auction, you think that that will promote interest --

MR. SHROCK: Yes.

JUDGE STARK: -- and also, I

* * * HIGHLY CONFIDENTIAL * * *

guess, is within the realm of what you would expect market participants or strategic bidders to be comfortable with or to be comfortable with not knowing when you initially launch the process? That is, I trust that the market has seen the sale procedure order and now they are going to see whatever you use as the launch documents that, I guess, it's not going to mention stalking horse --

MR. SHROCK: That's right.

JUDGE STARK: Will that -- you don't think that will raise questions, doubts, concerns, you think that will actually be reasonably expected and promote interest?

MR. SHROCK: That's right, Judge. And the reason we think that is when we go out with the CIM, there will be a process letter that accompanies that so everybody who executes an MDA and everybody who is going to be involved with the process will know

1 * * * HIGHLY CONFIDENTIAL * * *

2 here's what we are expecting. I think

3 as a practical matter, everybody in

4 the process, including not just the

5 sales process parties but the other

6 potential additional judgement

7 creditors, it's not going to be a

8 secret obviously that this is the way

9 we intend to proceed and, you know,

10 our view, and especially I would say

11 the view really taking the expert

12 opinion of Evercore and Weil M and A

13 team to say, listen, we're sure that's

14 going to, you know, be a more, you

15 know, effective process, particularly

16 for the strategic buyers that, you

17 know, would be interested in the

18 company.

19 MR. STRONG: Let me just add to

20 that real quick, a point of

21 clarification. It's not only a

22 process letter, it is when we are

23 launching we are picking up the phone

24 and talking to these people so it's

25 not just sending an e-mail with a

* * * HIGHLY CONFIDENTIAL * * *

teaser, it's actually communicating with people live on the phone and in that 100 percent I'm pretty certain that people are going to ask about what is the process and if they don't, we're going to tell them what the process is. So we are going to be (inaudible) about that. And this is a minor tweak, it's not that major a difference from the stalking horse, is that will be well received because if I'm XYZ big major oil company, then my name is not out there if I am chosen as the stalking horse publicly and I'm used to more this is how I do more M and A and my acquisitions. So we think it will be well received.

MR. HILL: Just to add one additional point, I mean, in our experience there are bidders who are reluctant to participate in that traditional bankruptcy, open-auction process in energy futures holdings. When we sold the transmission and

1 * * * HIGHLY CONFIDENTIAL * * *

2 distribution business, which

3 ultimately was purchased by Sempra, we

4 had several potential bidders who were

5 uncomfortable with that open-auction

6 process and were reluctant to

7 participate and would have

8 participated had we had a more

9 traditional process, as we've outlined

10 here.

11 JUDGE STARK: Okay. Then I think

12 while we are not going to of course

13 talk about litigation in terms of

14 resolving any issues that might come

15 up, I can say that I think I would be

16 more comfortable if the Special Master

17 filed something in the nature of a

18 status report saying as we prepare to

19 launch, here's this minor tweak. And

20 ideally it would say and we've run it

21 by all the sale process parties and

22 nobody has any objection, something

23 like that. Would you be concerned

24 about the market impact of such an

25 act?

1 * * * HIGHLY CONFIDENTIAL * * *

2 MR. SHROCK: Judge, thinking you
3 might say the same thing, we ran that
4 by the team and we can confirm that,
5 listen, the M and A team doesn't have
6 any concerns about filing just like
7 that. They said simply, listen, it's
8 not necessary from the perspective of
9 the M and A process from their opinion
10 to do it, but I certainly understand,
11 Judge, and get filing a notice that's
12 going to be the safe approach and we
13 are certainly happy to do that.

14 MR. PINCUS: I would also say
15 that, you know, as we run through this
16 process there may be for changes
17 necessary as we go through so we will
18 always discuss them you with, but
19 flexibility is important even if it's
20 just interim dates, et cetera, as we
21 move through and as people respond.

22 JUDGE STARK: That makes sense.
23 So if you could err on the side of
24 filing something in the litigation,
25 then if anybody does object I can have

* * * HIGHLY CONFIDENTIAL * * *

a process whereby they can object and I can quickly resolve that objection. And if there are no objections, then all the better.

MR. SHROCK: Sounds good. We'll certainly do that and certainly understand that. I think that whatever we put out, we will, to Mr. Pincus's point, we are going to, you know, make clear that, you know, consistent with the sale procedures order we have to be flexible depending on how the process unfolds. And I would say in particular, we may not preview, for instance, you know, I think we have to keep our options open around how we handle the live auction piece of this. I mean, we are very mindful of what the requirements are, the Delaware law, even putting aside that this Court may have a different set of authority for conducting a public auction, but we want to make sure that that process at the end,

* * * HIGHLY CONFIDENTIAL * * *

that's going to be a bit of a negotiation, I think, between the Special Master, Citgo and, you know, who is the ultimate buyer around what the end process will actually look like. We want to make sure that, you know, it's apparent there could be some, you know, need to be flexible around that side of it.

JUDGE STARK: Okay. And then just for sort of a high level or lay understanding, if you follow, I'm looking in the right column, if we go with, you know, ultimately you implement this proposed traditional M and A process, and you may have already spoken to this and it just may not have sunk in with me, but let's say I'm a strategic bidder and I'm very interested but I don't submit anything at the initial indication date or at the final bid date, which looks like it would be, under this scenario, May 20th, but I somehow

1 * * * HIGHLY CONFIDENTIAL * * *

2 learned, you know, perhaps it will be
3 public at some point, who the winning
4 bidder is and what they've offered and
5 I want to double it, you know, do I
6 have some ability to do that?

7 MR. HILL: Yes.

8 MR. SHROCK: Yes. We have --
9 there's a what we call a fiduciary
10 out, a traditional mechanism where
11 it's basically if there is a better
12 offer that comes in, you know, the
13 seller can always chose to bust the
14 contract, subject usually to a breakup
15 fee that would be three percent and be
16 paid by the new purchaser as kind of
17 an increment to the purchase price,
18 you can always go with the new buyer.
19 And I would also say that, you know,
20 how we actually, you know, frame up
21 the sale order to say, for instance,
22 here's the successful buyer, if
23 somebody has another bid, you know,
24 feel free to come in, versus, you
25 know, here's a successful buyer, we

1 * * * HIGHLY CONFIDENTIAL * * *

2 have the ability, kind of detailing
3 what the process is, if there is a
4 subsequent higher bid, we'll have to
5 make sure that's clear for parties.
6 And we are sensitive to that, Judge.

7 JUDGE STARK: Thank you.

8 And in terms of the launch date
9 of, I think October 23rd, I know I've
10 got a bunch of litigation before me
11 that I need to deal with, but does the
12 sale procedure order, does it require
13 or are you requesting anything further
14 from me or do you have all the
15 authority you need to go ahead and
16 launch if you are ready to do so?

17 MR. SHROCK: Chase, keep me
18 honest. But I think it's just subject
19 to the judge actually authorizing us
20 to commence the --

21 MR. BENTLEY: Yes, I think it was
22 one of the July 17th orders, maybe it
23 was July 27th, but one of those
24 mid-July orders that we are setting
25 the launch date subject to coming back

1 * * * HIGHLY CONFIDENTIAL * * *

2 and officially approving the launch
3 date. So other than that, no, we
4 don't need anything else.

5 JUDGE STARK: Thank you for that
6 reminder. So what I think that means
7 to me that is I will expect some sort
8 of motion or something from you all
9 saying we are ready to go and we want
10 that authorization, Ideally saying
11 nobody opposes it as well. So that
12 will trigger me to do it. I will not
13 -- I did not intend to suis ponte wake
14 up on October 23rd and --

15 MR. SHROCK: Understood, Judge.

16 JUDGE STARK: -- that's not how
17 courts work.

18 MR. SHROCK: We wouldn't expect
19 that either, Judge. We left it -- it
20 was ambiguous as to how we could get
21 that authorization and so we are where
22 happy to submit something to The Court
23 and get that in, filed.

24 And then subject to any other
25 questions that you have, just really

* * * HIGHLY CONFIDENTIAL * * *

quickly we wanted to let you know that on September 13, 2023 Citgo announced it had commenced a private offering of about 1.1 billion in aggregate principal amount of senior secured notes due in 2029. We reviewed the preliminary offering memorandum for the notes and, you know, we also received some inquiries from various parties because there was a reference in the OM to using some of the proceeds for settlements or other things related to this process. So in response to the inquiries from interested parties, we sent a list of questions over to Citgo. They're in the process of reviewing and engaging with us on that. We're reviewing some of the responses and they closed the offering on September 20th. I think our primary concern was just making sure that whatever they are doing is not going to be interfering with whatever process that we have. And

* * * HIGHLY CONFIDENTIAL * * *

by interfering, obviously we encourage settlement, I think the process parties would get upset if there was anything done to reorder the priority in conjunction with anything that we are doing here. So that was the sole basis of our interest. The inquiry has been cooperative and we just wanted to make sure that you are aware of that, that that took place.

JUDGE STARK: I was not aware of that. And I will admit to you that I don't know necessarily know what all those words mean. If you open it and then you close it, does that mean they did in fact raise that money?

MR. SHROCK: Sorry, Judge. They did raise the money and so they have the cash at this point --

MR. PINCUS: Haven't they redeemed those bonds, Ray?

MR. SHROCK: Yes. The proceeds were to be used to refinance some bonds as well, raise incremental

1 * * * HIGHLY CONFIDENTIAL * * *

2 capital for settlements, was the two
3 use of proceeds.

4 JUDGE STARK: So they purchased
5 back or paid off bond holders of some
6 amount but you believe there may be
7 some money left over from that
8 transaction in September?

9 MR. SHROCK: That's correct.

10 MR. YING: Actually, they raised
11 some new bonds because there were
12 existing bonds that are coming due in
13 under a year from now so it's quit
14 customary for a company to retire debt
15 coming due within a year ahead of
16 time. And that's exactly what they
17 did. In fact, they raised about a
18 billion-two and there are really about
19 a billion-three of bonds coming due so
20 they actually used a little bit of
21 excess cash to retire all the debt
22 coming due in a year and that was the
23 motivation for the financing.

24 MR. STRONG: Just to add, we
25 spoke with the CFO. If this process,

* * * HIGHLY CONFIDENTIAL * * *

the process we are talking about, were not going on at all, this would be normal course of business for them. They do it anyway and it actually saves them on interest expense. So they had debt coming due within a year, didn't want to go current, better interest rate, so this would be sort of normal course.

JUDGE STARK: Thank you.

MR. SHROCK: Finally, Your Honor, I just want to also note that we have been made aware that there are settlement discussions still ongoing in the background, you know, which is fine, and we are certainly never -- we've always been in favor of parties settling and satisfying judgements in this process, but I believe those discussions are ongoing. There is nothing that is imminent, it's our understanding. But we did want to let you know parties are continuing to talk.

1 * * * HIGHLY CONFIDENTIAL * * *

2 JUDGE STARK: I appreciate that.
3 And I think we've made it clear that
4 the Special Master and all of you are
5 available to assist with that but I
6 take it they are not really using you
7 all for that at this point.

8 MR. PINCUS: That's correct.

9 JUDGE STARK: My law clerk Li is
10 on the line. Li, do you have any
11 questions?

12 MR. ZHANG: Just one small thing.
13 This tweak in the sale process would
14 not affect the Special Master's
15 position on the step five deadline.

16 MR. SHROCK: No.

17 MR. PINCUS: That is correct, it
18 would be the same.

19 JUDGE STARK: Thank you. I
20 didn't have any other questions other
21 than just generally to make sure -- I
22 think from my perspective it's working
23 to talk to you about once a month.
24 I'm available otherwise, by Zoom, and
25 with the court reporter. That all

1 * * * HIGHLY CONFIDENTIAL * * *

2 works for you all as well?

3 MR. SHROCK: Yes, Judge.

4 JUDGE STARK: All right. I do
5 not have anything else. It's a
6 pleasure to see you all. I'm glad it
7 seems to be moving well and will
8 continue to. I know you never know
9 what the future holds.

10 (Time noted: 1:31 P.M.)

11

12

13

14

15

16

17

18

19

20

21

22

23

24

25

CERTIFICATE

STATE OF NEW YORK)

: SS.:

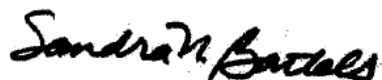
COUNTY OF ORANGE)

I, SANDRA NOEL BARTELS, a Notary
Public for and within the State of New
York, do hereby certify:

That the witness whose testimony as
herein set forth, was duly sworn by me;
and that the within transcript is a true
record of the testimony given by said
witness.

I further certify that I am not
related to any of the parties to this
action by blood or marriage, and that I am
in no way interested in the outcome of
this matter.

IN WITNESS WHEREOF, I have hereunto
set my hand this 10th day of October 2023.



SANDRA NOEL BARTELS

Crystallex v. Bolivarian Republic of Venezuela Special Master *Ex Parte* Meeting Discussion Materials

October 9, 2023



EVERCORE

Discussion Materials

Agenda

1 Updated Pre-Launch Timeline

2 Diligence Overview

3 Proposed Approach to Bidding Procedures

4 CITGO Petroleum Bond Offering

Discussion Materials

Updated Pre-Launch Timeline

Activity	Week													
	7/24/23	7/31/23	8/7/23	8/14/23	8/21/23	8/28/23	9/4/23	9/11/23	9/18/23	9/25/23	10/2/23	10/9/23	10/16/23	10/23/23
Preparation Launch Date ("PLD")	★													
Evercore and Weil send Diligence Request List ("DRL"), Working Group List ("WGL") and Illustrative Minority Shareholder Rights and Protections to CITGO Management														
Organizational Meeting with CITGO Management to discuss process timing and logistics, conduct initial due diligence and coordinate sharing of information via Virtual Data Room ("VDR")														
Finalize WGL with input from CITGO Management														
Receive responses to DRL from CITGO Management														
Initial discussion with PDVSA regarding minority shareholder rights within 10 business days of PLD, as required by the Sale Procedures Order ("SPO")			★											
Additional due diligence between Evercore, Weil and CITGO Management														
Prepare detailed financial model, Teaser, CIM and top-priority VDR documents														
Potential additional Judgement Creditors to provide Special Master with statements regarding judgement amounts within 21 days of PLD, as required by SPO														
Evercore to provide initial findings to the Special Master including a review of CITGO capital structure, preliminary valuation and potential strategies and paths for a successful sales process								★						
Finalize sale process outreach list														
Conduct informal, pre-NDA meetings to educate select buyers on the business, process and legal nuances														
Share draft of Teaser and CIM with counsel to the Sale Process Parties and meet and confer with Sale Process Parties														
Launch marketing process and establish data room														

★ Key Milestones

Discussion Materials

Diligence Overview

Below is an overview of the diligence process since the prior Ex-Parte Meeting on August 31, 2023

Date	Commentary
Week of September 1, 2023	■ CITGO sent Evercore and Weil the latest version of the diligence tracker and uploaded a batch of 611 files
Week of September 8, 2023	■ Evercore sent CITGO the latest version of the diligence tracker, with the addition of 19 new requests communicated as medium-priority items ■ Evercore requested a call to discuss CITGO's financial forecast model ■ CITGO sent Evercore and Weil the latest version of the diligence tracker and uploaded a batch of 821 files
Week of September 15, 2023	■ CITGO sent Evercore and Weil the latest version of the diligence tracker and uploaded a batch of 284 files ■ Certain portions of a draft consultant report regarding CITGO asset and operational information was uploaded by CITGO to the VDR ■ CITGO and Evercore had a call to discuss CITGO's financial forecast model
Week of September 22, 2023	■ CITGO sent Evercore and Weil the latest version of the diligence tracker and uploaded a batch of 52 files ■ CITGO and Evercore held a call to discuss the sensitivity matrix provided by CITGO ■ Additional portions of a draft consultant report regarding CITGO asset and operational information was uploaded by CITGO to the VDR
Week of September 29, 2023	■ CITGO sent Evercore and Weil the latest version of the diligence tracker and uploaded a batch of eight files

Proposed Approach to Bidding Procedures

Key suggestions include removing the Stalking Horse Bid process and Live Auction process in favor of a more traditional two-stage sell-side M&A process—consistent with discretion in Sale Procedures Order			
Timing	Date	Existing Sales Procedure Order	Proposed Traditional M&A Process
Launch (“L”)	October 23, 2023	Special Master to launch Marketing Process and establish Data Room in accordance with terms of the Sale Procedures Order	No change
L + 45 days	December 7, 2023	Deadline to submit Non-Binding Indications of Interest	Initial deadline to submit Non-Binding Indications of Interest deferred until January 21, 2024
L + 90 days	January 21, 2024	Deadline to submit Stalking Horse Bids	Deadline to submit Non-Binding Indications of Interest
L + 150 days	March 21, 2024	Deadline for Special Master to designate Stalking Horse Bidder and enter into Stalking Horse Agreement	Stalking Horse process removed
L + 210 days	May 20, 2024	Deadline to Submit Bids	No change
L + 230 days	June 9, 2024	Live Auction	Live Auction process removed
L + 235 days	June 14, 2024	Execute transaction documents with Successful Bidder and publicly announce	No change. Execute transaction documents with Successful Bidder and publicly announce. Commence fiduciary out period.
L + 270 days	July 19, 2024	Sale Hearing	No change. End of fiduciary out period.

Step removed / deferred in Proposed Process

Exhibit D

Transcript of November 7, 2023 *Ex Parte* Meeting of the Court and the Special Master

Page 1

1
2
3
4
5
6
7
8
9
10
11
12
13
14
15
16
17
18
19
20
21
22
23
24
25

* * * HIGHLY CONFIDENTIAL * * *

IN THE UNITED STATES DISTRICT COURT

FOR THE DISTRICT OF DELAWARE

-----X

CRYSTALLEX INTERNATIONAL CORPORATION,

Plaintiff, Misc. No.

17-151-LPS

- against -

BOLIVARIAN REPUBLIC OF VENEZUELA,

Defendant.

-----X

HIGHLY CONFIDENTIAL

SPECIAL MASTER EX PARTE MEETING

Tuesday, November 7, 2023

4:02 P.M. EDT

B E F O R E:

Honorable Leonard P. Stark

REPORTED BY:

LINDA J. GREENSTEIN

1 HIGHLY CONFIDENTIAL

2 A P P E A R A N C E S:

3 (All parties appearing via Zoom
4 Videoconferencing)

5 ROBERT B. PINCUS, Special Master
6 WEIL GOTSHAL & MANGES, LLP

7 767 Fifth Avenue
8 New York, New York 10153

9 BY: RAY C. SCHROCK, ESQ.
10 ALEXANDER W. WELCH, ESQ.

11 EOGHAN KEENAN, ESQ.
12 CHASE A. BENTLEY, ESQ.

13 AMANDA KADISH, ESQ.
14 LUNA BARRINGTON, ESQ.

15

16

EVERCORE

17 2 Houston Center
18 909 Fannin Street

19 Houston, Texas 77010

20 BY: RAY STRONG, Senior Managing Director
21 AND

22 55 East 52nd Street
23 New York, New York 10055

24 BY: DAVID YING, Senior Managing Director
25 DANIEL LAKHDHIR, Vice President

26

Also Present:

27

LI ZHANG, Law Clerk

28

29

30

31

32

33

34

35

1 HIGHLY CONFIDENTIAL

2 JUDGE STARK: I've got the
3 agenda that you sent earlier today and
4 I'm happy to let you all take the lead
5 and we'll jump in as we have issues, 16:02:44
6 if we do.

7 SPECIAL MASTER PINCUS: Awesome.

8 Ray, would you like to start,
9 Ray Schrock?

10 MR. SCHROCK: Yes, happy to do 16:02:52
11 it. Good afternoon, again, your
12 Honor. Can you hear me today?

13 JUDGE STARK: Yes. Good
14 afternoon.

15 MR. SCHROCK: Again, Ray Schrock 16:02:58
16 from Weil for the Special Master.

17 So in terms of the topics, your
18 Honor, we wanted to give you a
19 marketing process update and then just
20 talk through a couple of issues 16:03:07
21 related to the PDVSA 2020 bonds.

22 Nothing unfavorable I'm pleased
23 to report in this update that we're
24 going to give you. And, in fact, on
25 the 2020 bonds point, we'll give you a 16:03:24

HIGHLY CONFIDENTIAL

1
2 little bit of color, but we just
3 finished a meeting with CITGO relating
4 to some settlement efforts that they
5 have been undertaking and they wanted 16:03:35
6 to coordinate with us, not so much
7 related to 2020 bonds, but to certain
8 other parties. I just want to make
9 sure that we're keeping you up to
10 speed on what we know related to that. 16:03:47

11 So, your Honor, on the marketing
12 process update, in anticipation of a
13 launch date, the Special Master and
14 CITGO worked cooperatively to finalize
15 the marketing materials and a list of 16:03:59
16 potential bidders.

17 And on October 23, 2023, after
18 receiving authorization to launch from
19 your Honor, the Special Master,
20 through his advisors, began 16:04:11
21 distributing marketing materials and
22 NDAs to parties on the potential
23 bidder list.

24 On that same day, the Special
25 Master also filed a status report 16:04:20

HIGHLY CONFIDENTIAL

outlining his intention not to solicit
stalking horse bids at this time and
otherwise laying out certain interim
sale process milestones.

16:04:30

The milestones included in the status report are also listed on Slide 2 of the presentation, and as you will note, we included milestones and deadlines known as of the launch date, but not all milestones.

16:04:44

As we progress through the sale process, we'll set additional deadlines in coordination with the Court and we'll be sure to consult with your Honor, as well as the sale process parties, and file appropriate updates on the docket to provide ample notice to parties of interest.

16:04:56

At this time, your Honor, unless you have any questions just regarding the status report, I propose to turn it over to Ray Strong of Evercore to give you an update on the outreach since the October 23rd launch date.

16:05:06

16:05:20

1 HIGHLY CONFIDENTIAL

2 JUDGE STARK: Just one I'm sure
3 very small question.

4 Have you been getting the
5 statements of the sort of completion 16:05:30
6 of steps from any potential additional
7 judgment creditors as we had ordered?

8 MR. SCHROCK: Yes, we have, your
9 Honor.

10 JUDGE STARK: Okay.

11 MR. SCHROCK: Yes. And we'll
12 hit that topic just a little bit
13 later, you know, in the update as
14 well.

15 JUDGE STARK: Okay. 16:05:51

16 MR. SCHROCK: Okay. With that,
17 I'm happy to turn over to Ray Strong
18 or any member of the Evercore team.

19 MR. STRONG: Yes, it's Ray
20 Strong speaking. Can you guys hear me 16:05:58
21 okay?

22 JUDGE STARK: Yes, I could hear
23 you. Good afternoon.

24 MR. STRONG: Okay. And, your
25 Honor, my apologies, but my video 16:06:04

1 HIGHLY CONFIDENTIAL

2 thing was not working to get in, which
3 is a little bit of an IT problem on my
4 side, but the next one I'm sure you'll
5 see my happy face.

16:06:14

6 JUDGE STARK: Okay.

7 MR. STRONG: I'm on Slide 3 of
8 the presentation, and as Ray Schrock
9 mentioned, we were able to launch on
10 the 23rd. We did an outreach to 87
11 parties. They have been now

16:06:22

12 contacted. We continue to fine-tune
13 the CIM and work with CITGO on that,
14 good working relationship there. We
15 were able to knock that out and get
16 that in very good shape where everyone
17 was proud of the document, with the
18 completion of November 2nd.

16:06:34

19 Those that executed the NDAs we
20 sent the CIM, and we have a financial
21 model that has the projections. It's
22 non-dynamic, but -- i.e., you can't
23 plug in certain things and everything
24 changes, but we think it works well
25 for this first round.

16:06:45

16:07:01

1 HIGHLY CONFIDENTIAL

2 Again, we've reached out to 87
3 parties. As of today, there are
4 roughly 16 NDAs that are either
5 executed or in process.

16:07:12

6 This says, you know, seven
7 executed today, it's eight have
8 executed, eight are in the process of
9 executing. Roughly 44 of the 87 -- so
10 16 NDAs executed are in process. 44
11 have passed, 44 companies have passed,
12 and 27 are sort of outstanding, still
13 considering, so that's sort of the
14 lineup.

16:07:24

15 Side note: I mentioned to the
16 group that those that had mentioned
17 and were up to speed on this process
18 and the small change that we had from
19 stalking horse to two-step M&A process
20 were very appreciative of that. They
21 don't want their name in the public
22 space, so that was well received.

16:07:36

16:07:49

23 And then we've continued to kind
24 of field some questions and try to
25 provide some diligence information to

16:08:03

1

HIGHLY CONFIDENTIAL

2

people as they -- as they ask

3

questions, but we're still in early

4

stages.

5

The other thing that was

16:08:12

6

appreciated was a January bid date,

7

and, you know, we'll follow the

8

procedures in terms of sale notice on

9

that and publishing the sale notice.

10

Ray Schrock, that was my quick

16:08:25

11

update on the marketing process. I'd

12

say that we're pleased with how things

13

are going. We always knew that the

14

lot would self-select out, given the

15

unique nature of this process, but

16:08:38

16

having 16 parties, hopefully up to 20

17

in and looking, we think is a decent,

18

fair outcome so far.

19

JUDGE STARK: That was going to

20

be my question because I don't have

16:08:51

21

any sense as to what we would have

22

expected, but if I told you months ago

23

that maybe 20 will sign an NDA, you

24

would have said that's a reasonable

25

expectation and likely lead to perhaps 16:09:04

1 HIGHLY CONFIDENTIAL

2 some success here?

3 MR. STRONG: The 20 we think is
4 actually pretty good. Of those 20,
5 how many are real-real, not sure, and 16:09:19
6 we really won't know until January.
7 I'm not going to to go there in terms
8 of predicting outcomes.

9 JUDGE STARK: Okay. Thank you.

10 MR. SCHROCK: Your Honor, again, 16:09:34
11 Ray Schrock for Weil. Just to hit on
12 the sale notice for a second.

13 So the Sale Procedures Order
14 notes that the Special Master is
15 required to publish a sale notice 16:09:46
16 following a launch date and prior to
17 any auction or designation of any
18 successful bidder, and the notice must
19 be published in the News Journal, the
20 Delaware State News and The Wall 16:10:01
21 Street Journal, national edition, as
22 well as the USA Today national
23 edition. And, if practicable, a
24 region or local newspaper published or
25 circulated in Venezuela selected by 16:10:14

1
2
3
4
5
6
7
8
9
10
11
12
13
14
15
16
17
18
19
20
21
22
23
24
25

HIGHLY CONFIDENTIAL

the Special Master in consultation
with the sale process parties.

However, the Venezuela parties
have voluntarily waived any
requirement under Delaware law or
otherwise regarding publishing of the
notice in Venezuela that's on the Sale
Procedures Order, which is Docket
Entry Number 41, page 8, footnote 3.

16:10:22

16:10:34

And Venezuela has also reached
out to us to say they very much would
like us not to publish in Venezuela.
That's their request. And so we've
been thinking about that and looking
at it.

16:10:52

We haven't made any
determination for -- or, you know, in
consultation to come to your Honor
with on the sale notice, but our
thought on this is, you know, given
that we don't know all of the
deadlines yet, but nevertheless want
everybody to be fully informed about
the process is that we anticipate

16:11:02

16:11:15

HIGHLY CONFIDENTIAL

1
2 filing a two-part notice; that is, one
3 now that outlines the deadlines of
4 which have already been set in the
5 process which would include the 16:11:28
6 interim sale milestones currently
7 available, and then another once the
8 balance of the milestones are known,
9 you know, kind of following a rule of
10 notice early and often to make sure 16:11:44
11 that we're complying.

12 And regarding publishing in the
13 regional or local Venezuelan
14 newspaper, we're still considering
15 that, including all of the -- making 16:11:55
16 sure that we're still complying with
17 applicable law and all due process
18 requirements, and we would like to
19 come back to your Honor on that
20 particular point, on publishing in 16:12:09
21 Venezuela. You know, what we don't --
22 we're sensitive to -- Venezuela is
23 already waived of the requirement.

24 We want to make sure that
25 there's nothing we're not considering 16:12:21

1 HIGHLY CONFIDENTIAL

2 or thinking through in terms of the
3 due process or notice issue, just
4 given the requirements under the
5 Delaware statute, which technically 16:12:28
6 require that you still publish notice,
7 as well as not getting caught, just
8 given the changing nature of the
9 government in Venezuela, is that
10 making sure we're not getting caught 16:12:40
11 flat-footed around any notice issues
12 in Venezuela, somebody coming back and
13 arguing that we didn't give proper
14 notice.

15 JUDGE STARK: Is it your view of 16:12:50
16 the Sale Procedure Order that the
17 notice in Venezuela is optional
18 pursuant to that order, putting aside
19 whatever Delaware law may require?

20 MR. SCHROCK: Yes. We're 16:13:03
21 certainly open to your Honor's
22 interpretation, if we're not
23 interpreting the order correctly.

24 JUDGE STARK: But as you sit
25 here now, it's not that you have 16:13:17

HIGHLY CONFIDENTIAL

concluded you would need a
modification to the language of the
order.

MR. SCHROCK: Correct. 16:13:24

JUDGE STARK: Okay.

MR. SCHROCK: Yes. Given that the Venezuela parties have voluntarily waived notice in Venezuela, and, you know, we're talking about the parties that actually own the shares.

And this is a -- publishing in the -- you know, Venezuela, would be primarily a benefit for them, and they're already participating at this point. 16:13:45

JUDGE STARK: I think, yes, the
only thing that I'm thinking that I
would be okay sharing is just, you
know, to err on the side of, if
there's any doubt --

16:13:57

MR. SCHROCK: Right.

JUDGE STARK: You know, file something publicly on our docket that indicates at their request -- 16:14:06

1 HIGHLY CONFIDENTIAL

2 MR. SCHROCK: Yes.

3 JUDGE STARK: -- you're
4 exercising authority you believe you
5 have under the order to not do this 16:14:13
6 particular aspect of the notice,
7 something like that, but obviously
8 I'll react to whatever I see on the
9 docket, if I see anything.

10 MR. SCHROCK: Understood, your 16:14:27
11 Honor. And we'll definitely come back
12 to you before we make any decision
13 around that, but we will certainly be
14 happy to file something on the docket
15 related to that. 16:14:40

16 Also, your Honor, on the
17 additional judgments, according to the
18 Sale Procedures Order and subsequent
19 orders, the additional judgment
20 deadline was November 2nd, 10 days 16:14:55
21 after the launch date.

22 I know that we didn't see a list
23 of additional judgments yet filed by
24 the Court, and I apologize, your
25 Honor, if you wanted us to prompt you 16:15:09

1

HIGHLY CONFIDENTIAL

2

for anything related to that, but

3

we're happy to provide any assistance

4

relating to that issue, if the Court

5

so desires.

16:15:18

6

JUDGE STARK: Yes, if something

7

is expected under the Sale Procedure

8

Order for us to do, then, yes, I would

9

appreciate the prompting.

10

MR. SCHROCK: Yes.

16:15:28

11

JUDGE STARK: From you. Thank

12

you.

13

MR. SCHROCK: So noted, your

14

Honor, and I promise you we'll be

15

doing it that way in the future.

16:15:38

16

JUDGE STARK: You can err on the

17

side of assuming I need prompting.

18

MR. SCHROCK: That's what we

19

talked about, your Honor, and we'll

20

certainly do that.

16:15:47

21

JUDGE STARK: Okay.

22

MR. SCHROCK: But, you know,

23

there's a list of additional judgments

24

that we have to put out there, and as

25

you've noted, there's been a lot filed 16:15:54

1 HIGHLY CONFIDENTIAL

2 over the last several days, and as
3 your Honor directed in the
4 October 11th order, the Special Master
5 has been tracking the judgment holders 16:16:07
6 and the submitted dates on which
7 they've completed each of their seven
8 steps to perfection, and we plan to
9 file the first monthly steps chart
10 next week. 16:16:21

11 At this time, Judge, we're
12 contemplating that the step chart is
13 just a simple organization of the
14 docketed reports filed by potential
15 additional judgment creditors and will 16:16:32
16 not contain an evaluation by the
17 Special Master of the merits of any
18 judgments or the dates on which the
19 creditors have completed any given
20 steps. 16:16:43

21 We're in the process of making
22 those substantive evaluations and will
23 submit findings to the Court as
24 contemplated by the Sale Procedures
25 Order, but that's currently where we 16:16:57

1 HIGHLY CONFIDENTIAL

2 are related to the steps chart.

3 JUDGE STARK: Okay. Another
4 thought that popped into my head.

5 I wonder if it would be a good 16:17:07
6 idea, I think it would be a good idea
7 if the Special Master filed a request
8 for an order that puts on him the
9 obligation to notify me and submit a
10 proposed form of order any time 16:17:23
11 something needs to be done pursuant to
12 the Sale Procedure Order.

13 So just to formalize what we
14 just talked about a moment ago,
15 essentially I have viewed it as his 16:17:34
16 obligation to ensure the Sale
17 Procedure Order as being followed and
18 I'm sure he's following it and all the
19 parties are following it.

20 If I'm failing to follow it at 16:17:46
21 times it's obviously inadvertent, and
22 so I wonder if we might want to just
23 make the docket very clear that I have
24 ordered him to submit proposed order
25 whenever there's something that I'm 16:17:58

1 HIGHLY CONFIDENTIAL

2 supposed to be doing.

3 How would you feel about moving
4 for such an order?

5 SPECIAL MASTER PINCUS: 16:18:06

6 Wonderful.

7 MR. SCHROCK: That sounds great,
8 Judge.

9 JUDGE STARK: And I would even
10 encourage you to consider maybe even 16:18:13
11 putting in the motion that this is at
12 the request of the Court and that it
13 came off an ex parte discussion. I
14 have no problem with revealing that.

15 MR. SCHROCK: We will do so, 16:18:25
16 Judge.

17 JUDGE STARK: Okay. Thank you.

18 MR. SCHROCK: Sure.

19 Now, your Honor, next I'd just
20 like to move to just a quick 16:18:35

21 discussion around the 2020 bonds. And
22 if your Honor can look at the slide
23 that's up there, the 2020 bonds are
24 what we refer to like a structurally

25 senior position. They're closer to 16:18:56

1 HIGHLY CONFIDENTIAL

2 CITGO compared to where -- obviously
3 where we're selling the shares, and
4 there's obviously been ongoing
5 litigation with PDVSA that's still 16:19:06
6 ongoing related to the holders of
7 those 2020 bonds.

8 And just for the Court's
9 information, since OFAC is now
10 allowing those bonds to trade, it 16:19:20
11 looks like there's been quite a bit of
12 trading in those bonds. The price is,
13 the last time I checked -- Evercore
14 can keep me honest -- was, you know,
15 somewhere in the 80s, you know, 16:19:32
16 80 percent of par, so it's a
17 significant price increase over the
18 last several weeks compared to where
19 they were trading.

20 And we won't get into the 16:19:48
21 details of the merits of the
22 bondholder litigation, but it is our
23 strong view, of the Special Master and
24 our advisors, that buyers, especially
25 strategic buyers, when they buy -- you 16:20:03

HIGHLY CONFIDENTIAL

1
2 know, if they buy the shares that were
3 selling are more likely to participate
4 in the process if they can buy those
5 shares free and clear of the 2020 16:20:15
6 bondholder claims. That is, that if
7 you're a buyer, you're buying the
8 shares and you're like, boy, there's a
9 pledge in between where I sit and
10 where the assets of CITGO are that's 16:20:28
11 subject to ongoing litigation, and
12 it's a bit of a mystery to them, you
13 know, they're like, what are we
14 supposed to do with this. At this
15 point there's a pledge of 50.1 percent 16:20:41
16 of an intermediate holding company to
17 this.

18 And so finding a resolution to
19 that is something that we think is
20 very much in everyone's interest and 16:20:52
21 we've shared that with the Venezuela
22 parties and they recognize that. They
23 don't dispute that having a resolution
24 or something to -- you know, some
25 solution there for the 2020 16:21:08

1
2
3
4
5
6
7
8
9
10
11
12
13
14
15
16
17
18
19
20
21
22
23
24
25

HIGHLY CONFIDENTIAL

bondholders is something that everybody should try and solve for.

The question is when you have ongoing litigation, there's a stay that's also in place, there -- you know, how can one construct that.

16:21:15

And what became apparent during our conversation with the Venezuela parties is, one, they're in the midst and maybe actually thought about, you know, 2020 bondholder issues in a bit of a different context, but similar.

16:21:29

One, [REDACTED]

[REDACTED]

16:21:47

[REDACTED].

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

16:21:59

[REDACTED].

They know that therefore, if you look on the chart, to get past that judgment where, you know, that intermediate -- it would have to be

16:22:16

HIGHLY CONFIDENTIAL

effectively dividend-ed up to the
relevant entity, and so they have to
solve for how do you -- how do you get
around the 2020 judgments [REDACTED]

16:22:27

[REDACTED]
[REDACTED]
[REDACTED] you know,
legal restraints that may be there.

[REDACTED]

16:22:37

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

16:22:55

[REDACTED]

[REDACTED] [REDACTED]

[REDACTED].

We had actually been considering
a different construct where, you know,
if we don't know how it's going to be
settled, the 2020 bondholder
litigation, is there a construct where
we find sufficient cash to put in an
escrow and the bondholders agree to

16:23:09

16:23:22

HIGHLY CONFIDENTIAL

1
2 release the lien on the shares in
3 exchange for getting a lien on the
4 escrow and just taking rights against
5 the escrow, and whoever wins the 16:23:32
6 underlying litigation, you know, we
7 can solve. You know, you don't have
8 to solve the litigation for that.

9 But it's apparent to us given
10 the current procedural posture that 16:23:44
11 unless the bondholders are successful
12 imminently in the litigation that's
13 currently pending, that it looks like
14 it's going to be some time before --
15 if everyone plays out their litigation 16:23:56
16 options -- before the 2020 bondholder
17 dispute, you know, would -- would
18 ultimately be resolved. And we're
19 sensitive to buyers saying, hey,
20 listen, what am I buying, you know, am 16:24:10
21 I buying -- you know, still having
22 these shares effectively tied up in
23 this litigation? You know, so we're
24 trying to put together potential
25 solutions related to that and we're 16:24:23

1
2
3
4
5
6
7
8
9
10
11
12
13
14
15
16
17
18
19
20
21
22
23
24
25

HIGHLY CONFIDENTIAL

coordinating with the Venezuela parties on that.

And I just note that for your Honor just to note that I don't think -- I think this is something that the Venezuela parties are sensitive to, we're very much sensitive to. 16:24:33

We don't think that we're certainly going outside of our lane, and the 2020 bondholders' counsel, in fact, has reached out to us a couple of times to say, listen, how can we, you know, solve or participate in the sale process so that we're not an impediment to the shares being sold. 16:24:44 16:24:59

Now, I think Venezuela obviously would like to settle for a significant discount and, you know, we're most focused on, we want to have a solution so that it's not an impediment to the sale because we can certainly see how if we don't find a solution that it could be. Somebody could say, listen, I don't want to buy the shares or I 16:25:12 16:25:24

1
2
3
4
5
6
7
8
9
10
11
12
13
14
15
16
17
18
19
20
21
22
23
24
25

HIGHLY CONFIDENTIAL

think it's an issue buying the shares
with this in place.

And so we just wanted to
surface, you know, some of our
thinking around that and let you know,
Judge, that, one, the Venezuela
parties are aware of it; two, [REDACTED]

16:25:32

[REDACTED]

[REDACTED]

16:25:43

[REDACTED]

[REDACTED] and we're going to
come back to you with some more
details kind of surrounding that.

But depending on the amount of
additional judgments that are there,
you know, we're sensitive to, for
instance, you know, somebody going and
raising billions of dollars worth of
debt at CITGO in the middle of our
sale process trying to pay off [REDACTED]

16:25:57

judgments. That's something that a
buyer certainly, you know, would look
at and say, gosh, how is this -- what
am I inheriting as part of the sale

16:26:09

16:26:24

1 HIGHLY CONFIDENTIAL

2 process.

3 So the Venezuela parties, to
4 their credit, have come to the Special
5 Master saying, [REDACTED] 16:26:32

6 [REDACTED]
7 [REDACTED], we need to
8 coordinate with you, the Special
9 Master, and we would hope you would
10 coordinate with the Court because we 16:26:45
11 don't want to get sideways with the
12 parties in doing this.

13 And we've told them, thank you
14 for the information, we need to
15 consider some of the things that 16:26:56
16 you're saying about -- and while we're
17 all for the satisfaction of judgments,
18 and our job is simply to sell the
19 shares, when you look at the whole
20 playing field, depending on how many 16:27:09
21 additional judgments are going to be
22 included in this process -- for
23 instance, if there's additional
24 judgments of -- and I'm just
25 speculating, let's say it's 9 to, you 16:27:20

1 HIGHLY CONFIDENTIAL

2 know, somewhere -- 9 to \$14 billion,
3 you know, that's not something that
4 can be solved by just raising a lot of
5 debt, in our view, at CITGO, and just 16:27:30
6 paying everything off.

7 So part of what our dialogue
8 will be is, what's the end game, you
9 know, that you're thinking about when
10 you're considering settling with 16:27:43
11 parties.

12 We're in the midst of a sale
13 process. You can certainly pay off
14 these proceeds, you know, by
15 consummating the sale, but the last 16:27:52
16 thing we want is a capital structure
17 to be put in place on the eve of
18 everyone placing bids so that they
19 don't know what to bid or that they
20 decide they don't want to bid as part 16:28:03
21 of the sale process, so...

22 I know that's a lot, Judge, but
23 that's a little -- I just wanted to
24 give you a flavor for -- we'll come
25 back to you with some more details on 16:28:13

1

HIGHLY CONFIDENTIAL

2

this, but this 2020 bondholder issue,

3

the settlement related to it and the

4

Venezuela parties' actions to settle

5

-- potentially try and settle with

16:28:25

6

parties all are a bit, you know,

7

intermeshed.

8

JUDGE STARK: That's very

9

interesting. I appreciate that

10

update. I just have one question.

16:28:34

11

MR. SCHROCK: Sure.

12

JUDGE STARK: This escrow idea,

13

it could be, I would think, but please

14

correct me if I'm wrong, that the

15

escrow to potentially [REDACTED]

16:28:48

16

17

and the escrow to be put aside to

18

protect with respect to the 2020

19

bondholder folks, those are not

20

mutually exclusive; right?

16:29:10

21

MR. SCHROCK: Yes.

22

JUDGE STARK: Both those

23

functions?

24

MR. SCHROCK: That's right,

25

Judge. I'd say on the one hand, you

16:29:15

HIGHLY CONFIDENTIAL

have Venezuela saying -- Venezuela parties saying, we think that setting aside -- for instance, if we, the Venezuela parties, strike a deal with 16:29:26

[REDACTED] to settle for cash in some amount, and we, the Venezuela parties, have to put in place an escrow with the 2020 bondholders and it was a [REDACTED], you know, movement 16:29:40 of cash, let's say it was like a [REDACTED]

[REDACTED] the bondholders in escrow, the 2020 16:29:52 bondholders, and [REDACTED] would then move up to try and pay for [REDACTED] as being [REDACTED] [REDACTED].

And that set of facts would 16:30:01 provide that there's not enough money that has been set aside to satisfy the entire judgment of the 2020 bondholders. It would be their judgment is -- you know, their claim 16:30:14

1
2
3
4
5
6
7
8
9
10
11
12
13
14
15
16
17
18
19
20
21
22
23
24
25

HIGHLY CONFIDENTIAL

is in excess of \$2 billion, assuming
it's valid.

And our -- we said, that's an
interesting idea. We were thinking 16:30:22
about it a little bit differently from
the sale context of rather than doing
that, you know, to make sure that we
have a clean sale, why wouldn't we
just put enough cash in to satisfy the 16:30:36
entirety of the 2020 potential
bondholder claim and thereby get the
lien released on the shares and allow
us to consummate the sale free and
clear. 16:30:49

And their initial reaction was,
that's really interesting and, in
fact, if we were ever going to try and
settle with any additional parties,
there would have to be, and 16:31:00
necessarily have to be enough cash,
frankly, that went into the escrow
where that would be a necessary, you
know -- likely, would there be enough
cash there even under their construct. 16:31:09

1 HIGHLY CONFIDENTIAL

2 So we agreed to further talk
3 about it and they asked that -- you
4 know, they wanted us to -- said to the
5 extent we're comfortable, you can feel 16:31:22
6 free to tell the Court of course,
7 which we always say that. But you're
8 right, it couldn't be mutually
9 exclusive. In fact, one could be in
10 lieu of the other, but, you know, it 16:31:31
11 doesn't necessarily have to be, but...

12 JUDGE STARK: Thank you for
13 that. Very interesting.

14 MR. SCHROCK: Yes, thank you.

15 So, you know, we, with the 16:31:41
16 Court's permission, will reach out to
17 the sale process parties and counsel
18 to the 2020 bondholders to at least
19 begin exploring what's the art of the
20 possible in lieu of this and 16:32:04
21 coordinate, you know, with everyone
22 around that because we can certainly
23 see these -- even for initial
24 indications of interest, these types
25 of questions are going to be coming 16:32:16

1 HIGHLY CONFIDENTIAL

2 up, you know, related to the shares
3 and how people should think about that
4 and value it.

5 We have already -- as I 16:32:24
6 mentioned before, we've already gotten
7 initial outreaches from the counsel,
8 Paul Weiss, to the 2020 bondholders,
9 and I think, you know, the Venezuela
10 parties are being -- you know, listen, 16:32:38
11 I believe they're being extremely
12 cooperative. They want us to -- they
13 want us to understand where they are.

14 And we've said, listen, we need
15 to closely coordinate on something 16:32:51
16 like this because we don't want to
17 undercut any discussions that you're
18 having here, but at the same time we
19 want to have a clean sale process so
20 it's important you know how we're 16:33:01
21 thinking about this.

22 So we both agreed to have -- I
23 think we're going to have periodic
24 updates but we're going to reach out
25 to them to discuss this issue further. 16:33:10

1
2
3
4
5
6
7
8
9
10
11
12
13
14
15
16
17
18
19
20
21
22
23
24
25

HIGHLY CONFIDENTIAL

JUDGE STARK: Okay. Thank you.

MR. SCHROCK: Beyond that, I'm
trying to think, Judge, if there was
anything that came -- I'd say the 16:33:23
other topic that came up today, your
Honor, just so you're aware is just
that [REDACTED]

[REDACTED]
[REDACTED] -- 16:33:38
[REDACTED]
[REDACTED]

[REDACTED]
[REDACTED]
[REDACTED] 16:33:54
[REDACTED] at

[REDACTED]
[REDACTED]
[REDACTED]
[REDACTED] 16:34:12

[REDACTED]
[REDACTED]
[REDACTED] [REDACTED]

[REDACTED]
[REDACTED] 16:34:24

HIGHLY CONFIDENTIAL

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

16:34:34

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED].

A lot of this is in their financial statement and they're going to be releasing earnings I believe tomorrow, but, you know, the specific status around what they expect next

[REDACTED] I don't think they're going to have that level of detail.

16:34:55

But they wanted us to provide a window into this because, again, in the context of the sale, I think a sale -- you know, parties are going to want to understand -- you know, what are we really buying on the back end and how are the [REDACTED] going to be concluded.

16:35:04

[REDACTED]

16:35:15

1
2
3
4
5
6
7
8
9
10
11
12
13
14
15
16
17
18
19
20
21
22
23
24
25

HIGHLY CONFIDENTIAL

[REDACTED]
[REDACTED]

and so that I think just we'll have to
keep an eye on that, as to how that
progresses and how it relates to the
sale process timing.

16:35:28

JUDGE STARK: Are you saying
that the Venezuela parties said they

[REDACTED]
[REDACTED]
[REDACTED]

16:35:37

MR. SCHROCK: Sorry for the
double-negative, Judge.

[REDACTED]
[REDACTED]
[REDACTED]
[REDACTED]
[REDACTED]
[REDACTED].

16:35:46

One of the things that keeps
extending it, according to the
Venezuela parties, [REDACTED]

[REDACTED]
[REDACTED]

16:36:01

16:36:17

1 HIGHLY CONFIDENTIAL

2 [REDACTED]

3 [REDACTED]. It

4 hasn't necessarily extended [REDACTED]

5 [REDACTED] date related to 16:36:28

6 it. But I would say overall it

7 appeared to be like a very positive

8 report in terms of the [REDACTED]

9 [REDACTED]

10 JUDGE STARK: And more 16:36:38

11 illustration, it seems that you've

12 been very satisfied, it sounds like,

13 all of you, with the cooperation

14 you've received from CITGO and I

15 suppose the Venezuela parties in 16:36:49

16 connection with the efforts for this

17 sale process.

18 MR. SCHROCK: We have, your

19 Honor, and we're -- I'd say they're

20 cooperating fully and they realize 16:37:00

21 that, you know, that the process is

22 going to move forward.

23 To be frank, I don't quite

24 understand the end game with settling

25 and, you know, putting billions of 16:37:17

HIGHLY CONFIDENTIAL

dollars of debt on the balance sheet
of the company when -- if you have
additional judgments that total [REDACTED]

[REDACTED] more than that, you know, but 16:37:27
I think that they're just trying to
deal with what's in front of them.

You know, we see this a lot
companies that are dealing with
significant liabilities in our other 16:37:38
day jobs, but I think that they're
trying to cooperate, they want to work
with us and they understand that the
Court or the Special Master or other
sale process parties can have 16:37:51
different views about their ability to
want to do some of these things.

You know, for instance, we're
sensitive to, if you sign up a company
to a sale process, you know, or an 16:38:03
indication of interest or actually a
share purchase agreement, then having
that company incur -- you know, engage
in an outside of the ordinary course
transactions, that would be something 16:38:16

HIGHLY CONFIDENTIAL

we normally see regulated by contract,
and I think they're sensitive to that
as well, Judge.

JUDGE STARK: Okay. 16:38:25

MR. SCHROCK: Bob, David Ying,
anything else you think we -- others
-- that we missed here for the Court?

SPECIAL MASTER PINCUS: You got
it all, Ray, for now, and I can't 16:38:40
think of anything else.

Thanks, your Honor. Appreciate
it. Appreciate your time.

JUDGE STARK: Always appreciate
what you all are doing and nice to see 16:38:51
you all.

The only thing I was going to throw out, Li is working well on coordinating these meetings and all.

I'm going to ask if we can aim 16:39:04
for possibly doing one around
November 30th, December 1st, something
like that, which would be a little
shorter than a month, but the way
things have started to fall, we're now 16:39:13

1 HIGHLY CONFIDENTIAL

2 in my court week. No need for you to
3 have an understanding of how my court
4 works, but I'm in court only three to
5 four mornings a month, and, yes, my 16:39:25
6 District Judge friends make fun of me
7 for that, but --

8 SPECIAL MASTER PINCUS: We won't
9 tell them anything more.

10 JUDGE STARK: All things being 16:39:34
11 equal, it would be best if our
12 meetings were not during the week --
13 the one week a month that I am
14 actually in court down here.

15 So I'll have Li work with you to 16:39:46
16 see if we can back on a schedule that
17 has this meeting a different week out
18 of the month, so that's all we have.

19 All the best. Thanks very much.

20 (Time Noted: 4:39 p.m. EDT)
21
22
23
24
25

C E R T I F I C A T E

I, Linda J. Greenstein, Certified
Shorthand Reporter, do hereby certify that
the foregoing transcript is a true and
accurate record of my stenographic notes
taken on the 9th day of November 2023.

A handwritten signature in cursive script, reading "Linda Greenstein", is centered on the page. The signature is written in dark ink and is positioned above a horizontal line.

Linda J. Greenstein
Certified Shorthand Reporter

Crystallex v. Bolivarian Republic of Venezuela Special Master *Ex Parte* Meeting Discussion Materials

November 7, 2023

Discussion Materials

Agenda

1 Marketing Process Update

2 PDVSA 2020 Bonds

Marketing Process Update

Post-Launch Timeline

On October 23, 2023, the Special Master filed a status report [D.I. 771] outlining Marketing Process deadlines established as of the Launch Date. The Special Master will supplement with additional or revised interim deadlines throughout the Marketing Process and with sufficient notice to the Court and all parties-in-interest.

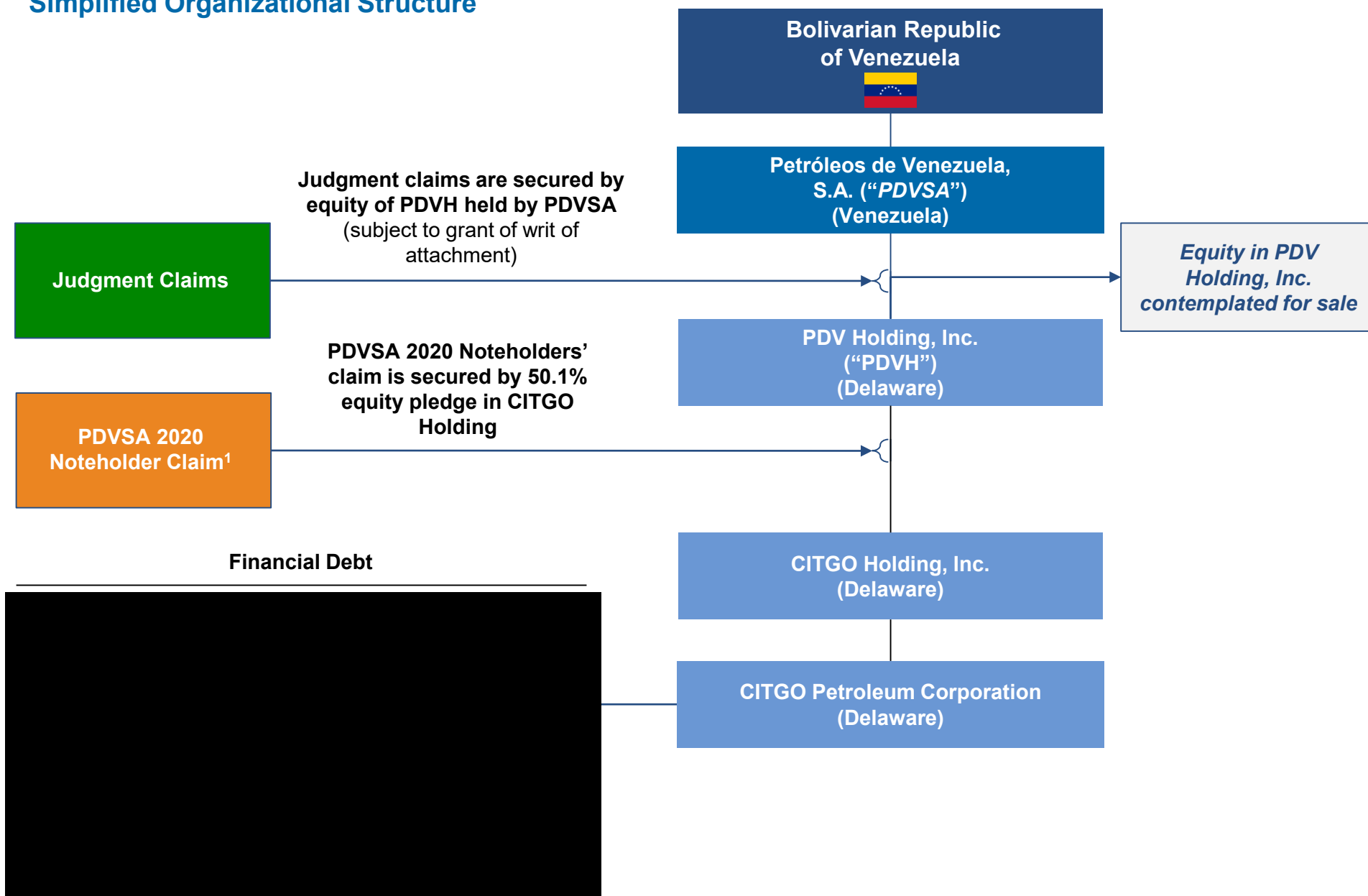
Monday, October 23, 2023	■ Launch Date (“L”)
Friday, January 12, 2024 (L + 81 days)	■ Step 5 (Writ) Deadline (10 days prior to Round 1)
Monday, January 22, 2024 (L + 91 days)	■ Round 1: Deadline to Submit Non-Binding Bids
TBD	■ Step 7 (Perfected Writ) Deadline (90 days after Step 5 and at least 10 days prior to Round 2)
TBD	■ Round 2: Deadline to Submit Final Binding Bids
Monday, July 15, 2024 (L + 266 days)	■ Tentative Sale Hearing

Marketing Process Update (cont'd.)

Initial Outreach	■ Evercore, in consultation with CITGO, populated a list of potential bidders which included Refining, Majors, Upstream, Fuel Distribution, Midstream, Chemicals, Integrated, International, Trading and Financial and Creditor counterparties ■ On October 23, 2023, Evercore started providing the Teaser and NDA to potential bidders. Initial outreach to 87 potential bidders was completed on October 27, 2023, though Evercore continues to field interest from additional parties interested in participating in the marketing process as potential bidders. ■ Counterparties began sending NDA markups, and Evercore and Weil processed NDA markups as they were received. ■ As of Monday, November 6, 2023, 7 potential bidders had executed NDAs with the Special Master and 9 NDAs were still in the process of negotiation. ■ As required by the Sale Procedures Order, the Special Master will file sealed copies of all NDAs with the Court. ■ Evercore continues to respond to questions from potential bidders with respect to the sale process
CIM and Financial Model	■ After weeks of consistent engagement on CIM drafting, CITGO and Evercore finalized the CIM on October 30, 2023. Evercore is distributing the CIM to potential bidders that had executed an NDA. ■ On November 2, 2023, after receiving several rounds of input from CITGO, Evercore began providing the financial model to potential bidders that had executed an NDA.
Sale Notice	■ The Sale Procedures Order requires the Special Master to publish notice of the sale after the Launch Date and prior to any auction or designation of a successful bidder. ■ The Special Master must publish the sale notice in certain U.S. newspapers and, if practicable, a regional or local newspaper in Venezuela. However, the Venezuela Parties voluntarily waived any requirement of publication in Venezuela.
Additional Judgments	■ As required by the Court's October 11, 2023 order [D.I. 738], the Special Master intends to file his initial monthly Steps Chart during the week of November 13, 2023.

PDVSA 2020 Bonds

Simplified Organizational Structure



1. PDVSA 2020 8.5% Notes includes \$1,684mm principal outstanding as of maturity date 10/27/2020

Exhibit E

Transcript of December 1, 2023 *Ex Parte* Meeting of the Court and the Special Master

HIGHLY CONFIDENTIAL

Page 1

IN THE UNITED STATES DISTRICT COURT
FOR THE DISTRICT OF DELAWARE

CRYSTALLEX INTERNATIONAL
CORPORATION,

Plaintiff,

v.

Misc. No.:

BOLIVARIAN REPUBLIC OF
VENEZUELA,

17-151-LPS

Defendant.

HIGHLY CONFIDENTIAL

VIDEOCONFERENCE SPECIAL MASTER EX PARTE HEARING

DATE: Friday, December 1, 2023

TIME: 9:31 a.m.

BEFORE: Honorable Leonard P. Stark

LOCATION: Remote Proceeding

New York, NY 10001

REPORTED BY: Lindsey Diego

HIGHLY CONFIDENTIAL

Page 2

A P P E A R A N C E S

ROBERT B. PINCUS, SPECIAL MASTER

(by videoconference)

RAY C. SCHROCK, ESQUIRE (by videoconference)

ALEXANDER W. WELCH, ESQUIRE (by videoconference)

EOGHAN KEENAN, ESQUIRE (by videoconference)

CHASE A. BENTLEY, ESQUIRE (by videoconference)

LUNA BARRINGTON, ESQUIRE (by videoconference)

Weil, Gotshal & Manges, LLP

767 Fifth Avenue

New York, NY 10153

DAVID YING, SENIOR MANAGING DIRECTOR, EVERCORE

(by videoconference)

DANIEL LAKHDHIR, VICE PRESIDENT, EVERCORE

(by videoconference)

Evercore

East 52nd Street

New York, NY 10055

ALSO PRESENT:

Li Zhang, Law Clerk (by videoconference)

HIGHLY CONFIDENTIAL

Page 3

1 P R O C E E D I N G S

2 MR. PINCUS: Good morning. Thanks for
3 making time today for our status report. We had sent
4 you an agenda, and is that okay to work through that
5 at this point?

6 THE COURT: Absolutely.

7 MR. PINCUS: Okay.

8 UNIDENTIFIED SPEAKER: Yep.

9 MR. PINCUS: Ray.

10 MR. SCHROCK: Yes.

11 MR. PINCUS: And it's the usual crew
12 here, and we do have a court reporter.

13 THE COURT: I see that. Thanks for
14 arranging it.

15 MR. PINCUS: Great.

16 MR. SCHROCK: Good morning, Your Honor.

17 MR. PINCUS: Go ahead, Ray.

18 MR. SCHROCK: Sure. Thanks, Bob.

19 THE COURT: Morning.

20 MR. SCHROCK: So I think we do have
21 some materials. We could probably go ahead and put
22 those up, Chase. Great.

23 So we've tried to keep it succinct and
24 to the point for Your Honor that, you know, we have a
25 marketing process update and some miscellaneous items

HIGHLY CONFIDENTIAL

Page 4

1 we just wanted to bring you up to speed on.

2 You know, unless you have any questions
3 at the outset, we'll just move right in to the
4 marketing process update, which is really the main
5 agenda item that we have for you here.

6 THE COURT: That's fine. Yep; go
7 ahead.

8 MR. SCHROCK: And, Daniel, do you want
9 to handle the, you know, update on the marketing
10 process?

11 MR. LAKHDHIR: Yeah. Unfortunately, so
12 Ray, who normally provides this update, is on a plane,
13 and it looks, like, Kevin, who is the MD in his group,
14 who works alongside him, was not actually invited to
15 the call. So that's our fault for missing him out.

16 So they would be the best position to
17 actually provide an update, frankly just beyond on
18 what you see on the page here.

19 From my conversations with them, you
20 know, simply put, you know, things are progressing.
21 There's not a real material update, given that folks
22 are sort of deep in that first stage, you know,
23 diligence and discussions process.

24 But we still do have active dialogue
25 with the 20 bidders that have executed NDAs, as shown

HIGHLY CONFIDENTIAL

Page 5

1 on the page, a couple of extras still in the hopper to
2 potentially execute a NDA and get under the time.
3 But, you know, things progressing as previously laid
4 out with no real sort of material updates or changes
5 of cadence so far.

6 THE COURT: Okay. One question that
7 did occur to me, if any of my creditors are interested
8 in a credit bid, would you know that already? Would
9 they have had to have done something in this process?

10 MR. LAKHDHIR: So --

11 MR. SCHROCK: Not yet.

12 MR. LAKHDHIR: Well, I can speak --
13 yeah.

14 MR. SCHROCK: Go ahead, Daniel.

15 MR. LAKHDHIR: So I can speak to
16 there's one potential bidder listed here that is a
17 creditor, not acquisition NDA. [REDACTED]

18 [REDACTED] who are one of the creditors at the PDVH
19 level. They've expressed interest in credit bidding.
20 They have not actually gotten restricted at this
21 point.

22 And I think we've talked to a couple of
23 other financial advisors who have at least spoken to
24 creditors at the PDVH level considering a credit bid.

25 So I'll defer to Ray on what they would

HIGHLY CONFIDENTIAL

Page 6

1 have had to formally do. But, you know, informally, I
2 think there are various creditors that are aware of
3 the possibility of credit bidding and are evaluating
4 doing so.

5 MR. SCHROCK: And so, Your Honor, I
6 would just say that they wouldn't have had to do
7 anything at this point, and, you know, I think that
8 all of the creditors out there are hoping to see what
9 comes in and, you know, where things are before they
10 actually throw their hat in the ring, so to speak,
11 around, you know, putting up a credit bid. So we
12 wouldn't necessarily know that at this point.

13 But I think that, you know, especially
14 for the sale process parties, there's a, you know,
15 good degree of dialogue. They understand where we are
16 in the process, and other parties have made, you know,
17 inquiries of both the Evercore team, as well as the
18 Weil team, on a fairly regular basis.

19 THE COURT: Okay; thank you.

20 MR. SCHROCK: Sure. Okay. Let's go
21 ahead. So we are -- you know, the main -- here,
22 Judge, is that we're preparing a first-round bid
23 request letter to send to potential bidders who have
24 executed NDAs. That letter will include, you know,
25 details of the bid deadline, how to submit an official

HIGHLY CONFIDENTIAL

Page 7

1 bid, the contents, and the next steps.

2 You know, we're planning to be
3 distributing that during the next week, and the first-
4 round bids are going to be due, as we talked about, on
5 January 22nd.

6 So, you know, all proceeding according
7 to plan, and, you know, we're well on our way.

8 THE COURT: Okay; thank you.

9 MR. SCHROCK: Okay. So, Your Honor,
10 just in terms of the miscellaneous items, first
11 evaluation of the sale notice requirements, so as we
12 talked about at the November ex parte meeting, we're
13 required to publish a sale notice following the launch
14 date and prior to any auction or designation of any
15 successful bidder.

16 Under the sale procedures order, the
17 notice must be public to the News Journal, the
18 Delaware State News, and the Wall Street Journal
19 National Edition, as well as the USA Today, and then
20 importantly, and/if practicable, a regional or local
21 newspaper published or circulated in Venezuela
22 selected by the special master in consultation with
23 the sale process parties.

24 However, the Venezuela parties have
25 voluntarily waived any requirement under Delaware law

HIGHLY CONFIDENTIAL

Page 8

1 or otherwise regarding publishing of the notice in
2 Venezuela. That's on footnote three of the sale
3 procedures order, page 8.

4 We continue to believe, and we think
5 the best course is filing at least a two-part notice,
6 an initial notice that we would file here over the
7 next few weeks -- and we would be prepared to note on
8 the docket of course, you know, any issues around
9 publishing in Venezuela, as we talked about at the
10 last meeting; it would include this interim sale
11 milestones currently available, and then another
12 notice once the balance of the sale milestones are
13 known.

14 Now, we've conferred with Crystallex
15 and Venezuela about the sale notice requirements, and
16 our current plan -- one, Venezuela does not want the
17 notice published in Venezuela at this time. You know,
18 they've made their request. They've already waived
19 that requirement, and they've said, "Listen, we'd
20 prefer if you didn't publish in Venezuela."

21 Our thought is, you know, just on a
22 technical and a legal basis, one, it's, you know, not
23 the easiest thing to go out there and just go get the
24 notice published in Venezuela. Could we theoretically
25 do it? We could.

HIGHLY CONFIDENTIAL

Page 9

1 But we think the important time to do
2 that, if we're going to do it, is really, you know,
3 the actual notice that's required to effectuate the
4 sale under applicable law, which would be later on in
5 the process.

6 And, you know, what we're talking about
7 now is really perfunctory and kind of getting notice
8 out to the world that the sale process is occurring,
9 that if you're interested in putting out a bid, and
10 so, see, really this is prophylactic notice that's in
11 addition to any required legal notice that would be
12 out there, you know, in conjunction with the actual
13 consummation of the sale.

14 And interestingly, you know, I would
15 note that, you know, the Venezuela's parties'
16 hesitation for the sale process, you know, they did
17 file a notice in multiple news outlets in Venezuela in
18 connection with the Delaware Chancery Court
19 proceedings.

20 So they seemed to be okay with
21 certainly that notice. I think they're concerned just
22 about, you know, putting out notice, at least at this
23 time, related to the sale, you know, moving forward,
24 just given it's earlier in the process.

25 Now, you know, with that, Your Honor,

HIGHLY CONFIDENTIAL

Page 10

1 we would be prepared to move forward and say at least
2 initially -- and this is fine with Crystallex as well
3 -- I think Crystallex's concern is making sure we
4 comply with applicable law; they note that the
5 Venezuela parties already waived the notice
6 requirement, that at this time, we're going to publish
7 in the US and, you know, in the news outlets that
8 we've identified in the order and then reserve on
9 whether or not we file a notice in Venezuela, you
10 know, later on in the process and that we would note
11 on the -- you know, have a short explanation, what
12 notice we're providing at this time, noting that we're
13 reserving on, you know, noticing Venezuela at a later
14 point and just kind of making clear our determination
15 consistent with the Court's guidance, you know, at the
16 last time.

17 So providing that that's okay with Your
18 Honor, that's how we'd like to proceed at this point.

19 THE COURT: That all sounds right to
20 me. Let me just double-check. Your view is that
21 under all applicable law, there's no requirement for
22 notice in Venezuela at this point in the process.

23 MR. SCHROCK: Correct.

24 THE COURT: And under my sales
25 procedure order, there would be such notice, except it

HIGHLY CONFIDENTIAL

Page 11

1 can be waived by the Venezuela parties -- the right to
2 have it, and they have waived that, which we can make
3 clear in the record; is that correct?

4 MR. SCHROCK: That's correct, Your
5 Honor, with just a slight note that the sale
6 procedures order notes that we'll notice in Venezuela
7 if practicable, and we'll have some, you know, short
8 discussion around the practicality of noticing in
9 Venezuela just to comply with the sale procedures
10 order.

11 THE COURT: Right. So given what you
12 said about Chancery Court, and I know we're going to
13 talk about that more, but I am aware that notice was
14 given, which would suggest it's practicable.

15 If it is practicable, does the sales
16 procedure order require it at this stage, or is there
17 some other basis on which perhaps the waiver by the
18 Venezuela parties or something else that could, you
19 know, lead to not requiring it, even under the sales
20 procedure order?

21 MR. SCHROCK: I think, Your Honor, our
22 read of the sale procedures order is you're required
23 to notice if practicable at this point or, you know,
24 unless it's not practicable, and that certainly, you
25 know, given that the Venezuela parties did notice

HIGHLY CONFIDENTIAL

Page 12

1 that, you know, and the Chancery Court action,
2 however, they have waived it, we still believe that,
3 you know, that would be the proper course at this
4 time.

5 You know, we'd like to avoid -- unless
6 Your Honor wants us to, we could always move to amend,
7 certainly, the sale procedures order on this one point
8 and, you know, with a short motion and handle it that
9 way.

10 Otherwise, you know, the technical
11 legal reading -- and Chase or Alex, you guys have to
12 keep me honest on this, is that they have to -- you
13 know, we would still be bound to actually send it out
14 at this stage, even though under the Delaware law, the
15 only notice that's required is at the, you know,
16 conclusion of the sale, like ten days before the
17 actual sale was going to be consummated.

18 THE COURT: Right.

19 MR. BENTLEY: Right. I would agree
20 with that. Oh, I'm sorry, Your Honor. I didn't mean
21 to speak over you.

22 THE COURT: Please, go ahead. Chase,
23 go ahead.

24 MR. BENTLEY: Right. Just a
25 clarification that, you know, the notice that we

HIGHLY CONFIDENTIAL

Page 13

1 anticipate doing at this point prior to round one is
2 purely voluntary and just an effort to be conservative
3 and overly notice.

4 And as Ray pointed out, according to
5 the order, the requirement really is if it is
6 practicable. So --

7 THE COURT: Okay. Thank you for that.
8 I do think that the better course is to have you file
9 a motion to amend --

10 MR. SCHROCK: Okay.

11 THE COURT: -- the sale procedure
12 order, just on this limited point, and it sounds to me
13 -- and I would encourage you to consult with the sales
14 procedure party and --

15 MR. SCHROCK: Yeah.

16 THE COURT: -- you may be able to
17 represent it's supported by all the sales procedure
18 parties. I'll create some time for them to come
19 forward and object, and if they don't, you know, you
20 should have some proposed language of what the
21 amendment would be, which it seems to me would be to
22 change the requirement, which is something I've
23 imposed on you. But I can change that.

24 I think I'd have a hard time saying
25 it's not practicable. But I certainly would take your

HIGHLY CONFIDENTIAL

Page 14

1 advice that, you know, it's not going to be helpful to
2 the process, and nobody is saying it would be at this
3 point.

4 MR. SCHROCK: We will do so, Judge, and
5 we'll move on that promptly.

6 THE COURT: Okay; thank you.

7 MR. SCHROCK: Sure. The next item we
8 had was just an update on PDVSA settlement discussion.

9 So since the last ex parte meeting, we
10 set up recurring calls with the Venezuela parties and
11 Citgo to keep apprised of any updates in their
12 settlement discussions with [REDACTED]

13 [REDACTED] the 2020 bondholders, [REDACTED]
14 [REDACTED]

15 So as of earlier this week -- they had

16 [REDACTED]

17 [REDACTED]

18 [REDACTED].

19 Notably, [REDACTED] hasn't told us that. Although,
20 you know, this is what, you know, Venezuela has said.

21 I think Citgo and Venezuela have been
22 pretty open with us. This would be [REDACTED]

23 [REDACTED], and they're still working out the
24 details, like at what point [REDACTED]

25 [REDACTED]. They're contemplating setting up an escrow.

HIGHLY CONFIDENTIAL

Page 15

1 They would obviously have to move for court approval
2 to approve it, and, you know, it's still in process.

3 As for timing, when they would expect
4 to move on this settlement, they said that

5 [REDACTED]

6 [REDACTED]

7 I think more realistically, Judge, it
8 looks, like, it would be [REDACTED]

9 [REDACTED] if they do finally get there.

10 MR. PINCUS: It sounds, like, there's
11 lots more mechanics, Ray --

12 MR. SCHROCK: Yeah.

13 MR. PINCUS: -- the point too is --

14 MR. SCHROCK: Yeah --

15 MR. PINCUS: -- have some kind of
16 understanding; right?

17 MR. SCHROCK: Yeah. It's just going to
18 be a little bit of time, Judge, on that.

19 But this was made [REDACTED]

20 [REDACTED] [REDACTED]

21 [REDACTED].

22 But they wanted to make sure that
23 before they move forward in any settlements that, you
24 know, they're going to share with us the terms. We're
25 going to look at them. We're certainly keep Your

HIGHLY CONFIDENTIAL

Page 16

1 Honor informed if there's any change regarding that.

2 But that's what we understand is, you
3 know, the current state of play with [REDACTED] at the
4 moment.

5 THE COURT: Thank you.

6 MR. SCHROCK: Sure. [REDACTED]
7 they're not quite as advanced. But the parties have
8 agreed in principle on, you know, [REDACTED]
9 [REDACTED]
10 [REDACTED]
11 [REDACTED]
12 [REDACTED]
13 [REDACTED]

14 They're continuing to negotiate the
15 terms of the settlement. That one is going to be
16 substantially delayed for a number of reasons,
17 including because if the parties were to move forward
18 with that, I think that there would have to be

19 [REDACTED]
20 [REDACTED] in addition to any [REDACTED],
21 [REDACTED] from all of the parties.

22 And it did raise with us -- they
23 certainly were looking for guidance from us as to, you
24 know, how we thought about it. And while we're always
25 in favor of settlements, of course, you know, purely

HIGHLY CONFIDENTIAL

Page 17

1 from executing on the sale process, you know, [REDACTED]
2 [REDACTED]
3 [REDACTED]
4 [REDACTED], you know, does raise certainly -- I
5 think, you know, for everyone involved would, you
6 know, raise some issues as to how is that going to
7 work in conjunction [REDACTED].

8 We also ask them, you know, frankly,
9 what's the end game here? You know, where are you
10 really headed. You know, [REDACTED]

11 [REDACTED]
12 [REDACTED]
13 [REDACTED].

14 They didn't really have an answer for
15 that, to be clear, Judge. They just said, "Listen,
16 we've been asked to try and move this forward." My
17 own view is that it's unclear as to whether or not,
18 you know, these settlements ultimately move forward in
19 any fashion.

20 I think that they've been asked to try
21 and, you know, resolve what they can. But, you know,
22 we're to the point, even after [REDACTED]

23 [REDACTED]
24 [REDACTED]
25 [REDACTED].

HIGHLY CONFIDENTIAL

Page 18

1 THE COURT: Implicitly, what I'm
2 hearing is the [REDACTED]

3 [REDACTED]
4 [REDACTED]. But the [REDACTED] deal that
5 you're hearing about would still leave me [REDACTED]

6 [REDACTED] --

7 MR. SCHROCK: Yeah.

8 THE COURT: -- and them [REDACTED]
9 [REDACTED]; correct?

10 MR. SCHROCK: That is correct, Judge,
11 as well as any other party that would be included in
12 the process.

13 MR. YING: And, Ray, I would just add
14 that from a financial point of view, just [REDACTED]
15 [REDACTED] raises
16 the interesting question of what about the claim by
17 the PDVSA 2020 bondholders against 50.1 percent of the
18 stock of Citgo?

19 MR. SCHROCK: Right.

20 MR. YING: Would they be delighted to
21 have [REDACTED] pass as a dividend to pay the
22 [REDACTED]? I don't think so.

23 MR. PINCUS: But, David, they know they
24 have to set up something with the 2020 bondholders in
25 order to do it, some kind of escrow. But that's sort

HIGHLY CONFIDENTIAL

Page 19

1 of one of those mechanics that Ray referred to is they
2 understand that they can't just do that without it.

3 MR. SCHROCK: Yes.

4 MR. BENTLEY: Exactly.

5 MR. PINCUS: But it's --

6 MR. YING: Exactly.

7 MR. PINCUS: It makes it harder; yes.

8 MR. SCHROCK: Yeah, and, Judge, that
9 brings me -- I mean, you know, as David Ying from
10 Evercore brought up that the issue that's really
11 hanging over all of this is the 2020 bondholders,
12 which, you know, it's currently in litigation, and as
13 we've told, you know, the Venezuela parties, in order
14 to execute on a share sale, you have to have a
15 resolution in some form.

16 You know, a buyer is going to insist on
17 knowing what's happening with it. I don't want to
18 buy, you know, shares that are subject to a 50.1
19 percent structurally senior lien.

20 Venezuela is currently challenging, you
21 know, that judgement, and in order to really execute
22 on [REDACTED], I think Citgo and
23 the Venezuela parties understand there has to be a
24 solution for the 2020 bondholders.

25 To be quite clear, parties are really

HIGHLY CONFIDENTIAL

Page 20

1 nowhere on that particular point, in terms of trying
2 to settle it. We have mentioned that, you know, a
3 practical solution in conjunction with the sale could
4 involve potentially setting up an escrow of some sort
5 to have them release the lien.

6 And, you know, certainly if there's
7 sufficient proceeds, you could see how you could, you
8 know, work it out in the context of a share sale. We
9 think that that's certainly feasible.

10 But I think even if [REDACTED] were
11 settled in the absence of a 2020 bondholder
12 settlement, you know, there would still be a lot of
13 questions as to how that moves forward and, you know
14 the settlement could even be litigated, you know, and
15 other parties may have an issue with how that's being
16 conducted.

17 So it's just going to say that we want
18 to keep you apprised of settlement discussions.
19 Everything is moving forward a pace. But it's not
20 entirely clear to us, you know, as we're dealing with
21 this on an everyday basis, how all of this is
22 ultimately going to come together or if it will come
23 together.

24 THE COURT: Okay. I appreciate the
25 update.

HIGHLY CONFIDENTIAL

Page 21

1 MR. SCHROCK: Sure. Your Honor, on the
2 deadline to seek a determination of final judgment
3 amount, under the sale procedures order, we're
4 required to file under seal a notice or recommendation
5 with the Court seeking a final determination of any
6 attached judgement, including the rate at which it
7 continues to accrue and serve such notice or
8 recommendation on the holder of the attached judgement
9 and the sale process parties.

10 The deadline to seek a determination of
11 a final judgement amount is 30 days prior to the
12 designation of the stalking horse bidder. That's in
13 the sale procedures order, paragraph 31. That would
14 translate to 120 days after the launch date, according
15 to the bidding procedures order milestones and attach
16 to the sale procedures order.

17 And while we've moved away from the
18 stalking horse process, we still believe that the
19 general timing, 120 days after the launch date or
20 February 20, 2024, is appropriate.

21 And as such, you know, we're
22 recommending, and, you know, I don't think that
23 there's something we have to do, you know, in that
24 order, but that the Court just keep that deadline.

25 But we could file a recommendation in a

HIGHLY CONFIDENTIAL

Page 22

1 notice on the docket, just so everybody is aware that
2 will be the deadline. And that way, I think parties
3 will actually know that's when to expect a decision
4 from the Court on that.

5 THE COURT: Yeah, I think it might be
6 helpful to put something on the docket almost,
7 analogous to, like, a cheat sheet of that --

8 MR. SCHROCK: Yeah.

9 THE COURT: -- deadline and any other
10 upcoming deadlines. Just it would be helpful for me,
11 but also certainly --

12 MR. SCHROCK: Yes.

13 THE COURT: -- an abundance of caution,
14 the parties in the market would see it.

15 It's all in the sale procedure order,
16 no doubt. Although, I guess you would have to look at
17 some of my opinions to fill in some of the dates.
18 So --

19 MR. SCHROCK: Exactly.

20 THE COURT: I mean, you all may already
21 have this. But, you know, like, a one- or two-page
22 listing of those various deadlines, would that be
23 difficult for you to put on the docket or in any way a
24 problem?

25 MR. SCHROCK: No, not at all, Judge.

HIGHLY CONFIDENTIAL

Page 23

1 We'll do that. And, you know, there's some of the
2 later dates that obviously aren't set yet.

3 But we'll note that in the notice if
4 there's not a date set. We'll just say, "Just to be
5 clear, there are these dates that are coming up, and
6 that have yet to be established.

7 THE COURT: Okay. I think that would
8 be helpful for all of us.

9 MR. SCHROCK: Sure. Happy to do it.
10 And then as Your Honor is probably aware, in the
11 Chancery Court proceedings on Tuesday, November 28,
12 2023, the Delaware Chancery Court issued an opinion
13 directing PDVH to issue a new share certificate to
14 PDVSA, subject to PDVSA posting a nominal unsecured
15 indemnity bond of \$10,000.

16 The bond must be posted by PDVSA within
17 seven days of filing of the opinion. That date is
18 December 7th.

19 The Court noted, of course, that
20 despite the high publicity over the years, long
21 disputes over the PDVH shares, and the attachment
22 proceedings, no individual or entity has claimed any
23 interest in the shares or the stock certificate and
24 concluded that the risks that PDVH complained of were
25 merely theoretical under the circumstances and did not

HIGHLY CONFIDENTIAL

Page 24

1 warrant the imposition of the substantial bond, and
2 setting the bond, the Court also determined that the
3 threshold requirements of a Delaware Chancery statute
4 168 had been met.

5 And now that the Chancery Court has
6 issued its ruling and PDVH will presumably issuing a
7 new share certificate in due course, we plan to reach
8 out to PDVSA's counsel to discuss next steps with
9 respect to turnover of the share certificate to the
10 special master in accordance with Your Honor's order
11 dated July 17, 2023, which can be found at docket
12 entry number 644.

13 So that's what we're looking at as the
14 next steps.

15 THE COURT: Okay. Yes, I had seen the
16 opinion and had noticed that notice was being given in
17 Venezuela, and I saw the bond amount. So we'll just
18 await any further developments that may or may not
19 require my attention.

20 MR. SCHROCK: Sounds good. And then
21 just one minor matter here, Your Honor, we just wanted
22 to note in kind of the light of, you know, trying to
23 coordinate with you if there's something that may
24 require the Court to do something.

25 There was an unnamed plaintiff's motion

HIGHLY CONFIDENTIAL

Page 25

1 at docket entry 786 that was filed on November 8th of
2 this year, and that was a letter correspondence from
3 unnamed workers and union leaders who purport to have
4 been persecuted for political reasons by Venezuela,
5 PDVSA, and the PDVSA ad-hoc board of directors and the
6 "underlied" sealed litigation proceedings since 2002.

7 These plaintiffs allege they're owed in
8 excess of \$10 billion in US from the defendants. They
9 were seeking a rid of attachment, as well as treatment
10 as additional judgement creditor under the sale
11 procedures order.

12 They assert that they've met the
13 requirements of step one under the Court's July 27th
14 order, and in support thereof, they support that their
15 overall claim has been quantified by the PDVSA ad-hoc
16 board of directors as over \$10 billion.

17 Your Honor, we believe that at this
18 time, there's simply not enough information in or
19 appended to the plaintiff's correspondence that
20 supports the conclusion that they've won an award on
21 account of their claim, and it does not appear, at
22 least at this time, that the unnamed plaintiff has
23 really reached step one.

24 And accordingly, we did not include the
25 unnamed plaintiffs in the steps chart that we filed on

HIGHLY CONFIDENTIAL

Page 26

1 the Court's docket on November 15th, 2023, which is
2 the docket number 789. And we were not planning to
3 include the unnamed plaintiffs until there's evidence
4 of an award arising from their claims against the
5 Venezuela parties.

6 So we just want to let you know that we
7 did take note of that, that Your Honor had filed that
8 notice. We looked at it and made our assessment based
9 upon what was available.

10 THE COURT: Okay. That all makes sense
11 to me. Do you recommend that anything further be made
12 clear on the record, either by you all or by me with
13 respect to that motion?

14 MR. SCHROCK: Your Honor, I don't think
15 we have to certainly. But if you find it would be
16 helpful just to include, you know, something, you
17 know, a notice from the special master, you know,
18 related to this, why they weren't included on the
19 steps chart, and file that notice, we certainly could.

20 THE COURT: Forgive me for not knowing
21 off-hand. The steps chart, is that publicly
22 available? I know it's on the docket you said.

23 MR. SCHROCK: It is, Your Honor.

24 THE COURT: And I think you have to
25 update that at certain times; is that right?

HIGHLY CONFIDENTIAL

Page 27

1 MR. SCHROCK: That's right, Judge.

2 THE COURT: I mean, I would suggest, I
3 suppose, at a minimum, maybe indicate on some version
4 of the steps chart, you know, that you're aware of
5 this unnamed plaintiff, but it's not included on the
6 steps chart, because it's your determination, you
7 know, it doesn't qualify.

8 MR. SCHROCK: Yeah. That's a good
9 idea, Judge. We'll do that on the updated version --

10 THE COURT: Okay; all right.

11 MR. SCHROCK: And with that, Your
12 Honor, that concludes the full update here for the
13 month, subject to anything else you would like to
14 discuss.

15 THE COURT: My law clerk, Li, is on the
16 line, I know. Li, anything from us?

17 MR. ZHANG: No, not from me.

18 THE COURT: Okay. Yeah, I did not have
19 anything else, other than I'm glad we shifted the time
20 for this to this time of the month, and we'll aim to
21 do it, you know, similarly -- I suppose it will be in
22 the new year. But, you know, it's working out for Li
23 and Chase to figure these things out.

24 MR. SCHROCK: Yes.

25 MR. PINCUS: Yep. Thank you, very

HIGHLY CONFIDENTIAL

Page 28

1 much.

2 THE COURT: Yeah.

3 MR. PINCUS: Thanks for your time.

4 THE COURT: Thank you, all. I wish
5 everyone happy holidays, of course.

6 MR. PINCUS: Absolutely; thanks.

7 THE COURT: And see you in the new
8 year.

9 MR. SCHROCK: Okay. Thanks, Your
10 Honor.

11 UNIDENTIFIED SPEAKER: Thank you, Your
12 Honor.

13 THE COURT: Thanks, again. Okay.

14 MR. SCHROCK: Bye-bye.

15 THE COURT: Bye-bye.

16 (Whereupon, the meeting concluded at
17 10:02 a.m.)

18

19

20

21

22

23

24

25

HIGHLY CONFIDENTIAL

Page 29

CERTIFICATE

I, LINDSEY DIEGO, the officer before whom the foregoing proceedings were taken, do hereby certify that any witness(es) in the foregoing proceedings, prior to testifying, were duly sworn; that the proceedings were recorded by me and thereafter reduced to typewriting by a qualified transcriptionist; that said digital audio recording of said proceedings are a true and accurate record to the best of my knowledge, skills, and ability; that I am neither counsel for, related to, nor employed by any of the parties to the action in which this was taken; and, further, that I am not a relative or employee of any counsel or attorney employed by the parties hereto, nor financially or otherwise interested in the outcome of this action.



LINDSEY DIEGO

Notary Public in and for the
State of New York

HIGHLY CONFIDENTIAL

Page 30

CERTIFICATE OF TRANSCRIBER

I, TREASA BUTZIN, do hereby certify that this transcript was prepared from the digital audio recording of the foregoing proceeding, that said transcript is a true and accurate record of the proceedings to the best of my knowledge, skills, and ability; that I am neither counsel for, related to, nor employed by any of the parties to the action in which this was taken; and, further, that I am not a relative or employee of any counsel or attorney employed by the parties hereto, nor financially or otherwise interested in the outcome of this action.



TREASA BUTZIN

Federal Rules of Civil Procedure

Rule 30

(e) Review By the Witness; Changes.

(1) Review; Statement of Changes. On request by the deponent or a party before the deposition is completed, the deponent must be allowed 30 days after being notified by the officer that the transcript or recording is available in which:

(A) to review the transcript or recording; and

(B) if there are changes in form or substance, to sign a statement listing the changes and the reasons for making them.

(2) Changes Indicated in the Officer's Certificate. The officer must note in the certificate prescribed by Rule 30(f)(1) whether a review was requested and, if so, must attach any changes the deponent makes during the 30-day period.

DISCLAIMER: THE FOREGOING FEDERAL PROCEDURE RULES ARE PROVIDED FOR INFORMATIONAL PURPOSES ONLY.

THE ABOVE RULES ARE CURRENT AS OF APRIL 1, 2019. PLEASE REFER TO THE APPLICABLE FEDERAL RULES OF CIVIL PROCEDURE FOR UP-TO-DATE INFORMATION.

VERITEXT LEGAL SOLUTIONS

COMPANY CERTIFICATE AND DISCLOSURE STATEMENT

Veritext Legal Solutions represents that the foregoing transcript is a true, correct and complete transcript of the colloquies, questions and answers as submitted by the court reporter. Veritext Legal Solutions further represents that the attached exhibits, if any, are true, correct and complete documents as submitted by the court reporter and/or attorneys in relation to this deposition and that the documents were processed in accordance with our litigation support and production standards.

Veritext Legal Solutions is committed to maintaining the confidentiality of client and witness information, in accordance with the regulations promulgated under the Health Insurance Portability and Accountability Act (HIPAA), as amended with respect to protected health information and the Gramm-Leach-Bliley Act, as amended, with respect to Personally Identifiable Information (PII). Physical transcripts and exhibits are managed under strict facility and personnel access controls. Electronic files of documents are stored in encrypted form and are transmitted in an encrypted

fashion to authenticated parties who are permitted to access the material. Our data is hosted in a Tier 4 SSAE 16 certified facility.

Veritext Legal Solutions complies with all federal and State regulations with respect to the provision of court reporting services, and maintains its neutrality and independence regardless of relationship or the financial outcome of any litigation. Veritext requires adherence to the foregoing professional and ethical standards from all of its subcontractors in their independent contractor agreements.

Inquiries about Veritext Legal Solutions' confidentiality and security policies and practices should be directed to Veritext's Client Services Associates indicated on the cover of this document or at www.veritext.com.

Crystallex v. Bolivarian Republic of Venezuela Special Master *Ex Parte* Meeting Discussion Materials

December 1, 2023

Discussion Materials

Agenda

1 Marketing Process Update

2 Miscellaneous Items

Marketing Process Update

Bidder Outreach

- By November 18, 2023, Evercore had received initial responses from all 88 counterparties on the outreach list
- As of Monday, November 27, 2023:
 - 63 potential bidders had passed on the opportunity
 - 20 potential bidders had executed NDAs with the Special Master
 - 4 potential bidders were still in the process of negotiating an NDA
 - 1 potential bidder is a creditor that is not actively negotiating an NDA
- Evercore continues to respond to questions from potential bidders with respect to the sale process

Process Letter

- The Special Master is preparing a First Round Bid Request Letter to send to potential bidders who have executed NDAs.
 - The First Round Bid Request Letter will include, among other things:
 - Details regarding the bid deadline and how to submit an official bid;
 - Required contents of official bids; and
 - Next steps in the diligence and bid selection process.
- The First Round Bid Request Letter will be distributed during the week beginning December 4, 2023
- First Round non-binding bids are due on January 22, 2024

Miscellaneous Items

- 1 Evaluation of Sale Notice Requirements
- 2 [REDACTED]
- 3 Deadline to Seek Determination of Final Judgment Amounts
- 4 Delaware Chancery Court Proceedings
- 5 Unnamed Plaintiffs' Motion [D.I. 786]

Exhibit F

Transcript of January 5, 2024 *Ex Parte* Meeting of the Court and the Special Master

HIGHLY CONFIDENTIAL

Page 1

IN THE UNITED STATES DISTRICT COURT
FOR THE DISTRICT OF DELAWARE

CRYSTALLEX INTERNATIONAL
CORPORATION,

Plaintiff,

v.

BOLIVARIAN REPUBLIC OF
VENEZUELA,

Defendant.

Misc. No.

17-151-LPS

HIGHLY CONFIDENTIAL

VIDEOCONFERENCE SPECIAL MASTER EX PARTE MEETING

DATE: Friday, January 5, 2024

TIME: 9:00 a.m.

BEFORE: Honorable Leonard P. Stark

LOCATION: Remote Proceeding

New York, NY 10001

REPORTED BY: Lindsey Diego

JOB NO.: 6379978

HIGHLY CONFIDENTIAL

Page 2

A P P E A R A N C E S

ON BEHALF OF ROBERT B. PINCUS, SPECIAL MASTER:

RAY C. SCHROCK, ESQUIRE (by videoconference)

ALEXANDER W. WELCH, ESQUIRE (by videoconference)

CHASE A. BENTLEY, ESQUIRE (by videoconference)

Of Counsel, Weil, Gotshal & Manges, LLP

767 Fifth Avenue

New York, NY 10153

ray.schrock@weil.com

alexander.welch@weil.com

chase.bentley@weil.com

(212) 310-8000

ROBERT B. PINCUS, ESQUIRE (by videoconference)

EOGHAN KEENAN, ESQUIRE (by videoconference)

LUNA BARRINGTON, ESQUIRE (by videoconference)

Weil, Gotshal & Manges, LLP

767 Fifth Avenue

New York, NY 10153

(212) 310-8000

HIGHLY CONFIDENTIAL

Page 3

1 A P P E A R A N C E S (Cont'd)

2 ALSO PRESENT:

3 Li Zhang, Law Clerk (by videoconference)

4 Ray Strong, Senior Managing Director, Evercore
5 (by videoconference)

6 David Ying, Senior Managing Director, Evercore
7 (by videoconference)

8 Daniel Lakhdhir, Vice President, Evercore (by
9 videoconference)

10

11

12

13

14

15

16

17

18

19

20

21

22

23

24

25

HIGHLY CONFIDENTIAL

Page 4

1
2
3
4
5
6
7
8
9
10
11
12
13
14
15
16
17
18
19
20
21
22
23
24
25

E X H I B I T S

NO.	DESCRIPTION	ID/EVD
	(None marked.)	

HIGHLY CONFIDENTIAL

Page 5

1 P R O C E E D I N G S

2 MR. PINCUS: Your Honor, we have the
3 regular group from Weil and -- recorder on the phone
4 today. We sent an agenda -- proposed agenda, if that
5 works for you --

6 THE COURT: It does.

7 MR. PINCUS: -- this. Okay. Great.

8 Ray, do you want to start?

9 MR. SCHROCK: Sure. Good morning, Your
10 Honor. Ray Schrock from Weil, and Happy New Year to
11 you. And we do have --

12 THE COURT: Thank you.

13 MR. SCHROCK: We do have the court
14 reporter on. That's our usual practice.

15 THE COURT: Great. Thank you.

16 MR. SCHROCK: Sure. Your Honor, as
17 you're aware, since the launch date, we've continued
18 to engage with potential bidders and prepare for the
19 first round of bids, which are due on January 22nd of
20 this month.

21 And before I turn it over to Evercore
22 to go through recent progress on the sale, I wanted to
23 first preview for Your Honor that we've become aware
24 that at least one and potentially other potential
25 bidders are foregoing participation in round one of

HIGHLY CONFIDENTIAL

Page 6

1 the sale process unless they can keep their identity
2 confidential to the Special Master and his -- you
3 know, and our parties only.

4 And, you know, the bidders outside of
5 the sale process parties are not entitled to receive
6 any information, you know, around the bids. But under
7 the sale procedures order, the sale process parties
8 are entitled to receive copies of bids from the
9 Special Master, so long as they are not planning to
10 credit bid and have indicated an intention to do so.

11 Now, we think that, you know, to
12 maximize the competitiveness of the sale process
13 parties and the value of the PDVH shares, we think
14 it's advisable to provide the bids to the sale process
15 parties with appropriate redactions made to the
16 potential bidders, just in round one. So this is just
17 the indication of interest phase. And we could, you
18 know, leave their names out of it. And that's just to
19 frankly encourage the most participation possible.

20 What I would propose is that we'll call
21 the sale process parties and let them know that,
22 listen, there's -- you know, that's why we want to do
23 this. You know, we think that within the confines of
24 the sale procedures order, it frankly doesn't speak to
25 whether or not we can make any redactions. If they

HIGHLY CONFIDENTIAL

Page 7

1 were to object, depending on the way Your Honor wanted
2 to handle it, we could either move for a modification
3 of the sale procedures order on that point if Your
4 Honor was comfortable with that, or we could frankly
5 just frankly move forward and, you know, deal with it
6 in the ordinary course.

7 I think that, frankly, the only party
8 that's really going to raise an issue would be the
9 Venezuela parties, where they would want to know
10 that -- that's, you know, certainly our guess, Your
11 Honor, in terms of, you know, if anyone's going to
12 object. It's just the indication of interest phase.
13 I think that in the -- you know, at the next phase,
14 certainly parties are subject to the confidentiality
15 order, you know, that's been entered by the Court.
16 Everybody signed NDAs.

17 But what we'd hate to have happen is
18 that we just minimize participation by -- and it's not
19 uncommon in our experience for especially public
20 entities or parties that are strategic players in the
21 same space in which we're selling an asset to be very
22 sensitive to their name becoming somehow part of this
23 process. And there's -- you know, ever since the OFAC
24 FAQs and changes have come out over the last several
25 months, there's definitely been a lot of trading in

HIGHLY CONFIDENTIAL

Page 8

1 the claims, like, a lot of claims and parties are --
2 you know, seem to be for sale and on the market.

3 And I think that's just making some of
4 the bidders nervous. So I wanted to raise that for
5 Your Honor and just talk through it with you, get your
6 guidance, and see if you were comfortable with that
7 approach.

8 THE COURT: Right. So first let me
9 make sure I understand. These --

10 MR. SCHROCK: Yes.

11 THE COURT: -- potential bidders or
12 initial indicators of interest --

13 MR. SCHROCK: Mm-hmm.

14 THE COURT: -- the Special Master knows
15 who they are. They're not trying to stay anonymous --

16 MR. SCHROCK: Correct.

17 THE COURT: -- the Special Master and
18 his advisors. Correct?

19 MR. SCHROCK: That is correct.

20 MR. PINCUS: Yes.

21 THE COURT: Okay. But they are
22 requesting and/or indicating they will only come
23 forward, you know, provide you whatever they need to
24 meet that initial requirement if you agree to keep
25 their identity confidential vis-a-vis everybody else,

HIGHLY CONFIDENTIAL

Page 9

1 the public and sale process parties as well. Correct?

2 MR. SCHROCK: That's correct, Your
3 Honor. So just the Court and the Special Master would
4 have that information solely for the non-binding,
5 indication of interest phase. That's only what we're
6 speaking to at this point.

7 THE COURT: Right. So it seems to me
8 that, you know, the Special Master with his counsel
9 and advisors should exercise his discretion in the way
10 he sees fit consistent with the sale procedure order.
11 For example, if he thinks the sale procedure order
12 allows him to grant that request and, you know,
13 proceed with them, you know, redacted, their identity
14 being kept from others, I imagine, based on
15 experience, that if anybody's unhappy with that they
16 will know how to, you know, reach out to me and raise
17 an objection to that.

18 If on the other hand the Special Master
19 with his advisors thinks it's not clear that he has
20 authority to do this, then, of course, he knows how to
21 file a motion asking to modify the sale procedure
22 order. So, you know, I appreciate you letting me
23 know. You know, I will have an open mind if anybody
24 comes to me in a formal litigation with respect to
25 this question. But I think that's probably about all

HIGHLY CONFIDENTIAL

Page 10

1 I have to say on that at this point.

2 MR. SCHROCK: Understood, Your Honor.

3 We'll proceed and move forward, and we'll talk with
4 the team and, depending on, you know, where this
5 lands, you know, we'll -- but we'll certainly continue
6 to exercise our discretion. And we wanted to
7 certainly just make Your Honor aware of it. But we
8 appreciate --

9 THE COURT: Thank you.

10 MR. SCHROCK: -- your comments.

11 THE COURT: Absolutely. And I
12 appreciate being made aware of that. Thank you.

13 MR. SCHROCK: Certainly. And for the
14 avoidance of doubt, Judge, no sale process parties at
15 this point have indicated an intention to credit bid.
16 I don't -- but I'm not aware of anyone waiving that
17 right, either, at this point. So -- which is not
18 unexpected. It's still early in the process.

19 THE COURT: Right. And if you know
20 offhand -- because I do not -- is there -- do we have
21 a deadline in the sale procedure order for them to
22 indicate that?

23 MR. SCHROCK: I think it would just be
24 at the point of, like, placing the initial bids, the
25 binding bids, Your Honor.

HIGHLY CONFIDENTIAL

Page 11

1 And, Chase, help me out, you know, with
2 that date, if you please.

3 MR. BENTLEY: That's right. And
4 there's no specific date solely for that in the sale
5 procedures order. I would note, though, that if they
6 do receive information about bids, then the sale
7 procedures order and the bidding procedures preclude
8 them on that basis from submitting a credit bid in the
9 future.

10 THE COURT: I see. Thank you.

11 MR. SCHROCK: Thanks very much, Your
12 Honor. And with that, I propose to turn it over to
13 Ray Strong of Evercore and the Evercore team, just to
14 provide you with an update on the marketing process.

15 THE COURT: Okay.

16 MR. STRONG: Thanks, Ray.

17 Ray Strong from Evercore. Quick
18 update. Not much has happened since our last
19 discussion. But as you're aware, we've reached out to
20 about 91 people total -- or parties total. Twenty-
21 eight have executed NDAs, two are kind of awaiting.
22 They may choose not to execute the NDA, given the
23 timing; and 61 parties have passed. We've provided
24 our SIM model and now the 2022 annual report for
25 Citgo. We've also provided a process letter that

HIGHLY CONFIDENTIAL

Page 12

1 defines the January 22nd initial bid date and what
2 needs to -- that bid.

3 Have had good counterparty feedback,
4 some questions. Six bidders have engaged legal
5 advisors, four have engaged financial advisors, and we
6 continue to work with Citgo on fielding some general
7 questions and getting our diligence in place for that
8 next round so we have a data room ready to go post
9 January 22nd. That's really the update.

10 THE COURT: Okay. Thank you.

11 MR. SCHROCK: Thanks, Ray.

12 Your Honor, just the next item we want
13 to discuss is just let you know that on the sale
14 notice, which we had discussed with you previously at
15 the December ex parte meeting, we've prepared a sale
16 notice in line with the form attached to the bidding
17 procedures and intend to publish that notice starting
18 next week, ahead of the January 22, 2024, first round
19 bid deadline.

20 The sale notice will be published for
21 two consecutive weeks. It will be published in the
22 "The News Journal," the "Delaware State News," and
23 "The Wall Street Journal," as well as the "USA Today."
24 As discussed previously and as set forth in
25 correspondence with your chambers, we are not

HIGHLY CONFIDENTIAL

Page 13

1 publishing the sale notice in Venezuela at this time,
2 and we will again be publishing a sale notice, which
3 is the notice we believe, you know, is referred to in
4 the sale procedures order, one or more times prior to
5 any auction or designation of a successful bidder.

6 And we'll keep Your Honor apprised of
7 any plans to file additional sale notices and the
8 relevant timing on related to that.

9 THE COURT: Okay.

10 MR. SCHROCK: On the sale milestones,
11 to line up with the timing of the publication of the
12 sale notice, we've also prepared a status report with
13 the updated marketing process deadlines. That will be
14 filed next week. And as discussed at our last month's
15 ex parte meeting, the updated sale deadlines will
16 include placeholders for interim milestones that have
17 yet to be determined.

18 The -- you know, the deadlines I
19 believe we've previously talked about. But, you know,
20 it -- Your Honor, I just wanted to let you know that
21 we'll -- you know, that's where we are, you know, on
22 the status report regarding the sale process
23 milestones.

24 THE COURT: Okay.

25 MR. SCHROCK: While I'm going to

HIGHLY CONFIDENTIAL

Page 14

1 actually ask Chase if you wouldn't mind covering for
2 the group just the issues related to the additional
3 judgment deadline and exactly what we'd like, you
4 know, from the Court?

5 MR. BENTLEY: Of course.

6 So, Your Honor, in addition to the
7 milestones that'll be reflected on the status report
8 that Mr. Schrock just overviewed, we wanted to bring
9 to your attention that the additional judgment
10 deadline, which we've discussed in prior ex parte
11 meetings, just to recap quickly, the sale procedures
12 order and the July 27th memorandum order regarding the
13 perfection of the deadlines, the additional judgment
14 deadline was set in those orders as November 2, 2023,
15 which was -- or sorry, ten days after the October 23rd
16 launch date.

17 So, Your Honor, at the November 7th ex
18 parte meeting, we flagged that the list of additional
19 judgments had not yet been filed. After that
20 discussion on the 7th, following on November 15th, we
21 filed a steps chart at Docket 789. Included in that
22 steps chart was a recommendation to the Court that
23 each of the parties listed on the exhibit in the steps
24 chart be named additional judgment creditors.

25 And, Your Honor, in that status report

HIGHLY CONFIDENTIAL

Page 15

1 in our recommendation, we also noted that that list
2 was just an initial list and, you know, to quote the
3 July 27th order, it was "the maximum universe of all
4 judgments that could potentially be made part of the
5 sale order." We also noted that the parties, if they
6 are named additional judgment creditors at this
7 time -- or at that time -- would nonetheless have to
8 complete the steps outlined by Your Honor's orders on
9 July 27th and October 11th, among other requirements.

10 We also mentioned this recommendation
11 in our responses to certain creditor motions that we
12 filed just in the last week. Those responses are at
13 Docket 821 and 829. So we just wanted to note again
14 at this meeting today that a designation of the
15 additional judgment creditors still has yet to be
16 filed.

17 And if you would like us, Your Honor,
18 to file a specific notice just for that matter, we're
19 happy to do so, or we're happy to make any other
20 filings on the docket, in particular under the
21 authority that Your Honor recently granted at Docket
22 807.

23 MR. SCHROCK: Yeah. To be specific,
24 Your Honor, just to prompt -- this is just on
25 prompting the Court to file the additional judgment

HIGHLY CONFIDENTIAL

Page 16

1 creditors notice.

2 THE COURT: Right. Okay. Yeah. I
3 have seen the references that you are alluding to, and
4 if I need something from you, I will let you know.
5 But I am aware of what you are saying, and I
6 appreciate the reminder.

7 MR. SCHROCK: Thank you.

8 MR. BENTLEY: Thank you, Your Honor.

9 MR. SCHROCK: Your Honor, on the --
10 regarding the delivery of the PDVH share certificates
11 on Tuesday, November 28, 2023, the Delaware Chancery
12 Court issued the opinion, as you're aware, to issue
13 the new share certificate subject to PdVSA posting a
14 nominal, unsecured indemnity bond of \$10,000.

15 And on December 7, 2023, PdVSA filed
16 the notice of its intent to post unsecured bond and
17 provide that bond to PDVH. December 8th, PDVH issued
18 a replacement stock certificate, and the certificate
19 was subsequently delivered to the Special Master's
20 Delaware Counsel, Potter Anderson, as a representative
21 of the Special Master.

22 And on December 20, 2023, as a result
23 of the delivery of the certificate to the Special
24 Master, the Chancery Court entered a satisfaction of
25 judgment noting that all obligations in the November

HIGHLY CONFIDENTIAL

Page 17

1 28th judgment had been satisfied and closed the
2 matter. So we just wanted to make you aware I think
3 we're all set on the share certificate at this point.

4 THE COURT: Okay. Thank you for that
5 update.

6 MR. SCHROCK: Sure. And then, Your
7 Honor, just kind of previewing the Steps 6 and 7
8 deadlines, now that the PDVH share certificate is in
9 the Special Master's possession, this Court and
10 Special Master will be able to move forward on the
11 execution of the priority arrangement procedures for
12 Steps 6 and 7 after the Step 5 deadline passes on
13 January 12th.

14 You know, as you may recall, those
15 milestones include with Step 6, you know, the clerk
16 issuing to the United States Marshal Service the writ
17 of attachment. This is accomplished when any of the
18 conditions imposed on the conditional writ of
19 attachment are fulfilled or at the Court's discretion
20 upon the issuance of the unconditional writ; and Step
21 7 being the U.S. Marshal Service serving the creditors
22 writ of attachment, perfecting the writ, and attaching
23 the shares of PDVH owned by PdVSA. And under Delaware
24 law, a writ of attachment may be perfected by service.

25 The Step 7 deadline was set by Your

HIGHLY CONFIDENTIAL

Page 18

1 Honor as the date that's 90 calendar days after Step
2 5. But in no event will that date occur later than
3 what is ten days prior to the deadline for the final
4 round of bidding as recommended by the Special Master.
5 Based on the existing Step 5 deadline, that would set
6 April 11, 2024, as the potential Step 7 deadline.

7 And we are working on a detailed plan
8 to present to Your Honor for consideration regarding
9 the proposed dates and mechanics for Steps 6 and 7
10 shortly. So we just wanted to preview. That's kind
11 of what's coming up here, you know, just over the next
12 near term that we're going to -- you know, which is --
13 obviously, it's not a small endeavor, you know, coming
14 up with that process and, you know, proposing it to
15 Your Honor. But that will be happening here in the
16 very near term.

17 THE COURT: Okay. And I understand you
18 to be saying that that would be filed as a document on
19 the docket for me to consider formally? Is that
20 correct?

21 MR. SCHROCK: Yes.

22 THE COURT: Okay. I will look forward
23 to that then.

24 MR. SCHROCK: Sure. And then, Your
25 Honor, on the status, you know, with the upcoming

HIGHLY CONFIDENTIAL

Page 19

1 January 12th Step 5 deadline and the January 22nd
2 initial bid deadline, the Special Master, you know,
3 consistent with the Court's prior orders, you know, we
4 think it'd be helpful to hold a status conference with
5 all parties in the near term just to have a check-in.

6 You know, we could present an update on
7 the progress, the parties, when the bid deadline
8 passes. We think that would be a, you know, good --
9 initial bid deadline passes. Nobody sought a status
10 conference at this point. But we know that there has
11 been a, you know, flurry of activity on the docket
12 related to this matter over the holidays. And, you
13 know, we're happy to work with the Court on scheduling
14 that.

15 We can do it on the same day that you
16 schedule some of these other matters, or we could set
17 a special date and work with your chambers on setting
18 that. But we did think -- wanted to note for Your
19 Honor we thought it would be helpful to have, you
20 know, a status conference publicly in the near term on
21 this matter.

22 THE COURT: I agree with that and
23 appreciate you flagging it. I -- my inclination would
24 be to bring everyone together in the courtroom. But
25 do you have a view on that?

HIGHLY CONFIDENTIAL

Page 20

1 MR. SCHROCK: I think that would make
2 sense, Your Honor, especially given -- you know, it's
3 been a few months, and I think, you know, there's a
4 few other matters that are upcoming. And I frankly
5 think there's just enough activity and enough things
6 that are going to be happening here over the very near
7 term that it would make sense to get everybody
8 together.

9 THE COURT: Yes. So I think -- I would
10 suggest/request that the Special Master file a
11 document requesting that an in-court status
12 conference, you know, be scheduled in the near term,
13 maybe suggesting a time frame the Court should aim
14 for.

15 MR. SCHROCK: Sure.

16 THE COURT: You know, that it would be
17 likely be of assistance to the Court and to the
18 parties, something to that effect. And then I'll
19 probably at some point put it back on you all to help
20 me with scheduling. But I'd like to --

21 MR. SCHROCK: That's fine.

22 THE COURT: I'd like to see a formal
23 request on the docket, and then we'll proceed from
24 there.

25 MR. SCHROCK: We will do so, Your

HIGHLY CONFIDENTIAL

Page 21

1 Honor, and, you know, happy to do that over the next
2 few days, and we'll make sure that gets in front of
3 you.

4 THE COURT: Great. Great.

5 MR. SCHROCK: And I think, Your Honor,
6 subject to anything else you'd like to cover or
7 frankly any of the other parties, you know, present
8 would like to cover, that's all we had for you today.

9 THE COURT: Yeah. I don't have
10 anything else at this point. Li, I imagine, is on the
11 call.

12 Li, do you have anything?

13 MR. ZHANG: I was just wondering if
14 there's any update on the 2020 bond status?

15 MR. SCHROCK: Nothing at the moment.
16 We're very mindful of the need to resolve that issue.
17 And what we've been telling bidders to this point is
18 that they should assume that, you know, the shares are
19 going to be delivered free and clear and that we're
20 going to be working, you know, with the parties to
21 ensure that there's a resolution for the 2020
22 bondholders.

23 But it's our intention to, you know,
24 initiate, you know, and kind of have more engagement
25 with the, you know, representatives of the 2020

HIGHLY CONFIDENTIAL

Page 22

1 bondholders in the near term. We understood that
2 there were some preliminary settlement negotiations
3 going on with Venezuela, between the Venezuela parties
4 and the 2020 bondholders. Those appear to have
5 stalled.

6 And just given that it's a gating item
7 to really closing the sale to be able to deliver, you
8 know, the shares free and clear and that, you know,
9 there's purportedly a lien on, you know, about half of
10 the shares through the 2020 bonds, we're mindful of
11 getting that moving forward. So that's a longwinded
12 "no update."

13 But we're focused on getting in front
14 of them in the very near term with, you know -- we
15 have some good ideas we believe about proposals that
16 would allow parties to keep the status quo in the
17 litigation but also provide a mechanism to release the
18 lien on those shares, including through ideas such as
19 an escrow -- posting an escrow and just letting
20 whomever is actually entitled to the proceeds have the
21 reversionary rights to the escrow.

22 But so long as the sale proceeds were
23 in excess of the amount of the 2020 bondholders
24 judgment, there should be more than sufficient, which
25 we fully expect that will be the case, that, you know,

HIGHLY CONFIDENTIAL

Page 23

1 there should be a solution there that we could work
2 to.

3 MR. LI: Okay. Thank you.

4 MR. PINCUS: Hey, Ray, isn't there a
5 hearing scheduled this month in New York in the 2020
6 bondholder litigation?

7 MR. SCHROCK: Chase?

8 MR. BENTLEY: Yeah. January 10th.

9 MR. PINCUS: Yeah. So there is the
10 hearing date.

11 MR. SCHROCK: Okay. So there's --

12 MR. PINCUS: Next week.

13 MR. SCHROCK: So further updates, I
14 will say that we talk to the Venezuela parties weekly.
15 And consistent with our last report, they're
16 continuing to keep us updated on the status of any
17 settlement discussions. We didn't have it as an
18 agenda item because there really haven't been any
19 updates to speak of on the settlement discussions,
20 anything material.

21 MR. LI: Okay. Thank you.

22 THE COURT: Thank you. Nothing else
23 from us. Happy to hear from anybody else if they
24 wish. And maybe not?

25 MR. SCHROCK: Sounds like nothing.

HIGHLY CONFIDENTIAL

Page 24

1 MR. PINCUS: Silence, yes. Excuse me.
2 I think that's it for now.

3 THE COURT: Okay.

4 MR. PINCUS: And thank you very much
5 for your time.

6 THE COURT: Thank you all. And we'll
7 look forward to some of the filings, and I'm confident
8 we'll be seeing you all soon. And Happy New Year
9 again to everyone. Thanks so much.

10 MR. PINCUS: Thank you.

11 MR. SCHROCK: Thank you very much.

12 THE COURT: Bye, bye.

13 UNIDENTIFIED SPEAKER: Happy New Year,
14 Your Honor.

15 (Whereupon, at 9:27 a.m., the
16 proceeding was concluded.)
17
18
19
20
21
22
23
24
25

HIGHLY CONFIDENTIAL

Page 25

CERTIFICATE

I, LINDSEY DIEGO, the officer before whom the foregoing proceedings were taken, do hereby certify that any witness(es) in the foregoing proceedings, prior to testifying, were duly sworn; that the proceedings were recorded by me and thereafter reduced to typewriting by a qualified transcriptionist; that said digital audio recording of said proceedings are a true and accurate record to the best of my knowledge, skills, and ability; that I am neither counsel for, related to, nor employed by any of the parties to the action in which this was taken; and, further, that I am not a relative or employee of any counsel or attorney employed by the parties hereto, nor financially or otherwise interested in the outcome of this action.



LINDSEY DIEGO

Notary Public in and for the

State of New York

HIGHLY CONFIDENTIAL

Page 26

CERTIFICATE OF TRANSCRIBER

I, PENNIE M. HAHN, do hereby certify that this transcript was prepared from the digital audio recording of the foregoing proceeding, that said transcript is a true and accurate record of the proceedings to the best of my knowledge, skills, and ability; that I am neither counsel for, related to, nor employed by any of the parties to the action in which this was taken; and, further, that I am not a relative or employee of any counsel or attorney employed by the parties hereto, nor financially or otherwise interested in the outcome of this action.



PENNIE M. HAHN

Exhibit G

Transcript of February 2, 2024 *Ex Parte* Meeting of the Court and the Special Master

Page 1

IN THE UNITED STATES DISTRICT COURT
FOR THE DISTRICT OF DELAWARE

-----x
CRYSTALLEX INTERNATIONAL
CORPORATION,

Plaintiff,

v. Misc No.

17-151-LPS

BOLIVARIAN REPUBLIC OF VENEZUELA,

Defendant.
-----x

10:00 a.m.

February 2, 2024

HIGHLY CONFIDENTIAL

SPECIAL MASTER EX PARTE MEETING

B E F O R E :

HON. LEONARD STARK

1
2
3
4
5
6
7
8
9
10
11
12
13
14
15
16
17
18
19
20
21
22
23
24
25

* * HIGHLY CONFIDENTIAL * *

A P P E A R A N C E S:

ROBERT PINCUS, Special Master

WEIL GOTSHAL & MANGES

767 Fifth Avenue

New York, New York

BY: RAY C. SCHROCK, ESQ.

MICHAEL AIELLO, ESQ.

EOGHAN KEENAN, ESQ.

ALEXANDER W. WELCH, ESQ.

CHASE BENTLEY, ESQ.

LUNA BARRINGTON, ESQ.

MAGGIE BURRUS, ESQ.

SARAH STERNLIEB, ESQ.

LI ZHANG, ESQ.

* * HIGHLY CONFIDENTIAL * *

P R O C E E D I N G S

MR. SCHROCK: Your Honor, for the record, Ray Schrock of Weil, Gotshal on behalf of the Special Master.

So, Your Honor, we did send a short set of materials regarding the procedures for step 6 and 7.

However, we will just go give you a brief update on the round 1 bids received and of course we will have a further discussion about these, we are just sort of ferreting the details out.

But as Your Honor is aware, the deadline for the submission of round 1 bids, indications of interest or what we refer to as IOIs occurred on Monday, January 22, 2024.

The Special Master received 12 IOIs, both by the deadline and shortly thereafter.

* * HIGHLY CONFIDENTIAL * *

Three of the IOIs are credit bids from existing holders of attached judgments.

And the IOIs range from -- for a \$400 million bid, which was just for a portion of the PDVH shares which that bidder associates with the value of a single Citgo refinery, up to an outlier bid for 100 percent of the PDVH shares that has a broad range of \$5 to \$11 billion.

Note that the dollar value associated with the bids generally represent the enterprise value.

The bid assigns to all of Citgo and does not represent necessarily the amount of cash available for distribution to judgment creditors.

The Special Master and this group are continuing to evaluate the IOIs, having follow-up discussions with those parties and better

1 * * HIGHLY CONFIDENTIAL * *

2 understand their assumptions.

3 But based on Evercore's
4 initial financial analysis of the
5 IOIs, the bid values could
6 potentially contribute up to
7 approximately \$6 billion for
8 distribution to judgment holders
9 after taking into account an
10 assumption that approximately \$2
11 billion of the proceeds would be
12 used to pay the existing PDVSA 2020
13 bonds.

14 Now, there is also settlement
15 discussions going on with the 2020
16 bondholders, and we have received
17 various communications from Citgo
18 that they are actually close to
19 resolving that, or being in a
20 position to move forward, which we
21 think is good news.

22 I presume that the form it
23 will take, and we don't know the
24 precise form, but the form is likely
25 to take some form of cash, an

1 * * HIGHLY CONFIDENTIAL * *

2 amount, discounted amount of cash
3 going out to those holders, in
4 exchange for resolving the entire
5 action and releasing the lien.

6 So we will certainly, when we
7 know anything, we will certainly let
8 Your Honor know.

9 But if that does move
10 forward, Citgo has confirmed that
11 they would be moving, I believe,
12 both in the underlying action in the
13 2020 action, of course, as well as
14 in this court to move that process
15 forward.

16 But we don't know if that is,
17 in fact, happening yet, but that is
18 the update on settlement
19 discussions.

20 As required by the sale
21 procedures order, the Special Master
22 provided copies of the IOIs to the
23 sale process parties.

24 We did redact to remove any
25 bidder identifying information.

1 * * HIGHLY CONFIDENTIAL * *

2 Several bidders indicated an
3 unwillingness to submit IOIs unless
4 their identity was kept confidential
5 and limited only to the Special
6 Master at this stage.

7 We are continuing to
8 approach -- discuss the approach to
9 bidder confidentiality with the sale
10 process parties, and to date there
11 really have been no concerns
12 expressed.

13 We are also working through a
14 protocol with Citgo around
15 potentially identifying a couple of
16 parties, identification of bidders
17 so that they are not providing
18 diligence to anonymous parties,
19 which we understood, and why that
20 would be a concern if they don't
21 even know who the counterparty would
22 be.

23 So, we are currently
24 evaluating which IOIs bidders should
25 move on to round 2, and hope to

1 * * HIGHLY CONFIDENTIAL * *

2 inform the bidders of that decision
3 this week.

4 There is a very significant
5 amount of activity, Your Honor,
6 related to the M&A process and the
7 sale process, but we hope to provide
8 you with a more thorough update at
9 our next conference, and of course
10 for the status conference as well.

11 Unless you have any
12 questions, I will switch over to the
13 materials regarding step 6 and 7
14 which are going to be handled by my
15 colleague, Mr. Bentley.

16 THE COURT: I guess I do have
17 some questions. I very much
18 appreciate that update, of course.

19 I know you've all been
20 reluctant to characterize things and
21 you can continue to be reluctant,
22 I'm not going to press you, but are
23 we happy?

24 Are we unhappy?

25 Are we optimistic?

1 * * HIGHLY CONFIDENTIAL * *

2 Are we pessimistic?

3 I just have no way to assess
4 what you've told me whether this is
5 likely to get us to a good place or
6 not.

7 I don't know if anyone wants
8 to comment on that?

9 MR. PINCUS: Let me try. Not
10 happy about the prices, necessarily,
11 in the first round.

12 They were all in a very tight
13 range, though, so they all sort of
14 viewed it the same way.

15 Part of the problem is what's
16 the EBITDA run rate.

17 You know, last year after
18 COVID was through the roof and what
19 is it going to settle down to do?

20 And then multiples, but the
21 idea is to try to get some
22 competition in the second round to
23 get those prices up.

24 So, obviously we are happy
25 there are 12 bidders and that they

1 * * HIGHLY CONFIDENTIAL * *

2 all, a lot of them all seem to be
3 very competitive as to value, then
4 we have to see where we really end
5 up.

6 THE COURT: Yes.

7 MR. SCHROCK: Your Honor, the
8 only thing, subject to Eoghan, you
9 know if you have views, my M&A
10 partners, Eoghan Keenan is on the
11 line as well, but there is -- you
12 know, I think this is where the
13 Evercore team and Special Master and
14 his advisors are going to be looking
15 at, you know, how do we get the
16 prices up?

17 Is there a way to combine
18 parties in some instances to have
19 parties come together if that would
20 have a better chance of raising
21 prices.

22 And so there is a lot of
23 dialogue that's going on with the
24 parties to see really what are they
25 interested in.

1 * * HIGHLY CONFIDENTIAL * *

2 But there are some parties
3 that, for instance, are
4 affirmatively asking listen, can we
5 be teamed up with somebody as well,
6 you know, to see if they can
7 increase the consideration available
8 to holders.

9 Eoghan, anything to add?

10 MR. KEENAN: I agree with
11 that.

12 I think I would also add that
13 I think, as Bob said, we are happy
14 with the number of indications of
15 interest submitted.

16 It is a tight range, but they
17 are credible bidders as well, so I
18 think that will result in
19 competitive tension that will drive
20 the price up and result in a strong
21 outcome.

22 MR. SCHROCK: Yes. There is
23 a lot of strategic interest, Your
24 Honor, domestic strategic interest
25 and parties that we think would be

1 * * HIGHLY CONFIDENTIAL * *

2 very credible, and viewed favorably,
3 buyers of the company.

4 So in that sense, it's good.

5 I'm sure that Citgo may not
6 be happy with the values, because
7 they were certainly talking about a
8 much higher value, but it's really
9 just about having come through an
10 extraordinary period like the
11 pandemic, where EBITDA was really
12 very high and people are trying to
13 get an idea of like well, what's the
14 regular run rate EBITDA of the
15 company moving forward, and how
16 should we really be thinking about
17 the values.

18 But there are market
19 comparables that would suggest we
20 could see an increase in values.

21 But we will do our very best.

22 But I don't think that
23 anybody is really complaining as
24 well, Your Honor, about how we are
25 running the sale process.

1 * * HIGHLY CONFIDENTIAL * *

2 I think that's a victory in
3 and of itself.

4 MR. PINCUS: Not yet.

5 MR. SCHROCK: Not yet, but we
6 are working very closely with Citgo
7 as well as the sale process parties,
8 and I think there is a high, very
9 high level of communication to try
10 and make sure that everybody
11 understands exactly what we are
12 doing and how we are managing the
13 process, because we know how
14 contentious the proceedings have
15 been to date.

16 THE COURT: And then either
17 as a matter of your practice or the
18 sales procedure, which I don't have
19 memorized, at what point would some
20 part of what you just disclosed to
21 me become public, or would it not?

22 MR. SCHROCK: I think at the
23 next status conference, Your Honor,
24 we would be -- we can give an
25 update, certainly, to parties and

1 * * HIGHLY CONFIDENTIAL * *

2 that's what we would -- you know,
3 there would be certainly a public
4 update in that sense.

5 I think we will have to be
6 cognizant of just how much we can
7 say, because it's an ongoing, you
8 know, process and the more you
9 disclose, frequently the less
10 competitive it could be.

11 THE COURT: Okay, thank you.

12 That's very helpful to have
13 that background.

14 I do want to have Mr. Bentley
15 or whoever go through -- I glanced
16 at but not read word for word what
17 you sent me in the agenda, and I
18 think I should just say as a preface
19 that won't surprise you all, since
20 you're contemplating filing a motion
21 next week and providing time as you
22 need to for potential opposition, I
23 am mostly going to listen to what
24 you say, as opposed to give you
25 feedback at this point, since I know

1 * * HIGHLY CONFIDENTIAL * *

2 it may end up being litigated, and I
3 don't need to hear the argument that
4 you may end up having to make in
5 court, potentially.

6 But it will be very helpful
7 to have sort of a nonargument
8 explanation of where you are and
9 where you see us going and whatever
10 other sort of background you think
11 would be helpful for me.

12 MR. BENTLEY: Of course, Your
13 Honor.

14 Good morning, Your Honor,
15 Chase Bentley, Weil, Gotshal, for
16 the record, on behalf of Special
17 Master.

18 I'm going to share my screen
19 screen and put up the materials that
20 were distributed.

21 Can you see that okay, Your
22 Honor?

23 THE COURT: I can, yes.
24 Thank you.

25 MR. BENTLEY: Great. So,

1 * * HIGHLY CONFIDENTIAL * *

2 Your Honor, as Mr. Schrock
3 previewed, the purpose of today's
4 discussions is for the Special
5 Master and the court to align on the
6 execution of step 6 and 7 in light
7 of the circumstances.

8 And as is reflected in the
9 discussion materials, the Special
10 Master proposes some adjustments to
11 the interim steps reflected in the
12 August 24th status report, which is
13 at docket 693, which was later
14 adopted by the Court in the October
15 11th order at docket 738.

16 Your Honor, we won't get into
17 the arguments, but we do believe
18 that a bit of context and the reason
19 for the Special Master proposing
20 changes to the adopted procedures
21 would be helpful.

22 We think that the adoption of
23 the proposed changes preserves the
24 orderly process that the court
25 previously approved, and would also

1 * * HIGHLY CONFIDENTIAL * *

2 allow the step 7 deadline to remain
3 unchanged, which we believe is in
4 the best interests of the parties
5 and a very important goal.

6 Your Honor, before we get
7 into some of the context which is on
8 slide 1 here, just at a very high
9 level to preview the changes for
10 you, the most significant change to
11 the priority arrangement procedures
12 comes at the step where the
13 additional judgment creditors
14 deliver their writs of attachment to
15 the U.S. Marshal.

16 Under the existing
17 procedures, the additional judgment
18 creditors would each be assigned two
19 business days to deliver their
20 writs, according to a schedule set
21 by the court in accordance with the
22 approved priority.

23 Your Honor, in the Special
24 Master's proposed changes, the
25 additional judgment creditors would

1 * * HIGHLY CONFIDENTIAL * *

2 receive -- excuse me, would deliver
3 their writs by a date certain which
4 would give a proscribed two business
5 day window for everybody, instead of
6 for each creditor.

7 And in that scenario in the
8 proposed changes, the technical
9 order of physical delivery does not
10 matter, because the U.S. Marshal
11 will deem each writ received in the
12 order determined by the court in the
13 priority order.

14 And we will get into this
15 later in the presentation, and in
16 our discussion, but we have been in
17 discussions with both the U.S.
18 Marshal and the Clerk of the Court
19 in connection with our proposed
20 changes and what they are or are not
21 comfortable with.

22 Your Honor, before I go into
23 the details of the procedures and
24 the proposed changes, I would like
25 to point out a few details about why

1 * * HIGHLY CONFIDENTIAL * *

2 the Special Master believes the
3 changes are necessary, and that's
4 because partly in the context set
5 out in the slide, there is a lot of
6 detail and docket activity outlined
7 on this slide, however I'll point
8 out what we believe are the two most
9 important circumstances leading to
10 the need to change the procedures.

11 First, Your Honor, there are
12 now 26 attached judgments that have
13 reached step 5 with the potential
14 for that amount to grow to 28
15 pending decisions on the motions by
16 Plaintiff's Devengoechea and
17 Cimontubo, those are separate
18 motions Your Honor.

19 When the Special Master
20 submitted the August 24th report, at
21 that time there were 12 judgments
22 that had reached step 5.

23 So under the current
24 procedures, as adopted by the
25 October 11th order, which call for

1 * * HIGHLY CONFIDENTIAL * *

2 two business day windows for each
3 judgment, we simply could not
4 complete the process of delivery of
5 the writs to the Marshal without a
6 step 7 extension.

7 Technically, if everything
8 had been put into place immediately
9 after the step 5 deadline we might
10 have been able to squeeze in with
11 these 28 attached judgments.

12 That just given some of the
13 delay, in other words the time it
14 has taken to get through the
15 Devengoechea and other motions and
16 where we are today, we wouldn't be
17 able to give everybody a two
18 business day window.

19 Your Honor, the proposed
20 changes that are outlined in this
21 set of materials condense the
22 process for delivery of writs it the
23 Marshal from what could potentially
24 be 56 business days down to two
25 business days.

* * HIGHLY CONFIDENTIAL * *

Second, Your Honor, as I previewed, under the existing procedures, the Special Master's filing of the steps chart on January 19th, 2024 would have triggered the subsequent procedures to begin then, starting with entry of the priority order.

However, because of the motions filed by Altana and the U.K. arbitration creditors, Devengoechea and Cimontubo, the process has been delayed slightly and presumably cannot begin until after the February 14th hearing.

Where thereafter Your Honor would enter an order, presumably either deeming Devengoechea and Cimontubo as additional judgment creditors with attached judgments, or otherwise denying their motions.

So, again, Your Honor, we think the proposed changes will allow us to continue with steps 6

1 * * HIGHLY CONFIDENTIAL * *
2 and 7 without extending the step 7
3 deadline, and we understand from
4 many conversations with various
5 judgment holders throughout the
6 priority stack that any extension of
7 the step 7 deadline would be met
8 with strong opposition.

9 And that's because at this
10 stage, given both some of the recent
11 press releases from the
12 administration, the Biden
13 administration, and OFAC regarding
14 sanctions and potential changes to
15 sanctions, that coupled with the
16 potential for parties to settle in
17 the Crystallex matter, and as Your
18 Honor is aware with the six
19 creditors' motion last month, the
20 creditors -- the judgment holders,
21 excuse me, are just very conscious
22 of moving forward with step 6 and 7.

23 So we believe that the
24 proposals here can move the process
25 along without any further extension

1 * * HIGHLY CONFIDENTIAL * *

2 or delay.

3 I wasn't planning, Your
4 Honor, on walking through any of the
5 other specific context or docket
6 activity that we have listed on
7 slide 1 here.

8 I'm happy to go over it,
9 otherwise I will just move on to the
10 step by step proposed changes that
11 we have, which is on the next slide.

12 THE COURT: That's fine,
13 yeah, you can go on.

14 MR. BENTLEY: Your Honor, the
15 first change that would occur is
16 with the entry of the priority
17 order.

18 And I say entry of the
19 priority order, because that was
20 keyed off of the entry of the
21 January steps chart under the
22 existing procedures.

23 Now, because we anticipate
24 having to file an updated steps
25 chart, even if Devengoechea and

1 * * HIGHLY CONFIDENTIAL * *

2 Cimontubo are not admitted as
3 additional judgment creditors with
4 attached judgments, we would still
5 have to update the steps chart at a
6 minimum for Altana.

7 And, Your Honor, there is
8 also the Gramercy motion which is
9 pending.

10 While that would not -- while
11 that would not change -- not bring
12 in any new additional judgment
13 creditors into the list, it could
14 potentially shift around the
15 priority.

16 And the intention of the,
17 quote unquote, January steps chart
18 was to set out our final view of
19 priority based on the docket
20 activity reported to us.

21 So, we presumably will need
22 to file an updated steps chart,
23 which we refer to here as the
24 February steps chart.

25 There are some interim steps

1 * * HIGHLY CONFIDENTIAL * *

2 before we submit that February steps
3 chart, which are largely procedural,
4 and we can get to in a couple of
5 slides.

6 But at a high level, this
7 first change is really just the
8 Special Master submitting an updated
9 steps chart, which would then kick
10 off the process and trigger the
11 filing of a priority order.

12 After the filing of the
13 priority order, there are no changes
14 that we propose until we get to the
15 step where the additional judgment
16 creditors deliver their writs and
17 the accompanying material to the
18 U.S. Marshal.

19 One thing to note is in these
20 steps before we get to the delivery
21 by the additional judgment
22 creditors, there is interaction with
23 an activity by the Clerk of the
24 Court.

25 We don't believe that we need

1 * * HIGHLY CONFIDENTIAL * *

2 to get into that now because we are
3 not proposing any changes, but we
4 would just like to note for Your
5 Honor that we have been in
6 discussions with the Clerk around
7 the logistics of ensuring that they
8 receive the proposed form of writs
9 and how they then proceed to issuing
10 the writs themselves.

11 So we are coordinating the
12 background and we are also aware
13 that Your Honor has requested a
14 meeting between the Special Master,
15 the court, the Clerk and the U.S.
16 Marshal at 8:30 a.m. on the morning
17 of the status conference, February
18 14th.

19 So we will continue our
20 discussions both with the Clerk and
21 the U.S. Marshal, up to and
22 including that date, to make sure
23 that everybody is prepared and can
24 be productive with our meeting that
25 morning.

1 * * HIGHLY CONFIDENTIAL * *

2 So now moving on to, as I
3 previewed, what we believe is the
4 primary or most substantive change
5 to the priority arrangement
6 procedures, and that's delivery of
7 the writs by additional judgment
8 creditors to the Marshal.

9 In just a moment I'm going to
10 turn this over to my colleague,
11 Sarah Sternlieb who's been in direct
12 contact with the Marshal.

13 But just to give you a high
14 level sense of what we are
15 proposing, instead of -- instead of
16 giving each judgment creditor --
17 that's a simplification because in
18 reality there could be judgments
19 that were filed on the same day,
20 actually I should say the motions
21 for writs of attachment were filed
22 on the same day, that's step 4, and
23 that's how the priority is
24 determined.

25 So technically we do have

1 * * HIGHLY CONFIDENTIAL * *

2 some judgment creditors that would
3 be delivering to the Marshal on the
4 same day.

5 That being said, I think that
6 the change that we are proposing, we
7 don't need to get into the detail
8 about certain judgments delivering
9 on the same day under the existing
10 procedures, but the purpose of the
11 change here is just to condense the
12 time or the window from the first to
13 the last delivery by the judgment
14 holders in order to accomplish the
15 delivery to the U.S. Marshal within
16 the proscribed time we already have
17 and not extending step 7.

18 And we have discussed this
19 with the U.S. Marshal. If you
20 recall, Your Honor, the reason why
21 we had proposed the prior procedures
22 of giving everybody a window was to
23 comport with existing and applicable
24 law related to first in time, first
25 in line.

1 * * HIGHLY CONFIDENTIAL * *

2 And we have looked into that
3 as well and my colleague, Sarah
4 Sternlieb will cover that as well.

5 Your Honor, we believe that
6 it isn't necessary to follow those
7 procedures exactly, and we think
8 that we can still accomplish
9 delivery, but have the delivery
10 deemed to be in the order in which
11 the court sets it out in the
12 priority order.

13 And that would still be
14 compliant with applicable law.

15 Unless Your Honor has
16 questions, I'll turn it over to
17 Sarah Sternlieb to talk in more
18 detail about our conversations with
19 the U.S. Marshal, and also analysis
20 of the applicable law for this step.

21 THE COURT: Right, I think
22 the only question that, and I think
23 it's a simple one, is in the motion
24 that you intend to file are you
25 going to lay out the legal basis for

1
2
3
4
5
6
7
8
9
10
11
12
13
14
15
16
17
18
19
20
21
22
23
24
25

* * HIGHLY CONFIDENTIAL * *

why you think this would not have any material effect on what the existing orders intend to accomplish in terms of priority?

MR. BENTLEY: Yes, Your Honor, that would be the intention.

And I should also preview we were going to get to this later in the presentation, but we also believe that that we can seek the consent of all of the attached judgment holders, as well as the sale process parties, the Venezuela parties who don't hold judgments, and seek these changes under consent.

We have already discussed the concept of condensing delivery with a number of the creditors that have reached out on their own about step 6 and 7, and we have received so far overwhelming support for any way that we can condense the process.

1 * * HIGHLY CONFIDENTIAL * *

2 THE COURT: Thank you.

3 No other questions.

4 MR. BENTLEY: Thank you.

5 Sarah, if you would like to
6 talk about our conversations with
7 the Marshal.

8 MR. STERNLIEB: Good morning,
9 Sarah Sternlieb from Weil, Gotshal
10 on behalf of the Special Master.

11 As Chase said, we have spoken
12 to both the Clerk and the Marshal
13 and they recognize this case as very
14 unique, it is not the typical
15 process that they would usually do,
16 and that they will be deferring to
17 your Chambers and whatever order you
18 set forth.

19 The Marshal's office in
20 particular said that what's most
21 important to them is to have an
22 order of priority, a list that they
23 can refer to, and that that's going
24 to be the most important for them,
25 and that it would be easier to have

1 * * HIGHLY CONFIDENTIAL * *

2 the materials closer in time rather
3 than spaced out, just because they
4 voiced concerns about keeping track
5 of everything with 26 judgments or
6 potentially more.

7 And that as long as they have
8 the order, that that's going to be
9 what they will defer to.

10 THE COURT: Thank you.

11 MS. STERNLIEB: I will just
12 note the Clerk said once they get
13 the green light from the Clerk, they
14 can issue the writs all in one day,
15 so that should also be able to be
16 taken care quickly, but again they
17 will be deferring to whatever order
18 you give them.

19 THE COURT: Thank you again.

20 MR. BENTLEY: With that, Your
21 Honor, just quickly on the last two
22 steps, we don't anticipate any
23 proposed changes after the delivery
24 of the writs by the additional
25 judgments creditors.

1 * * HIGHLY CONFIDENTIAL * *

2 With that I'll move on to the
3 slide.

4 This slide is just an
5 illustrative calendar of how we
6 think these amendments could play
7 out.

8 Two things that I will point
9 out, first at the end of -- at the
10 end of the calendar here, because of
11 how we have condensed the step of
12 the delivery of the writs, we have a
13 20 day buffer ahead of the currently
14 scheduled step 7 deadline.

15 And so as you can imagine,
16 there is some play and some give on
17 where some of these interim steps
18 actually do occur.

19 An, in particular, I would
20 like to point out the entry of the
21 priority order.

22 We have it here set
23 approximately two weeks after
24 February 14th's hearing, but that's
25 just, again, illustrative and we are

1 * * HIGHLY CONFIDENTIAL * *

2 not intending to impose a deadline.

3 So everything would kick off
4 starting on entry of the priority
5 order, and this is just to give Your
6 Honor a sense of the time and the
7 flexibility that we would have with
8 these amendments.

9 THE COURT: And the idea is
10 all -- excuse me, all of the
11 creditors should be on notice,
12 presumably, of your motion and if I
13 grant it will make this clear, that
14 their simultaneous or concurrent two
15 day window is going to begin when
16 the priority order is entered, so
17 they need to be ready to do what
18 they need to do because they don't
19 know when the priority order is
20 coming.

21 MR. BENTLEY: Well,
22 technically, Your Honor it's even
23 more protective of the judgment
24 creditors than that, because they
25 don't have that two day window to

1 * * HIGHLY CONFIDENTIAL * *

2 submit their writs to the Marshal
3 until further down.

4 So if you look here, it comes
5 down after the Clerk issues the writ
6 to the additional judgment
7 creditors, there are a number of
8 interim steps before then.

9 THE COURT: Okay, thank you
10 for pointing that out to me, right.

11 Okay, right, there will have
12 to be a Writ order as well.

13 MR. BENTLEY: Correct.

14 THE COURT: Got you.

15 MR. BENTLEY: The initial
16 step, I think you might have been
17 referring to is judgment creditors
18 submitting proposed writs to the
19 Clerk, which we understand they
20 already have prepared.

21 So for that one they are just
22 waiting for Your Honor to enter the
23 priority order, and that will then
24 kick off their requirement to
25 deliver to the Clerk.

1 * * HIGHLY CONFIDENTIAL * *

2 THE COURT: Thank you.

3 MR. BENTLEY: Your Honor,
4 moving on to how we anticipate this
5 playing out, as previously
6 mentioned, we would file the motion,
7 although we do think that we could
8 go seek the consent of the judgment
9 holders ahead of time and condense
10 this briefing cap-ex schedule ahead
11 of the February 14th status
12 conference and hearing.

13 And then, again, after the
14 February 14th hearing Your Honor
15 would enter substantive orders on
16 the motions by Devengoechea,
17 Cimontubo and Gramercy.

18 Once those substantive orders
19 are entered, the Special Master will
20 have clarity on who the additional
21 judgment creditors are, and what
22 their priority should be, so then we
23 can submit the February steps chart.

24 Because we would also have a
25 motion in front of Your Honor for

1 * * HIGHLY CONFIDENTIAL * *
2 amendments to the procedures that we
3 would also be seeking a procedural
4 order from the court.

5 And then, again, after the
6 entry of the February steps chart,
7 we would move on to the remainder of
8 the procedures which commences with
9 the priority order.

10 And one point that we have
11 noted here at the end, to the extent
12 Your Honor would like us to draft
13 proposed forms of order, or at least
14 communicate with Chambers to ensure
15 that certain points are covered, we
16 are happy to do so and do whatever
17 you would like.

18 THE COURT: That's an easy
19 one, I have circled and put a star
20 next to it.

21 I desire and would like for
22 you all to draft those orders and
23 submit them as a proposal at the
24 appropriate time.

25 And I will just add to that,

1 * * HIGHLY CONFIDENTIAL * *

2 too, I'm sure it will be no
3 surprise, but nothing I've said is
4 intended to dissuade you from any
5 effort you may have to seek consent.

6 I do think you need to file a
7 motion, because this would be a
8 change, these procedures would be a
9 change.

10 But it doesn't have to be an
11 opposed motion, and to the extent
12 you can get consent either by Monday
13 or during the process of briefing,
14 please don't let me be misunderstood
15 as deterring you from attempting to
16 do that.

17 MR. BENTLEY: Thank you, Your
18 Honor.

19 Your Honor, that concludes
20 what we wanted to discuss about the
21 proposed amendments.

22 Unless Your Honor has
23 anything else, I think we can
24 conclude.

25 THE COURT: I don't think I

1 * * HIGHLY CONFIDENTIAL * *

2 have anything else.

3 Li is on. Li, anything else
4 that you think we should talk about?

5 MR. ZHANG: I don't have any
6 additional questions.

7 THE COURT: Okay.

8 Well, great. Yeah if there
9 is nothing else from anybody, I
10 continue to appreciate all your
11 efforts and I'm glad that we had a
12 chance to have this discussion, and
13 I will look forward to, well,
14 everything on the 14th, but
15 certainly the meeting in the
16 morning, and, Mr. Bentley, you
17 indicated someone from your team
18 will be there at the meeting,
19 correct?

20 MR. BENTLEY: Yes, a number
21 of us, I'm sure, will be there and
22 I'll coordinate with Li on location
23 and all that.

24 THE COURT: Okay, wonderful.

25 I hope everybody has a nice

1
2
3
4
5
6
7
8
9
10
11
12
13
14
15
16
17
18
19
20
21
22
23
24
25

* * HIGHLY CONFIDENTIAL * *

weekend, and thank you again.

MR. SCHROCK: Thank you, Your Honor.

MR. BENTLEY: Thank you, Your Honor.

* * HIGHLY CONFIDENTIAL * *

C E R T I F I C A T E

I, STEPHEN J. MOORE, a Shorthand
Reporter and Notary Public of the State of
New York, do hereby certify:

That the transcript as
hereinbefore set forth is a true and
accurate record said proceedings.

I further certify that I am
not related to any of the parties to this
action by blood or marriage; and that I am
in no way interested in the outcome of
this matter.



STEPHEN J. MOORE, RPR, CRR

Federal Rules of Civil Procedure

Rule 30

(e) Review By the Witness; Changes.

(1) Review; Statement of Changes. On request by the deponent or a party before the deposition is completed, the deponent must be allowed 30 days after being notified by the officer that the transcript or recording is available in which:

(A) to review the transcript or recording; and

(B) if there are changes in form or substance, to sign a statement listing the changes and the reasons for making them.

(2) Changes Indicated in the Officer's Certificate. The officer must note in the certificate prescribed by Rule 30(f)(1) whether a review was requested and, if so, must attach any changes the deponent makes during the 30-day period.

DISCLAIMER: THE FOREGOING FEDERAL PROCEDURE RULES ARE PROVIDED FOR INFORMATIONAL PURPOSES ONLY.

THE ABOVE RULES ARE CURRENT AS OF APRIL 1, 2019. PLEASE REFER TO THE APPLICABLE FEDERAL RULES OF CIVIL PROCEDURE FOR UP-TO-DATE INFORMATION.

VERITEXT LEGAL SOLUTIONS

COMPANY CERTIFICATE AND DISCLOSURE STATEMENT

Veritext Legal Solutions represents that the foregoing transcript is a true, correct and complete transcript of the colloquies, questions and answers as submitted by the court reporter. Veritext Legal Solutions further represents that the attached exhibits, if any, are true, correct and complete documents as submitted by the court reporter and/or attorneys in relation to this deposition and that the documents were processed in accordance with our litigation support and production standards.

Veritext Legal Solutions is committed to maintaining the confidentiality of client and witness information, in accordance with the regulations promulgated under the Health Insurance Portability and Accountability Act (HIPAA), as amended with respect to protected health information and the Gramm-Leach-Bliley Act, as amended, with respect to Personally Identifiable Information (PII). Physical transcripts and exhibits are managed under strict facility and personnel access controls. Electronic files of documents are stored in encrypted form and are transmitted in an encrypted

fashion to authenticated parties who are permitted to access the material. Our data is hosted in a Tier 4 SSAE 16 certified facility.

Veritext Legal Solutions complies with all federal and State regulations with respect to the provision of court reporting services, and maintains its neutrality and independence regardless of relationship or the financial outcome of any litigation. Veritext requires adherence to the foregoing professional and ethical standards from all of its subcontractors in their independent contractor agreements.

Inquiries about Veritext Legal Solutions' confidentiality and security policies and practices should be directed to Veritext's Client Services Associates indicated on the cover of this document or at www.veritext.com.

Crystallex v. Bolivarian Republic of Venezuela

Special Master *Ex Parte* Meeting Discussion Materials

February 2, 2024

Situation Overview

- In light of the current circumstances, including the existence of 26 Attached Judgments¹ (which amount may increase to 28 pending decisions on motions by Devengoechea and Cimontubo) and the pending Gramercy motion, the Special Master and his Advisors recommend adjusting the Step 6 and Step 7 priority arrangement procedures (the “Priority Arrangement Procedures”), approved by the Court pursuant to the *Memorandum Order* dated October 11, 2023 [D.I. 738] (the “October 11 Order”) as described in the following slides.
 - *Importantly, however, the Special Master does not believe an extension of the Step 7 (Perfected Writ) Deadline is necessary at this time.*
- For context, the following activities concerning the Priority Arrangement Procedures have occurred or are currently pending:
 - On July 27, 2023, the Court entered a *Memorandum Order* establishing the 7 steps for perfecting a judgment on the PDVH Shares.
 - On August 24, 2023, the Special Master filed a *Joint Status Report* [D.I. 693] (the “August 24 Report”), setting forth the proposed Priority Arrangement Procedures. At the time of the August 24 Report, 12 judgments had reached Step 5.
 - The October 11 Order was entered, setting the Step 5 (Writ) Deadline and Step 7 (Perfected Writ) Deadline and adopting the Special Master’s proposed Priority Arrangement Procedures outlined in the August 24 Report.
 - In the Special Master’s *Status Report Regarding Marketing Process Deadlines* [D.I. 839], the Round 1 bid deadline was set for January 22, 2024, which resulted in the Step 5 (Writ) Deadline being set at January 12, 2024.
 - The Round 2 bid deadline has yet to be set by the Special Master; however, for the purposes of these materials, the Special Master assumes a Step 7 (Perfected Writ) Deadline of April 11, 2024 (*i.e.*, 90 days after the Step 5 (Writ) Deadline).
 - On January 12, 2024, the Step 5 (Writ) Deadline occurred, at which time 25 judgments had reached Step 5, as reflected in the Steps Chart filed by the Special Master on January 19 [D.I. 870] (the “January Steps Chart”).
 - On January 22, 2024, the Court held oral argument on the pending motions by parties Altana and Devengoechea, and on January 24 entered an order that, among other things designated Altana’s judgment as an Attached Judgment [D.I. 886].
 - The Court set briefing schedules for motions by parties Devengoechea and Gramercy [D.I. 900, 908], culminating in an oral argument on February 14, 2024, and requested a status report with respect to the motion by party Cimontubo. Cimontubo proposed a briefing schedule that will conclude by February 12, with the anticipation that the Court will order oral argument to be held on February 14 as well.
 - On February 14, 2024, the Court will hold a status conference and hearings on the pending motions.

¹ Capitalized terms used but not otherwise defined herein shall have the meanings ascribed to such terms in the Sale Procedures Order [D.I. 481] or the August 24 Report [D.I. 693], as applicable.

Proposed Amendments to Priority Arrangement Procedures

Existing Priority Arrangement Procedures Approved by Oct. 11 Order	Proposed Amended Procedures
Special Master files January Steps Chart following the Step 5 (Writ) Deadline	- January Steps Chart completed [D.I. 870] - Special Master files an updated Steps Chart after February 14 Status Conference (“<u>February Steps Chart</u>”) (see next slide for detail)
Court enters Priority Order after January Steps Chart	Court enters Priority Order after February Steps Chart
Additional Judgment Creditors submit proposed writs to Clerk of the Court within two (2) business days of entry of the Priority Order	No change
Following submission of proposed writs to the Clerk, the Court enters the Writ Order directing the Clerk to issue writs of attachment	No change
Clerk issues writs to Additional Judgment Creditors	No change
Additional Judgment Creditors deliver writs and accompanying materials to the U.S. Marshal according to the two (2) business day window set forth in the Writ Order	- After discussion with the U.S. Marshal, the Special Master believes allocation of a separate window for each judgment is unnecessary as a matter of law and overly time-consuming. Therefore, the Special Master proposes setting a single day by which all Additional Judgment Creditors must deliver materials to the U.S. Marshal, regardless of priority. - The order of physical delivery will be irrelevant because the writs will be deemed to have been delivered to the U.S. Marshal in the priority laid out in Priority Order.
Special Master submits a Steps Chart confirming all writs were delivered to the U.S. Marshal in the appropriate priority	No change; <i>provided</i>, that order of delivery does not affect priority, as described above
Court enters Order confirming Final Priority	No change
U.S. Marshal serves writs on the Special Master	No change

Illustrative Timeline - Proposed Amendments to Priority Arrangement Procedures

Action	Date	Calendar Days Since Step 5
Step 5 (Writ) Deadline	January 12, 2024	
Entry of Priority Order	February 28, 2024	47
Additional Judgment Creditors Submit Proposed Writs to Clerk	March 1, 2024	49
Entry of Writ Order	March 5, 2024	53
Clerk Issues Writs to Additional Judgment Creditors	March 11, 2024	59
Additional Judgment Creditors Deliver Writ Materials to U.S. Marshal	No later than March 14, 2024	62
Special Master Submits Updated Steps Chart	March 18, 2024	66
Court Issues Order Confirming Final Priority	March 20, 2024	68
U.S. Marshal Serves Writs on Special Master	March 22, 2024	70
Step 7 (Perfected Writ) Deadline	April 11, 2024	90

January 2024

S	M	T	W	T	F	S
	1	2	3	4	5	6
7	8	9	10	11	12	13
14	15	16	17	18	19	20
21	22	23	24	25	26	27
28	29	30	31			

February 2024

S	M	T	W	T	F	S
				1	2	3
4	5	6	7	8	9	10
11	12	13	14	15	16	17
18	19	20	21	22	23	24
25	26	27	28	29		

March 2024

S	M	T	W	T	F	S
					1	2
3	4	5	6	7	8	9
10	11	12	13	14	15	16
17	18	19	20	21	22	23
24	25	26	27	28	29	30

April 2024

S	M	T	W	T	F	S
	1	2	3	4	5	6
7	8	9	10	11	12	13
14	15	16	17	18	19	20
21	22	23	24	25	26	27
28	29	30				

 Priority Arrangement Dates
 Hearing Dates

20-day buffer before Step 7 (Perfected Writ) Deadline

Special Master's Recommended Procedural Next Steps

- The Special Master recommends the following procedural next steps to implement the proposed amended Priority Arrangement Procedures:
 1. The Special Master files a motion requesting changes to the Priority Arrangement Procedures (the “Motion”) under the following briefing schedule:
 - Motion filed by Monday, February 5, 2024;
 - Opposition briefs due Wednesday, February 7, 2024;
 - Special Master’s reply brief due Monday, February 12, 2024; and
 - Oral argument, if any, on February 14, 2024.
 2. After the February 14th hearing, the Court enters orders on motions by Devengoechea, Cimontubo (subject to briefing schedule), and Gramercy (the “Substantive Order”) and the Special Master’s Motion (the “Procedural Order”).
 3. After the entry of the Substantive Order, the Special Master will know which changes need to be made to the January Steps Chart and can then file the February Steps Chart.
 4. After the Special Master files the February Steps Chart, the Court will commence the Priority Arrangement Procedures, as revised by Procedural Order, by entering Priority Order.
- Additionally, if helpful or so desired by the Court, the Special Master is prepared to draft proposed forms of the Priority Order, Writ Order, Final Priority Order, and Procedural Order.

Exhibit H

Transcript of March 29, 2024 *Ex Parte* Meeting of the Court and the Special Master

IN THE UNITED STATES DISTRICT COURT
FOR THE DISTRICT OF DELAWARE

CRYSTALLEX INTERNATIONAL
CORPORATION,

Plaintiff,

v.

BOLIVARIAN REPUBLIC OF VENEZUELA,
Defendant.

Misc. No.

17-151-LPS

SPECIAL MASTER EX PARTE MEETING

DATE: Friday, March 29, 2024

TIME: 10:00 a.m.

BEFORE: Honorable Leonard P. Stark

LOCATION: Remote Proceeding

New York, NY 10001

REPORTED BY: Lindsey Diego

A P P E A R A N C E S

ON BEHALF OF SPECIAL MASTER ROBERT B. PINCUS:

RAY C. SCHROCK, ESQUIRE (by videoconference)

ALEXANDER W. WELCH, ESQUIRE (by videoconference)

EOGHAN KEENAN, ESQUIRE (by videoconference)

SARAH STERNLIEB, ESQUIRE (by videoconference)

CHASE A. BENTLEY, ESQUIRE (by videoconference)

REBECCA JAEGER, ESQUIRE (by videoconference)

MAGGIE BURRUS, ESQUIRE (by videoconference)

Weil Gotshal & Manges, LLP

767 Fifth Avenue

New York, NY 10153

ALSO PRESENT:

Robert B. Pincus, Special Master (by
videoconference)

Li Zhang, Law Clerk (by videoconference)

Ray Strong, Senior Managing Director (by
videoconference)

Kevin Putman, Vice President (by videoconference)

Jishnu Shah, Analyst (by videoconference)

Michael Winterholler, Evercore (by
videoconference)

1
2
3
4
5
6
7
8
9
10
11
12
13
14
15
16
17
18
19
20
21
22
23
24
25

A P P E A R A N C E S (Cont'd)

ALSO PRESENT:

William Hiltz, Senior Managing Director (by
videoconference)
David Ying, Senior Managing Director (by
videoconference)
Daniel Lakhdhir, Vice President (by
videoconference)
Jim Li, Associate (by videoconference)

Page 4

1
2
3
4
5
6
7
8
9
10
11
12
13
14
15
16
17
18
19
20
21
22
23
24
25

E X H I B I T S

NO .	DESCRIPTION	ID/EVD
	(None marked.)	

1 P R O C E E D I N G S

2 THE COURT: No problem at all. And I
3 did get the agenda ahead of time. Excuse me. Thank
4 you. And yeah. Go right ahead.

5 MR. BENTLEY: Great. I'll put it up on
6 the screen right now.

7 THE COURT: Okay.

8 MR. BENTLEY: Can everybody see that?

9 THE COURT: I can.

10 MR. PINCUS: Yes.

11 MR. STRONG: Yes.

12 MR. PINCUS: And we do have a court
13 reporter, Your Honor. Sorry it didn't mention it.

14 THE COURT: Thank you. Yeah. Thank
15 you.

16 MR. BENTLEY: Okay. Your Honor, Chase
17 Bentley of Weil Gotshal. We're going to start with
18 the sale process update like we typically do. So I'll
19 turn it on to Ray Strong of Evercore just to go
20 through a summary of the bids and then also some
21 activity that we've had in the sale process and where
22 we are going forward.

23 THE COURT: Okay.

24 MR. STRONG: Great. And this -- Judge,
25 this is Ray Strong, Evercore. We've summarized bids

1 received. This was probably a month ago or so. Top
2 half of the page are the exact numbers that came in on
3 letters. And then what we would tried to do is boil
4 that down to what would be net to the claimants with
5 some assumptions. It is still early stages. These
6 are all nonbinding.

7 The dotted green are ones that we took
8 into the second round. So that's about nine. But
9 realize that three of the nine are claimant bids,
10 three separate claimant bids that may be coalesce at
11 one -- at some point in time. We've offered up into
12 the second round management presentations. We've
13 conducted three of those so far.

14 We have another four scheduled and
15 maybe or maybe not on the other two. They just
16 haven't requested it yet. And everybody's deep in
17 their diligence. I will say management has been very
18 cooperative. The sessions have been great. They have
19 run from four to seven hours each. And there's good
20 data coming and now a lot of questions.

21 One bidder in particular had 270
22 questions and growing, and we would imagine that
23 number is around -- it will be around that number for
24 each. So there's a lot of work to be done, and we are
25 in the thick of diligence right now. And -- and

1 things are progressing. That's kind of the update.
2 Happy to open up for questions.

3 THE COURT: Yeah. I don't have 270,
4 but I have a handful.

5 MR. STRONG: Okay.

6 THE COURT: So these are -- you expect
7 that these are serious bids; right? If folks are
8 going to that much trouble and doing this diligence,
9 they're anticipating there's a reasonable chance they
10 really will go forward with their offer?

11 MR. STRONG: What has been told to us
12 on probably three parties, they're spending between
13 three and five million dollars on their diligence. So
14 yes, think serious. Now we do think some will
15 naturally fall away as they dig in a little bit more.

16 So -- but the -- the ones that we
17 selected to move forward we believe have the financial
18 wherewithal -- maybe some of them -- a couple of them
19 are -- are a stretch, but -- and the desire to -- to
20 move forward. So the answer is yes.

21 THE COURT: Because I take it spending
22 that much money and time on due diligence, that's what
23 you would expect for a deal of this type for someone
24 who was seriously considering going forward. Is that
25 fair?

1 MR. STRONG: Absolutely fair. It's
2 their own internal resources, and then many have hired
3 outside consultants.

4 THE COURT: Okay. And you said
5 something about maybe -- and I'm not looking to know
6 who these bidders are. But maybe two or three of them
7 are credit bids, it sounds like, or are claimants.
8 And you used a word. Maybe they will consolidate or
9 coordinate or something to that effect. What do you
10 mean by that?

11 MR. STRONG: We have allowed some of
12 the claimants, if you are towards the bottom of the
13 stack, you are allowed to talk to somebody above you,
14 senior to you, and to facilitate conversations.
15 'Cause at the end of the day, you know, two claimants
16 can't -- can't win this. It'll be one. And if
17 somebody's down further in the stack, that would
18 include the person above in the stack.

19 So we're just trying to figure out
20 where all that is and -- and how -- will the claimants
21 -- how can the claimants come up with financing and
22 how serious they are. So again, still early stages.
23 Those are the ones that are really starting to dig in.
24 The more strategics are digging in a little bit more
25 and hiring consultants and such and advisors.

1 THE COURT: And you know by now I don't
2 keep all the dates in my head. How close are we to --
3 I think there's a binding offer timeframe?

4 MR. STRONG: Well, we have -- okay.
5 Fair. We have not picked the finding offer -- the
6 final binding offer date. However, the guidance that
7 we've been given -- and we're trying to nail that down
8 over the next two weeks. The guidance that we've been
9 given for folks is early June.

10 And our logic is early June, then
11 negotiate, which will take two-three weeks on a
12 purchase and sales agreement, to hopefully -- and this
13 may slide -- but hopefully be -- announce the winner.
14 It goes to you. Thirty days to -- to go through your
15 process and then hit our July date.

16 Now it is tight, but that is what we're
17 shooting for. Our view is, if we ask you to extend
18 the July date or push that bid date out further,
19 people -- we -- we will lose some momentum. So we're
20 shooting for that early June.

21 THE COURT: Um ...

22 MR. BENTLEY: Maybe just to add a
23 little -- oh, sorry, Your Honor.

24 THE COURT: Please.

25 MR. BENTLEY: Didn't mean to interrupt

1 you.

2 THE COURT: Sure.

3 MR. BENTLEY: I was just going to add
4 another layer of detail on that. So when we do select
5 the round two bid deadline, we will publish a status
6 report and tell everybody when that date is. So not
7 -- we don't just tell the bidders. But we will tell
8 the Court, and we'll tell the public.

9 And as Ray said, we don't anticipate
10 that date, you know, necessarily at this point
11 requiring that we push out the hearing date. If we
12 get to a point where we do think that's necessary,
13 then, you know, we will talk to Your Honor about that.
14 And again, if we need to push it, we can file a status
15 report to update that.

16 And then the 30 day process or the
17 Court's 30 day process that Ray referenced is, when we
18 file a notice of successful bidder, that purchase
19 agreement that underlies the notice of successful
20 bidder will have a 30 day fiduciary out period during
21 which the special master can terminate the successful
22 bid purchase agreement if we receive a higher or
23 better offer.

24 During that time is when our motion to
25 approve the sale will also be in front of the Court

1 subject to objections from parties. So that's the 30
2 day period that Ray's referencing.

3 THE COURT: All right. Couple
4 questions about that. Thank you for raising that. So
5 we have a July date tentatively on the calendar. I
6 don't know if you have that in front of you, what day
7 in July that is.

8 MR. BENTLEY: It's the 15th.

9 THE COURT: The 15th. So your
10 anticipation is that recognizing your recommendation
11 that is the special master's recommendation, it could
12 still include a recommendation that I not go forward
13 with anyone. But it could, of course, include,
14 "Here's who we have selected and recommend that the
15 Court do go forward with."

16 You're anticipating getting that to me
17 30 days before July 15th or whatever rescheduled date
18 there may be if you ask for a scheduled date, so that
19 in those 30 days leading up to the hearing, there
20 would be the briefing on anyone who wants to object.
21 And then I'd be in a position to hear those objections
22 on or around July 15th. Is that how you're viewing
23 it?

24 MR. BENTLEY: Correct, Your Honor.

25 MR. PINCUS: Yeah. And during that

1 time, others can come in and try to top those bids as
2 well.

3 THE COURT: Right. Because you -- as a
4 special master, you have the fiduciary out, which
5 gives you free reign to accept a better bid or
6 recommend that I accept a better bid if one were to
7 come in.

8 MR. PINCUS: That's correct. And
9 there's a breakup fee, as Chase mentioned, if in fact
10 we do that.

11 THE COURT: Okay. All right. I think
12 I understand. So, I guess, tell me this. What are
13 the thoughts either from the litigators or, you know,
14 from the deal folks? It may well be that I am not in
15 a position to rule from the bench on July 15th. We
16 may have pretty substantial objections, which may be
17 briefed.

18 The briefing may finish shortly before
19 July 15th, let's say. Is the possibility of me having
20 the need for some time after July 15th -- is that
21 factored in? Should I be getting myself geared up to
22 be trying very hard to make decisions quickly? What
23 is anybody's thoughts on that?

24 MR. PINCUS: From a deal guy, you're
25 entitled to make the decision when you make the

1 decision, and the deal doesn't close until you approve
2 it.

3 THE COURT: Do you anticipate --

4 MR. BENTLEY: That's right, Your Honor.

5 THE COURT: Okay. And the purchase
6 agreement presumably contemplates this, and the bidder
7 can't just walk away, at least cost free, if they are
8 disappointed with how much time it takes me.

9 MR. PINCUS: That's right. I mean, if
10 you think about it, it's like waiting for stockholder
11 approval, you know. If the meeting gets pushed out,
12 the meeting gets pushed out. There's no deal until
13 the stockholders approve it. There's no deal here
14 until you approve.

15 THE COURT: Okay.

16 MR. BENTLEY: Your Honor, the contract
17 steps that we put together through the sale procedures
18 order in which we're operating under now is very
19 similar to a Chapter 11 sale. And in a Chapter 11
20 sales, which oftentimes has milestones, you know,
21 imposed by a buyer or imposed by lenders, the typical
22 milestone will key on the date of the sale hearing.
23 Because everybody acknowledges that a milestone is not
24 going to be binding on the Court itself.

25 So nobody typically puts in a date on

1 which a sale order needs to be entered. Sometimes you
2 see that, but certainly, we are going to push and
3 require that any milestone that's in the purchase
4 agreement was only keyed off with the sale here. So
5 all of the objections in our motion will be heard, you
6 know, tentatively on July 15th. And whenever Your
7 Honor is ready to rule on the sale, well, is on your
8 timeline.

9 THE COURT: Okay.

10 MR. KEENAN: Your Honor, this is Eoghan
11 Keenan from Weil Gotshal. Just to elaborate a little
12 on what the special master said, we'd expect the
13 process to play out as it would in a public M&A
14 process. If there were a superior bid that came in,
15 there will be a period for the original buyer to
16 negotiate.

17 And we want competitive tension there
18 where it could be potentially where bidders are
19 bidding against themselves. But there would not be
20 any intuit until you have made your decision, and the
21 agreement would allow for that.

22 THE COURT: Okay. And -- thank you for
23 that. And so between now -- or between the binding
24 bids date and when the special master makes a
25 recommendation, is there something akin to an auction

1 where you all potentially go back and for to -- if
2 you've got, you know, two competitive bids, say, and
3 indicate, you know -- and see if you can get them
4 higher or competing against one another?

5 MR. STRONG: Answer is --

6 MR. PINCUS: That's --

7 MR. STRONG: -- but -- but not -- not
8 publicly.

9 MR. PINCUS: Yeah, not publicly.

10 MR. STRONG: So privately. We -- we
11 fully expect -- whatever comes in early June, we don't
12 think we're going to have one clear winner that's
13 ready to sign in two days. So we do think there will
14 be, sort of, a mini -- there will be something that
15 probably takes weeks, not days, to get to something
16 final.

17 That's why, when you really stack it
18 up, the July 15th date is in jeopardy. It probably
19 gets pushed out, but we don't want to -- we don't want
20 to suggest that now in -- in that we may lose
21 momentum. And just think about it from a buyer's
22 perspective.

23 This is -- this is a hybrid process.
24 It's kind of like a private M&A process; it's kind of
25 like a bankruptcy process. But it's somewhere in

1 between, and everyone's asking, "Well, it's subject to
2 what? And what is the time?" So we're trying to be
3 clear with flexibility around that to keep the buyer
4 interest high.

5 THE COURT: And then, of course,
6 everyone who is doing their diligence must understand
7 there's still the OFAC issue, and there's the court of
8 appeals, et cetera; right? I mean --

9 MR. PINCUS: And that's just -- yeah.
10 That's just like getting other -- you know, you get a
11 Hart-Scott [ph] approval after you sign the agreement.
12 It would be subject to closing. You know, subject --
13 closing would be subject to receiving those approvals,
14 so whatever else can be the OFAC, et cetera.

15 THE COURT: Okay. And then to the
16 extent there is something -- and it sounds like there
17 hopefully will be -- akin to a private auction, you
18 know, sort of, back and forth that you all are
19 running, I would anticipate that that will be
20 communicated one way or another in the special
21 master's recommendation as just further indication of
22 why you believe this is the best offer if in fact you
23 do and how we've, you know, done our best to get the
24 best offer possible.

25 MR. PINCUS: Absolutely.

1 MR. STRONG: Correct.

2 MR. BENTLEY: Yes, Your Honor. When we
3 propose for approval the successful bid and the
4 related purchase agreement, we'll have a full motion
5 accompanying that, going through the process and the
6 applicable law.

7 THE COURT: All right. I'll just throw
8 out a few more questions that may or may not be
9 directly related to -- well, that probably aren't --
10 to what we're looking at. I've seen some press
11 reports -- and I think the last time Venezuela was in
12 court, they said it as well -- indicating some level
13 of disappointment with the numbers that the process
14 looks like it's likely to yield.

15 You all don't have to say if you're
16 disappointed or not, but should I reasonably expect
17 we're going to end up at best in the range that I'm
18 looking at? Or is there -- you know, does it ever
19 happen that suddenly we end up at 2X because of, you
20 know, your process or someone else emerges?

21 MR. STRONG: Two parts on that. One, I
22 don't expect bids to come up from where they are.
23 However, CITGO is generating cash right now at a
24 pretty good clip, so that cash generation should be
25 helpful eventually in finding its way to the

1 claimants.

2 THE COURT: Okay. Thank you.

3 MR. BENTLEY: And -- and Ray -- Ray --

4 MR. PINCUS: And I would -- I would
5 suggest they will -- CITGO's not going to like the
6 price no matter what it is.

7 MR. STRONG: Correct.

8 THE COURT: Right.

9 MR. PINCUS: So, you know, we'll deal
10 with it. You'll have -- you know, later.

11 THE COURT: Okay. All right. Well,
12 that was my 270 questions for now.

13 MR. BENTLEY: Okay. We can move onto
14 the next subject. I think Ray already covered this
15 slide, so we can continue to move on. So our next
16 subject is the PDVSA 2020 bond holders and the related
17 litigation. I know that I talked with Li, and Your
18 Honor wanted to include this on the agenda today, in
19 part to discuss the court of appeals opinion and also
20 our path forward and any implications that the court
21 of appeals opinion might have on our process.

22 Before I turn it over to my colleague,
23 Sarah Sternlieb, who will walk through the status of
24 the bond holders litigation and the court of appeals
25 opinion, first give a quick update on our engagement

1 with the 2020s. Counsel for the 2020s reached out to
2 us recently after their discussions with PDVSA on a
3 settlement of the litigation fell apart. We similarly
4 heard from PDVSA the same message.

5 We're now negotiating an NDA with the
6 2020s' counsel and are actively engaged in settlement
7 discussions. Our goal is -- which is shared by the
8 counsel for the 2020s -- is to come to an agreement on
9 a solution that can be applied to any bidder in the
10 Crystallex sale process. We have a meeting scheduled
11 next week among advisors to discuss the outlines of --
12 of how we're going to approach settlement.

13 And we think that it will progress
14 quickly given the point that we're in with the sale
15 process. So we'll continue to keep the Court apprised
16 on our progress as we discussed with the 2020s.
17 Unless Your Honor has any questions about our
18 settlement discussions, I'll turn it over to Sarah.

19 THE COURT: That's fine. Thank you.

20 MS. STERNLIEB: Good morning, Your
21 Honor. Sarah Sternlieb of Weil Gotshal.

22 THE COURT: Good morning.

23 MS. STERNLIEB: So as you know, the New
24 York Court of Appeals issued its decision last month
25 on the 2020 bond holders issue relating to the bond

1 swap, that it exchanged unsecured notes for secured
2 notes.

3 Just as a quick recap and reminder, the
4 Venezuelan parties have been arguing that the
5 transaction was invalid based on a 2016 National
6 Assembly resolution, as well as the National
7 Assembly's failure to ratify the transaction.

8 The New York Court of Appeals reversed
9 and held that Venezuelan law governs the validity of
10 the 2020 notes, but it did uphold the fact that New
11 York law governs enforceability and left open the
12 possibility that U.C.C. 8-202(b) could essentially
13 save the transaction.

14 So on remand, the second circuit
15 requested supplemental briefing and is considering
16 what to do with the case, and it's whether to decide
17 the active state questions that it didn't answer back
18 in 2022 before it certified the case to the New York
19 Court of Appeals, or if there are any other reasons
20 why it shouldn't just be remanded straight back to the
21 district court.

22 So in the meantime, we have been
23 considering whether and how the decision affects our
24 sale process. The long and short of it is that we are
25 very likely to end up embroiled in litigation over

1 this for quite a while. As a result, we're unlikely
2 to have a clear answer before the sale date of where
3 the bond holders sit and whether they have a secured
4 or unsecured claim.

5 As Chase mentioned, we are having
6 discussions about setting up an escrow account to
7 settle with them. That would set aside a recovery and
8 allow us to proceed with distributing the sale
9 proceeds regardless of where ultimately their claims
10 fall. I'm happy to get into some of the specifics of
11 what we think could happen with the decision and how
12 it would affect the sale process if that's helpful to
13 you.

14 THE COURT: No. I mean, I'm glad to
15 know that you all are on it. That's what's important
16 to me, and presumably, anybody doing due diligence is
17 aware of this contingency as well. It doesn't sound
18 as if you need anything from me, because it's just --
19 there's just not any clarity as to what direction that
20 litigation -- the ongoing litigation or any potential
21 litigation is going to go. Is that a fair summary?

22 MS. STERNLIEB: Correct. There is very
23 little clarity, so we are watching things play out and
24 making sure we keep our tabs on it.

25 THE COURT: Okay. Yeah. I mean,

1 obviously, as long as you're doing that. And if the
2 time comes you need something from me, you all will
3 find a way to let me know.

4 But Li, did you have any other
5 questions or thoughts about that?

6 MR. ZHANG: I don't have any questions
7 at this point.

8 THE COURT: Okay. Thank you for that
9 then.

10 MR. BENTLEY: Okay. So next, we'll go
11 onto an update on the priority arrangement procedures.
12 After our service day that we had on Wednesday, the
13 next step is that the special master -- we are
14 preparing a status report with an updated steps chart
15 that will confirm that the additional note from
16 creditors did indeed serve in the applicable order
17 that was set in the priority order.

18 So we'll file that by April 1st,
19 although we're targeting to file it today just to not
20 delay any further. That steps chart and status
21 report, we'll attach to it the proposed final priority
22 order, which has been circulated among the group that
23 Li is copied on in the e-mail chain with the marshal
24 and the clerk's office.

25 So after we file the status report

1 attaching the final priority order, the Court will
2 enter the order. And then after that, we will be
3 clear to set our date where the marshal then serves
4 the writs on the special master in care of counsel.
5 So we don't anticipate any issues with getting that
6 all wrapped up by April 11th, which is our set step
7 stone.

8 THE COURT: Okay. Thank you. It seems
9 like we have progressed exactly as we anticipated that
10 we would on this page.

11 MR. BENTLEY: That's right. Okay. Now
12 moving on. Your Honor, we attached as an annex the
13 materials circulated last night, two articles that
14 were published by Reuters over the last couple weeks.
15 Now while much of the information in the articles is
16 incorrect, there is some accurate information cited in
17 the articles that as only been disclosed by the
18 special master to a small group of individuals at
19 CITGO and their counsel.

20 CITGO's counsel reached out to Weil
21 about the second Reuters article and acknowledged that
22 they may have a leak within their organization. We
23 just wanted to let Your Honor know that we are working
24 on identifying the source of the leak and so is
25 CITGO's counsel.

1 And we're working with them
2 cooperatively in that endeavor. And we'll let Your
3 Honor know if there's anything we need from the Court
4 to help us in our efforts or if we're meeting any road
5 blocks or the like.

6 THE COURT: Yeah. Li had drawn my
7 attention to at least one of those articles that
8 seemed to be leaking some sort of information, and I'm
9 glad that you are on that. And it sounds as if the
10 CITGO side is being cooperative in helping you on
11 that. So again, if there's anything I need to do, I
12 trust you all will let me know.

13 MR. BENTLEY: We will. And on a
14 similar subject, Your Honor, in addition to the
15 Reuters article, CITGO's counsel also reached out to
16 Weil to update us on the [REDACTED]

17 [REDACTED]
18 [REDACTED].

19 They had originally apprised us of this
20 months ago, and they just recently gave us an update.

21 [REDACTED]
22 [REDACTED]
23 [REDACTED]
24 [REDACTED] [REDACTED]
25 [REDACTED].

1 Now based on the limited information we
2 have today, we don't believe that any action needs to
3 be taken with respect to [REDACTED]
4 [REDACTED]. But we're staying in close touch
5 with CITGO on the matter.

6 [REDACTED]
7 [REDACTED]
8 [REDACTED]
9 [REDACTED]
10 [REDACTED]
11 [REDACTED]
12 [REDACTED].

13 But -- and they said as of now, based
14 on the information that we have, we don't think that's
15 necessary. And of course, we'll -- as with everything
16 else, we'll keep the Court apprised of any updates.

17 THE COURT: Okay. Without going into
18 specifics, is this the kind of thing that the deal
19 makers encounter all the time, issues unexpected that
20 pop up?

21 MR. PINCUS: Yes, issues. Not ones
22 like this necessarily.

23 MR. BENTLEY: Maybe in -- yeah. [REDACTED]
24 [REDACTED]
25 [REDACTED] [REDACTED]

1

2

3

THE COURT: Okay. Well, I'm glad
you're on it. Thank you.

4

5

MR. BENTLEY: Okay. So next, we'll
move onto the FOIA request subject. So in short, PDVH
has submitted a FOIA request for communications
between the special master and OFAC. This stemmed out
of the special master's meeting with OFAC and all of
the disqualification motion activities in the
beginning of 2023.

11

12

13

14

15

16

17

We've been discussing the disclosure
with the DOJ team that's in charge of the FOIA
disclosures, and we and the special master and their
buyers -- excuse me -- his advisors don't think that
any of the applicable documents qualify for exemptions
to disclosure.

18

19

20

21

22

23

24

However, we plan to approach PDVH to
discuss confidential disclosure instead of through
FOIA. So with that preview, I'll hit on a few more
specific details about the subject, because I think
the context is helpful. So in February 2023, shortly
after that meeting with OFAC, Venezuela and PDVH
submitted two targeted FOIA requests to treasury.

25

The requests sought all documents and

1 communications between OFAC and the Court in
2 connection with the Crystallex matter and also
3 specific documents relating to the January 12, 2023,
4 meeting between the special master and OFAC. And then
5 later, in May 2023, PDVH brought an action seeking
6 relief under FOIA to compel treasury and OFAC to
7 produce the requested material.

8 Later in 2023, DOJ reached out to Weil
9 to discuss the disclosure of the applicable materials
10 after they had retrieved those materials from the
11 treasury and OFAC teams. And the documents fall into
12 two general categories. First, probably the more
13 simple one, are pleadings filed by Crystallex and
14 Conoco.

15 Those pleadings were filed under seal
16 in connection with the original design of the sale
17 procedures order in 2021. The special master provided
18 those sealed documents to OFAC in 2021, at the time
19 with consent from Crystallex and Conoco. And as is
20 customary for sealed filings, the documents contained
21 a confidential header that indicates they can only be
22 disclosed pursuant to a court order.

23 Those sealed documents, however, were
24 subsequently filed publicly, and Weil did a line by
25 line analysis of the pleadings, both the sealed

1 redacted version and the publicly filed version. And
2 we confirmed that all of the redacted information in
3 the sealed version was ultimately disclosed in the
4 public version. So it's now part of the public
5 domain.

6 We also discussed the FOIA request
7 directly with Crystallex and Conoco, who provided
8 their consent to disclose the same pleadings via FOIA
9 for the same reason, meaning that they were already
10 part of the public domain. And further, the
11 documents, in our view, do not qualify under any FOIA
12 exemptions.

13 So notwithstanding there are multiple
14 reasons why disclosure should be permitted under FOIA,
15 the DOJ is still uncomfortable about the headers
16 themselves. The DOJ asked that we have this
17 discussion with Your Honor to see if Your Honor wanted
18 to provide a Court order permitting disclosure of
19 those sealed documents.

20 We don't think that's necessary, again,
21 because the information is all already public. And
22 then secondarily, we have a -- as I previewed, we have
23 a solution that we hope to pursue regarding
24 confidential disclosure to PDVH.

25 But we're happy to discuss, you know,

1 whether Your Honor thinks that a court order would be
2 necessary given the context. And we don't necessarily
3 need an answer from Your Honor now. I can always
4 coordinate with Li if you want to discuss it
5 separately.

6 THE COURT: Well, let me -- you've
7 suggested there was a harder second issue, so why
8 don't I hear that before I say anything about the
9 easier issue.

10 MR. BENTLEY: Sure. That's fair.

11 THE COURT: Okay.

12 MR. BENTLEY: So the second category of
13 documents is presentations prepared by the special
14 master's advisors in connection with OFAC meetings in
15 2021 and 2023. While the information contained in
16 both sets of those materials for the most part is
17 merely just a summary of the sale procedures order,
18 which, again, is public information, the 2021
19 materials contained Evercore's analysis pertaining to
20 the value of CITGO that would be needed in order to
21 pay in full the Crystallex and Conoco claims.

22 The analysis at the time in 2021 was
23 based on publicly available information. We did not
24 have any confidential information about CITGO at the
25 time. It was based on publicly available information

1 and on CITGO's financial performance at the time in
2 2021. So the valuation analysis at this time is
3 stale, and the slides contain appropriate caveats and
4 disclaimers about it being based on public information
5 and what not.

6 So however, given the heightened
7 sensitivity with the recent Reuters articles, one of
8 which discusses valuation -- and frankly, we're not
9 sure where they got the valuation information from and
10 don't believe that it actually came from the special
11 master's advisors, because their value that they
12 report is simply just that far off from what we had
13 predicted -- we would nevertheless prefer that these
14 materials not be disclosed publicly through FOIA, just
15 because it would presumably result in another Reuters
16 article that doesn't include the caveats that we
17 included in our own materials.

18 So we would also like to note that we
19 conducted a thorough analysis of the FOIA regulations,
20 and similar to the first category of documents, we do
21 not believe that the presentations qualify for any
22 exemption from disclosure. But as previewed in the
23 beginning of this section, instead of consenting to
24 disclosure through FOIA, we propose discussing
25 confidential disclosure directly to PDVH.

1 And we believe that this is in the best
2 interest of the sale process and of PDVH, since
3 disclosure of valuation information, even if stale and
4 caveated, could lead to further speculation and
5 pressure on the sale process. And all indications
6 from PDVH and CITGO as of late is that they believe
7 that the Reuters articles hurt their pecuniary
8 interest as well, because they want the valuation to
9 be as high as possible.

10 THE COURT: So I think the things that
11 you're raising, I appreciate why you would want to
12 raise them with me. I'm not sure that I really can
13 deal with them in this context. If DOJ is asking for
14 my position, I think they probably need to go through
15 a more formal channel to do that. I guess I'm not
16 entirely clear if -- I think you said there are
17 ongoing proceedings. Is there actual litigation over
18 this FOIA request?

19 MR. BENTLEY: Yes. There was a
20 litigation filed by PDVH.

21 THE COURT: In Virginia or D.C.?

22 MR. BENTLEY: I have the cite here. I
23 believe it was in Delaware. We can get back to -- we
24 can send the case cite to Li by e-mail afterwards if
25 that would be helpful.

1 THE COURT: Yes. But, I guess, my
2 initial thought is while, you know, I'll be prepared
3 to deal with it if the issue is presented to me, it
4 probably needs to be presented to me, you know, in my
5 capacity as a judge and not through an ex parte or
6 informal proceeding. That's at least my initial
7 thought just from hearing about it for the first time
8 now.

9 MR. BENTLEY: Yes, of course, Your
10 Honor. DOJ asked that we speak with you about it, and
11 we told them that the ultimate decision may be that
12 they need to file a motion to request disclosure
13 notwithstanding the confidential header. But we did
14 say that we would at least discuss it with you first.

15 THE COURT: And that's on --

16 MR. BENTLEY: I think that we would --

17 THE COURT: Yeah, go ahead. Sorry.

18 MR. BENTLEY: Sorry. No, I'm sorry.
19 Go ahead.

20 THE COURT: I was just going to say,
21 that's on the first of the two issues. On the second
22 of the two, it sounds like there may be more to it
23 than that.

24 MR. BENTLEY: Correct, Your Honor. I
25 think with the second one, the next steps really are

1 our approaching PDVH to discuss a confidential
2 disclosure and avoid the FOIA request entirely. And
3 the presumably, if they get what they want, then we
4 would make it a condition to the disclosure that they
5 dismiss the litigation voluntarily.

6 So if -- just to play it out, if PDVH
7 does not consent to the confidential disclosure, then
8 we would be back in a position where first DOJ would
9 be requesting by motion an order from Your Honor
10 approving disclosure notwithstanding the header for
11 the first category. And for the second category,
12 because we don't think that there is an exemption, we
13 would just consent to the disclosure and deal with any
14 fallout, you know, in another Reuters article.

15 THE COURT: I mean, it seems to me, if
16 I'm following correctly, DOJ knows how to reach me in
17 a formal manner if they need something. I appreciate
18 that they asked you to raise it with me, and you've
19 done what they've asked you. But I think you can
20 report back to them, if they're seeking something from
21 me, I think they need to approach me not in an ex
22 parte manner.

23 And whoever has this litigation in
24 front of them, they can approach that judge as well.
25 You all, to the extent you're being called on, as you

1 are, to deal with these requests and these issues, you
2 have the authority. I think you need to deal with it
3 as best as you can. But I'm not prepared to give you
4 any direct guidance or instruction on that.

5 MR. BENTLEY: Understood, Your Honor.
6 Thank you. Your Honor, the final topic that we have
7 on our agenda for today is engagement of an escrow and
8 disbursement agent. The special master has been in
9 discussions with Stretto, who is a Chapter 11 claims
10 agent, and they do have escrow and disbursement
11 services that they offer on a regular basis.

12 We've been in discussions with them on
13 a potential engagement for a number of tasks related
14 to the Crystallex matter. Our most timely and urgent
15 need is for Stretto's assistance in collecting
16 transaction expense payments from the additional
17 judgment creditors and disbursement of the funds to
18 the special master and his advisors.

19 Up to this point, the special master
20 himself has orchestrated those receipts and payments.
21 But with the expansion of the paying group from just
22 the three sale process parties to over 20 additional
23 judgment creditors starting with our upcoming fee
24 report, the task will be unduly burdensome. And
25 Stretto will be better suited to coordinate that.

1 And then the further off services that
2 we would anticipate Stretto being engaged for are for
3 escrow services to receive and disburse sale
4 transaction proceeds once we close any sale
5 transaction. Like I previewed, that's also within
6 Stretto's expertise.

7 And we believe engaging Stretto now
8 will advance their familiarity with the matter before
9 we get to the end of the process. We don't believe we
10 need anything from the Court on this matter in order
11 to engage Stretto but just wanted to bring it to Your
12 Honor's attention nevertheless since Stretto will be
13 mentioned in our forthcoming fee report.

14 THE COURT: I appreciate you thinking
15 of that and that heads up. That's a detail, I will
16 admit, I had not thought of. But I'm glad to know
17 that there are entities out there that specialize in
18 that.

19 MR. BENTLEY: Thank you. Unless Your
20 Honor has anything else that you'd like to talk about,
21 I think that concludes our proposed agenda.

22 THE COURT: Yeah. I don't think I have
23 anything else.

24 Li, any other issues we wanted to
25 discuss?

1 MR. ZHANG: Nothing from me.

2 THE COURT: Okay. Okay. Well,
3 continued thanks for all that you are doing. Good
4 luck as you move forward, and I'll look forward to the
5 next call in, presumably, approximately a month or so.
6 But if you need me sooner, you'll let me know.

7 MR. PINCUS: Thank you.

8 MR. BENTLEY: We'll be sure to
9 coordinate with Li.

10 THE COURT: Okay. Take care. Have a
11 great weekend. Buh-bye.

12 MR. PINCUS: You too.

13 MR. BENTLEY: Thank you, Your Honor.

14 MR. PINCUS: Thank you.

15 (Whereupon, at 10:39 a.m., the
16 proceeding was concluded.)
17
18
19
20
21
22
23
24
25

CERTIFICATE

I, LINDSEY DIEGO, the officer before whom the foregoing proceedings were taken, do hereby certify that any witness(es) in the foregoing proceedings, prior to testifying, were duly sworn; that the proceedings were recorded by me and thereafter reduced to typewriting by a qualified transcriptionist; that said digital audio recording of said proceedings are a true and accurate record to the best of my knowledge, skills, and ability; that I am neither counsel for, related to, nor employed by any of the parties to the action in which this was taken; and, further, that I am not a relative or employee of any counsel or attorney employed by the parties hereto, nor financially or otherwise interested in the outcome of this action.



LINDSEY DIEGO

Notary Public in and for the
State of New York

CERTIFICATE OF TRANSCRIBER

I, RACHEL ROBERTS, do hereby certify that this transcript was prepared from the digital audio recording of the foregoing proceeding, that said transcript is a true and accurate record of the proceedings to the best of my knowledge, skills, and ability; that I am neither counsel for, related to, nor employed by any of the parties to the action in which this was taken; and, further, that I am not a relative or employee of any counsel or attorney employed by the parties hereto, nor financially or otherwise interested in the outcome of this action.

A handwritten signature in black ink that reads "J. Rachel Roberts". The signature is written in a cursive, flowing style.

RACHEL ROBERTS

Crystallex v. Bolivarian Republic of Venezuela Special Master *Ex Parte* Meeting Discussion Materials

March 29, 2024

Discussion Materials

Agenda

- 1 Sale Process Update
- 2 PDVSA 2020 Bondholders
- 3 Update on Priority Arrangement Procedures
- 4 Miscellaneous Items

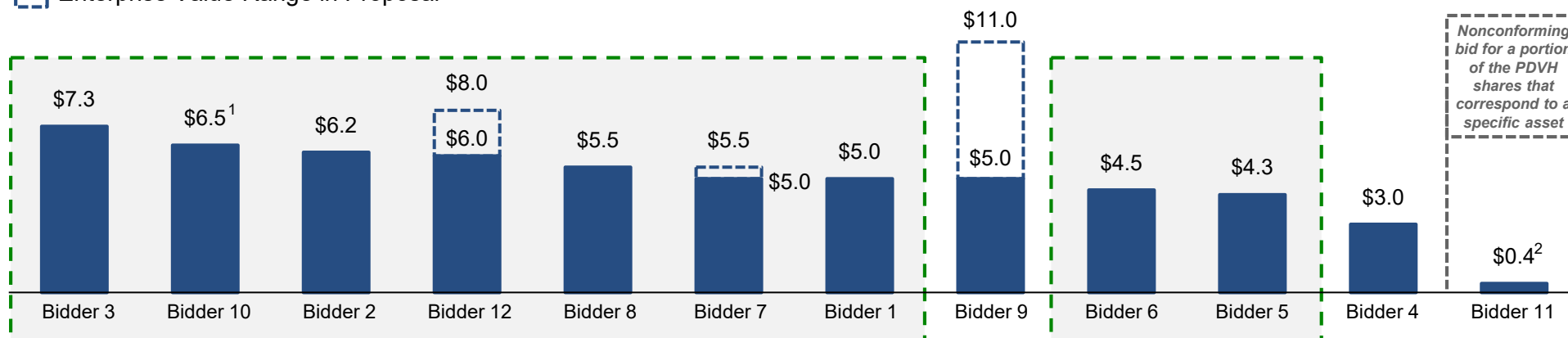
Bid Summary

Summary of Bids Received

(\$ in billions)

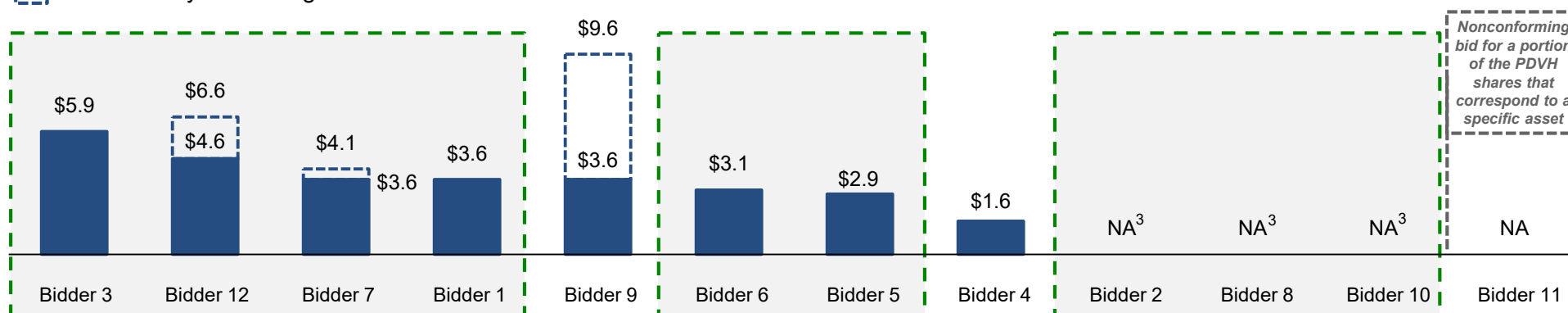
Proposals Sorted by Enterprise Value

 Enterprise Value Range in Proposal



Proposals Sorted by Payment to Claimants (Inclusive of Bidder Claims)

 Claimant Payment Range



 Parties Proceeding to Next Round

Note: To compare bids accordingly, Evercore assumed a debt balance of \$2,980mm and cash balance of \$3,499mm for a net debt position of (\$519mm) for all parties

1. Assumes Bidder 10 raises capital to fund senior claimants
2. Nonconforming bid for a portion of the PDVH shares equivalent to Bidder 11's valuation of the Corpus Christi refinery
3. Credit bid payments to claimants are excluded from sorting to preserve anonymity

Sale Process Update

Bidder Outreach	■ First Round non-binding bids were due on January 22, 2024. 12 bidders submitted proposals, and 9 moved to the Second Round ■ As of Thursday, March 28, 2024: ■ All 9 second-round bidders had executed NDAs with the Special Master ■ 7 of 9 second-round bidders had executed Clean Team Addendums with the Special Master ■ 1 bidder was still in the process of negotiating a CTA ■ Evercore continues to respond to questions from bidders with respect to the sale process
Due Diligence	■ On February 12, 2024, Evercore opened the General VDR to bidders ■ On February 29, 2024, Evercore opened the Clean Room VDR to bidders ■ As of Thursday, March 28, 2024: ■ All 9 second-round bidders had access to the General VDR ■ 7 of 9 bidders had access to the Clean Room VDR ■ Evercore continues to respond to questions from bidders with respect to their diligence process
Management Presentation and Site Visits	■ On March 25, 2024, CITGO held its first Management Presentation ■ As of Thursday, March 28, 2024: ■ 3 management presentations have taken place and 4 are scheduled to take place from April 3rd to April 16th ■ Evercore has coordinated with CITGO on site visit dates and has begun reaching out to bidders to schedule site visits

PDVSA 2020 Bondholders

- On October 27, 2016, Petróleos de Venezuela, S.A. (“PDVSA”) issued the 8.50% Senior Secured Notes due 2020 (the “2020 Notes”) in an exchange transaction to refinance outstanding notes due in 2016.
- On October 16, 2020, the United States District Court for the Southern District of New York granted summary judgment to the Trustee and Collateral Agent for the holders of the 2020 Notes, declaring the 2020 Notes and the governing documents valid and enforceable under New York law, and entered a money judgment against PDVSA for \$1.9 billion. PDVSA and PDVH appealed in the United States Court of Appeals for the Second Circuit in the cases of *Petróleos de Venezuela, S.A.*, *PDVSA Petróleo, S.A.*, and *PDV Holding, Inc.*, v. *MUFG Union Bank, N.A. and GLAS Americas LLC*, Civ. Nos. 20-3858, 20-4127.
- On October 13, 2022, the Second Circuit certified three questions to the New York State Court of Appeals. Briefing to the New York State Court of Appeals was completed on July 25, 2023, and on January 10, 2024, the New York State Court of Appeals heard oral argument on the choice-of-law questions. On February 20, 2024, the New York State Court of Appeals issued an opinion, holding that Venezuela law governs the validity of the 2020 Notes under UCC 8-110(a)(1).
- Following the New York State Court of Appeals’ opinion, the Second Circuit invited parties to file supplemental briefs, and on March 19, 2024, Appellants PDVSA and PDVH and Appellees Trustee and Collateral Agent filed supplemental briefs.

Update on Priority Arrangement Procedures

Action	Status
Step 5 (Writ) Deadline	January 12, 2024
Entry of Procedural Order on Special Master's Motion Requesting Amendment of Certain Priority Arrangement Procedures	Completed on February 27, 2024 [D.I. 990]
Special Master Submits Steps Chart and Proposed Orders for the Priority Order and for the Writ Order	Completed on February 29, 2024 [D.I. 994]
Entry of Priority Order	Completed on March 1, 2024 [D.I. 996]
Crystallex and Additional Submits Writ Package and Affidavit Attesting the Delivery	Completed on March 4-5, 2024
Entry of Writ Order	Completed on March 7, 2024 [D.I. 1036]
Step 6 Deadline - Clerk Issues Marshals Writ of Attachment for Each Additional Judgment Creditor on the new PDVH Share Certificate	Completed on March 8, 2024
Additional Judgment Creditors and Crystallex deliver Writ Material to Marshals	Completed on March 27, 2024
Additional Judgment Creditors and Crystallex file affidavit from the person who made delivery of the documents to Marshals	Completed on March 28, 2024
Special Master files an updated Steps Chart and a proposed Order Confirming Final Priority	To be filed by April 1, 2024
Entry of Order Confirming Final Priority	To be completed following Special Master's Steps Chart
Marshals serves writs on the Special Master and PDVH in the order set by the Final Priority Order	To be completed following entry of Final Priority Order
Step 7 (Perfected Writ) Deadline	April 11, 2024

Miscellaneous Items

1 Reuters Articles Regarding Sale Process. See Annex A.

2 FOIA Request

3 Engagement of Escrow and Disbursement Agent

Annex A: Reuters Articles

NewsRoom

3/14/24 Reuters News 14:16:22

Reuters News
Copyright (c) 2024 Thomson Reuters

March 14, 2024

EXCLUSIVE-Weak bids in Citgo auction spurs Venezuela to pitch alternative pay plan

Marianna Parraga

HOUSTON/MIAMI, March 14 (Reuters)

(Adds Machado's comment in paragraph 22)

By Marianna Parraga

HOUSTON/MIAMI, March 14 (Reuters) - The highest bid received in a U.S. auction of shares that will decide the fate of Venezuela-owned oil refiner Citgo Petroleum was \$7.3 billion, enough to cover only a third of court-approved claims, two people familiar with the matter said.

A federal court in Delaware is auctioning the shares of a parent of Venezuela's foreign crown jewel, Houston-based Citgo, that it found liable for the South American country's debt defaults and expropriations. Creditors have flocked to Delaware to press claims totaling \$21.3 billion in a case first brought nearly seven years ago by miner Crystallex.

Results from the first bidding round in January, however, show a sales process that is unlikely to provide a satisfactory outcome for creditors or Citgo's current owners. Offers received thus far in a case that broke new legal ground in sovereign immunity would leave many claims unpaid, analysts and sources warned.

The court may have to revamp the sales process, or consider an alternative being drafted by Venezuela, which would offer creditors a larger payout with proceeds spread over several years, while retaining some of Venezuela's stake in the company, the people said.

Judge Leonard Stark, who is overseeing the case, has declined to consider Venezuela's payment proposals, the people said. It is unclear if he would reconsider with the highest offer in the initial bidding round covering only 14 of the 26 claims that he has accepted from 18 creditors.

The weak initial bids were below the \$13 billion to \$14 billion value specialists appointed by the court had estimated for the shares. That shortfall is prompting Citgo's parent companies and boards to reprise an offer presented earlier this year: a \$10 billion payment funded over time from Citgo profits, equity and borrowings.

EXTRA INNINGS

The auction has drawn interest from oil giant ConocoPhillips and units of conglomerate Koch Industries, both putting their claims against Venezuela via credit bids for the assets.

Other offers came from energy companies and private investors wanting to acquire the PDV Holding shares to gain control of the seventh-largest U.S. oil refiner by volume, the people said.

Spokespeople for Conoco, Citgo and boards supervising the refiner declined to comment. Koch Industries and attorneys for the court official overseeing the auction did not reply to requests for comment.

PDV Holding's only asset is Citgo, which owns three U.S. refineries, oil storage terminals and pipelines, and controls a retail distribution network.

Citgo has been highly profitable, earning \$4.8 billion in profits in the last two years.

The 12 non-binding offers received in January, however, reflect concerns over the future value of refiners with intense carbon footprints and Citgo's troubled ties with Venezuela's state oil firm PDVSA, which remains under socialist President Nicolas Maduro's grip, the people said.

A lawyer representing Citgo had called the first bidding round "disappointing."

The court is expected soon to set a second, binding round, but prospects of an offer higher than the non-binding \$7.3 billion are slim, the people added.

Court officials involved in the case "will need to sit down with Venezuela and get together something that will make sense," said a person close to the auction process.

Venezuela's \$10 billion proposal would provide creditors with a combination of cash, securities and shares in Citgo over a three-year period. It would ultimately allow Venezuela to retain about half ownership.

"We have only been doing damage control so far. We want to move the ball forward, the game has not finished," one of the people familiar with Venezuela's proposal said.

POLITICAL MISSILES

Venezuelan entities overseeing Citgo want to tie the payment plan to stronger U.S. protection for the refiner from creditors as Maduro's government refuses to reverse a ban on opposition candidate Maria Corina Machado from running for president, closing what Western countries saw as a path towards democracy in Venezuela.

The idea includes pulling the Venezuela-related claims out of the court case and into the U.S. Foreign Claims Settlement Commission (FCSC), a quasi-judicial independent agency within the Justice Department, for better addressing all of Venezuela's creditors.

Plan advocates are expected to discuss the proposal with U.S. officials, possibly including Secretary of State Antony Blinken ahead of the April 18 expiry of a U.S. license that relaxed sanctions on Venezuela's energy sector.

Unifying Venezuela's fractious opposition around a proposal, however, has been cumbersome and convincing Washington could be even more challenging, the sources acknowledged. Some politicians and members of Citgo's supervising boards believe that having Machado in agreement would give the company a better chance of winning U.S. support.

"Citgo will be even more valuable in the future," Machado told reporters late Wednesday after a rally in central Carabobo state.

"Hence, an organized restructuring process of all debts and accounts will benefit creditors more than the current auction."

The plan also would require the U.S. Treasury Department, which last year green-lit the auction, to agree to the offer, and the Delaware court could be forced to halt or freeze a sales process it fought hard to advance.

Spokespeople for Gerardo Blyde, who represents opposition parties negotiating with the Maduro administration, did not provide comment. The U.S. State and Treasury departments did not immediately provide comment.

"We need a bullet-proof effort this time," one of the people behind the ideas said referring to getting top opposition politicians well connected to Washington to lead the initiative.

~~~~~ A tale of setbacks as Venezuela's Citgo heads to US auction <https://www.reuters.com/business/energy/tale-setbacks-venezuelas-citgo-heads-us-auction-2023-10-22/> US judge clears way for more Venezuela creditors to join Citgo auction <https://www.reuters.com/business/energy/us-judge-clears-way-more-venezuela-creditors-join-citgo-auction-2024-01-08/> Venezuela rejects auction process that could lead to Citgo breakup <https://www.reuters.com/legal/venezuela-rejects-auction-process-that-could-lead-citgo-breakup-2023-08-15/> GRAPHIC on creditors cleared by the court <https://www.reuters.com/graphics/CITGO-AUCTION/CREDITORS/myvmknxyavr/> Creditors cleared to take part in Citgo parent's share auction <https://tmsnrt.rs/3vKQgIY>

~~~~~> (Reporting by Marianna Parraga, additional reporting  
by Vivian Sequera; editing by Gary McWilliams and Marguerita Choy) ((marianna.parraga@thomsonreuters.com; +1 713 371
7559; Reuters Messaging: @mariannaparraga))

---- Index References ----

Company: CITGO PETROLEUM CORPORATION

News Subject: (Bankruptcies (1BA08); Business Management (1BU42); Corporate Events (1CR05); Judicial Cases & Rulings (1JU36); Debt Restructuring (1RE45); World Elections (1WO93); Corporate Events (1CR05); Economic & Trade Sanctions (1EC72); Government (1GO80); Emerging Market Countries (1EM65); World Conflicts (1WO07); Commodities (1CO82); World Trade (1WO85); Corporate Bonds (1XO30); Top World News (1WO62); National Government Debt (1NA73); Legal (1LE33); U.S. Legislation (1US12))

Industry: (Americas Crude Oil (1AM35); Crude Oil (1CR88); Downstream Oil (1DO72); Energy & Fuel (1EN13); Latin America Crude Oil (1LA70); Oil & Gas (1OI76); Oil Refining (1OI93); Refined Oil Products (1RE10); Refineries (1RE12); U.S. Crude Oil (1US90); Bonds (1BO97); Electric Utilities Commodity Trading (1EL04); Gold & Precious Metals (1GO02); Natural Resources (1NA60); Crude Oil (1CR88); Oil & Gas (1OI76); Metals & Mining (1ME07); Mining (1MI65); Fixed Income Investments (1FI12); Downstream Gas (1DO31); Downstream Oil (1DO72); Refined Oil Products (1RE10); Refineries (1RE12); Energy & Fuel (1EN13); Oil & Gas Exploration (1OI11))

Region: (Americas (1AM92); Delaware (1DE13); Florida (1FL79); Latin America (1LA15); North America (1NO39); South America (1SO03); Texas (1TE14); U.S. Mid-Atlantic Region (1MI18); U.S. Southeast Region (1SO88); U.S. Southwest Region (1SO89); USA (1US73); Venezuela (1VE06); Venezuela (1VE06); Latin America (1LA15); Canada (1CA33); USA (1US73); Americas (1AM92))

Language: EN

Other Indexing: (Venezuela; Citgo Petroleum)

NewsRoom

3/27/24 Reuters News 20:07:33

Reuters News
Copyright (c) 2024 Thomson Reuters

March 27, 2024

UPDATE 1-Refiner Citgo set to open data room for bidders tied to court auction

Gary McWilliams

Marianna Parraga

HOUSTON, March 27 (Reuters)

(Adds info on writs of attachment accepted in paragraph 6)

By Gary McWilliams and Marianna Parraga

HOUSTON, March 27 (Reuters) - Citgo Petroleum [PDVSAC.UL], the Venezuela-owned oil refiner, is set to open a data room in coming days to provide operational and financial information to bidders under a court-ordered auction that could lead to new ownership, people familiar with the matter said on Wednesday.

A U.S. federal court last year launched an auction of shares in a parent of the Houston-based refiner to satisfy \$21.3 billion in judgments for Venezuela's past expropriations and debt defaults. The auction is due to wrap up this year and could put the seventh-largest U.S. refiner by processing volume in the hands of rivals or investors.

Management presentations began this week and the formal data room will open at Citgo's headquarters, the people said. The meetings kicked off a 45-day second bidding round that will consider only binding offers.

Citgo wants to restrict data room access to serious bidders and plans to press the issue this week with the court official organizing the auction, one of the people said.

A Citgo spokesperson and a representative for the court official declined to comment. Investment bank Evercore Group, which is overseeing the auction's marketing, did not respond to requests for comment.

The U.S. Marshals Service on Wednesday notified the court it had received creditors' writs of attachments, which would allow the court to establish a final list of those who can cash proceeds from the auction. The judge set a March 28 deadline for any objections to the writs.

Citgo is Venezuela's foreign crown jewel with three U.S. refineries, pipelines, oil storage terminals and a retail distribution network that spans nearly half of the United States. It earned \$2 billion last year.

About 30 parties signed confidentiality agreements and received preliminary marketing information and a Citgo financial model as part of the first bidding round, and 12 submitted indications of interest in January, the court official leading the process, Robert Pincus, has said.

That first round drew some creditors in the Delaware court case who wanted to place credit bids, using the value of their claims against Venezuela as part of their offer for the shares.

<~~~~~ Creditors cleared to take part in Citgo parent's share auction <https://tmsnrt.rs/3vKQgLY>

~~~~~> (Reporting by Gary McWilliams and Marianna Parraga; Editing by Richard Chang and Daniel Wallis) ((Gary.McWilliams@thomsonreuters.com; +1 469-691-7668;))

#### ---- Index References ----

Company: CITGO PETROLEUM CORPORATION

News Subject: (Bankruptcies (1BA08); Business Management (1BU42); Corporate Events (1CR05); Judicial Cases & Rulings (1JU36); Legal (1LE33); Judicial Cases & Rulings (1JU36); Top World News (1WO62); National Government Debt (1NA73); Corporate Events (1CR05); Legal (1LE33); Emerging Market Countries (1EM65); Commodities (1CO82))

Industry: (Americas Crude Oil (1AM35); Crude Oil (1CR88); Downstream Oil (1DO72); Energy & Fuel (1EN13); Latin America Crude Oil (1LA70); Oil & Gas (1OI76); Oil Refining (1OI93); Refined Oil Products (1RE10); Refineries (1RE12); U.S. Crude Oil (1US90); Refined Oil Products (1RE10); Refineries (1RE12); Electric Utilities Commodity Trading (1EL04); Energy & Fuel (1EN13); Oil & Gas (1OI76); Banking (1BA20); Oil & Gas Exploration (1OI11); Investment Management (1IN34); Fixed Income Investments (1FI12); Downstream Gas (1DO31); Downstream Oil (1DO72); Financial Services (1FI37))

Region: (Americas (1AM92); Latin America (1LA15); North America (1NO39); South America (1SO03); Texas (1TE14); U.S. Southwest Region (1SO89); USA (1US73); Venezuela (1VE06); Venezuela (1VE06); Latin America (1LA15); USA (1US73); Americas (1AM92))

Language: EN

Other Indexing: (Citgo Petroleum)

Keywords: CITGO; AUCTION; DATAROOM; 1,; PIX,; GRAPHIC; Citgo; Auction; Bidding; PDVSA

Word Count: 410

End of Document

© 2024 Thomson Reuters. No claim to original U.S. Government Works.

**NewsRoom**

**Exhibit I**

**Transcript of June 18, 2024 *Ex Parte* Meeting of the Court and the Special Master**



HIGHLY CONFIDENTIAL

Page 1

H I G H L Y C O N F I D E N T I A L  
IN THE UNITED STATES DISTRICT COURT  
FOR THE DISTRICT OF DELAWARE

-----X  
CRYSTALLEX INTERNATIONAL CORPORATION,

Plaintiff, Misc. No.  
17-151-LPS

- against -

BOLIVARIAN REPUBLIC OF VENEZUELA,

Defendant.

-----X

HIGHLY CONFIDENTIAL  
REMOTE/ORAL/WEB VIDEOCONFERENCE  
EX PARTE MEETING

Tuesday, June 18, 2024

9:31 a.m. EDT

B E F O R E:

HONORABLE LEONARD P. STARK

Reported by:

Jennifer Ocampo-Guzman, CRR, CLR

HIGHLY CONFIDENTIAL

Page 2

A P P E A R A N C E S:

ROBERT B. PINCUS, Special Master

WEIL GOTSHAL & MANGES, LLP

767 Fifth Avenue

New York, New York 10153

BY: RAY SCHROCK, ESQ.

ALEXANDER WELCH, ESQ.

EOGHAN KEENAN, ESQ.

LUNA BARRINGTON, ESQ.

CHASE BENTLEY, ESQ.

MAGGIE BURRUS, ESQ.

EVERCORE

2 Houston Center

909 Fannin Street

Houston, Texas 77010

BY: RAY STRONG, Senior Managing Director

David Ying (Evercore)

Michael Winterholler (Evercore)

Daniel Lakhtdir (Evercore)

ALSO PRESENT:

LI ZHANG (Law Clerk)

QUINN WALKER (Law Clerk)

HIGHLY CONFIDENTIAL

Page 3

1           SPECIAL MASTER PINCUS: Thank you  
2           for making the time today. We have some  
3           updates on the sale process, and some  
4           other matters that we'd like to discuss,  
5           and if it's okay with you, I will turn  
6           it over to Ray Schrock, and we will use  
7           the agenda we sent, but if you want to  
8           talk about anything else...

9           THE COURT: Sure, yes. First, good  
10          morning to everyone. Also, I wanted to  
11          introduce you to my newest law clerk to  
12          join this case, that's Quinn Walker.  
13          You may have seen her in the courtroom  
14          in the last several hearings. You may  
15          see her hopefully on your screen, but Li  
16          is nearly done with his second round of  
17          clerking for me, that's how long this  
18          litigation has gone on and so we're  
19          slowly transitioning things from Li to  
20          Quinn. So I wanted to introduce her.

21          SPECIAL MASTER PINCUS: Thank you.  
22          Welcome, Quinn. And we told Li couldn't  
23          leave so he's going to stay another year  
24          now he likes it so much. So he will be  
25          back again.

HIGHLY CONFIDENTIAL

Page 4

1 THE COURT: Maybe he will be back  
2 for a third clerkship. That was all I  
3 had on my end at this point. So I'm  
4 happy to turn it over to Mr. Schrock.

5 MR. SCHROCK: Good morning, Your  
6 Honor. Can you hear me okay?

7 THE COURT: I can, yes, thank you.

8 MR. SCHROCK: Ray Schrock, Weil  
9 Gotshal on behalf of the special master.  
10 Also with me is Alex Welch, my partner;  
11 Chase Bentley, counsel at the firm, who  
12 I know you know, and Eoghan Keenan, also  
13 is my M&A partner, also on the line with  
14 us.

15 THE COURT: Welcome to everyone.

16 MR. SCHROCK: So, Your Honor, we  
17 are pleased to lead off this ex parte  
18 meeting with the news that we had a  
19 successful round two bid process. We  
20 received six competitive bids on the  
21 June 11, 2024 deadline, as well as news  
22 that we may have at least one additional  
23 bidder in the process.

24 I'm going to give a few  
25 introductory remarks and then I will

HIGHLY CONFIDENTIAL

Page 5

1 turn it over to the Evercore team  
2 that'll lead on providing a summary of  
3 the bids. And then I would like to talk  
4 with you on our recommendations for next  
5 steps in the sale process in light of,  
6 you know, the many competitive bids that  
7 we have received.

8 And so while we view the bidding  
9 process as the major topic of  
10 discussion, we'd also like to take some  
11 time to give Your Honor a status update  
12 on the 2020 bondholder case, as well as  
13 cover a few miscellaneous topics on the  
14 marketing process.

15 So with that, Your Honor, I'll just  
16 jump right into the marketing process,  
17 and the round two bids, and a brief  
18 introduction before turning it over to  
19 the Evercore team I think who Mr.  
20 Strong, Ray Strong is on the line, he is  
21 going to take it right after me.

22 So as with the round one  
23 indications of interest, the discussion  
24 materials circulated yesterday, and our  
25 conversation today we'll keep the bidder

HIGHLY CONFIDENTIAL

Page 6

1 names anonymous. We will continue to  
2 operate in that manner until Your Honor  
3 indicates a preference otherwise, but we  
4 have also maintained bidder anonymity  
5 with all of the sale process parties  
6 other than Citgo, since the Citgo  
7 management team has been engaging  
8 directly with the bidders as part of  
9 that process. I would say prior to, you  
10 know, this time, the bidder names are  
11 still anonymous with regard to even  
12 Citgo at this early stage for round two.

13 But at some point before the  
14 selection of the a successful bidder, we  
15 have to decide and we'd like -- will  
16 decide to share details about bidder  
17 identities with the other sale process  
18 parties now that we have binding, you  
19 know, bids that have been received, but  
20 the Special Master does not believe this  
21 is necessary just yet.

22 Next, I want to underscore how  
23 pleased we are with the results of this  
24 round two. We received 12 indications  
25 of interest in round one as you may

HIGHLY CONFIDENTIAL

Page 7

1 recall. Nine of which were permitted to  
2 participate in the diligence process of  
3 round two. Nearly all of those parties  
4 entered a round two binding bid, either  
5 themselves or by teaming up with another  
6 bidding as permitted by the special  
7 master so that we were maintaining  
8 competitive tension.

9 We believe that the rate of bid  
10 retention demonstrates extensive efforts  
11 of the Special Master and the court, and  
12 the cooperation of Citgo's management  
13 team in engaging with bidders and  
14 facilitating diligence efforts.

15 And as Evercore will explain all  
16 six of the bids in our view are real;  
17 they're competitive bids, multiple bids  
18 may be actionable. There is some  
19 separation of the value submitted by the  
20 bidders, and we believe the bidders have  
21 room to move, and we're currently in the  
22 process of engaging with the bidders to  
23 do just that.

24 I will revisit this, and other  
25 proposed action steps after Evercore

HIGHLY CONFIDENTIAL

Page 8

1 walks you through the bids. So without  
2 varying the lead too much, Ray, I will  
3 turn it over to you.

4 MR. STRONG: Great. Hello, Your  
5 Honor, Ray Strong from Evercore. And as  
6 we can see on the screen, and I will try  
7 not to be competitive (sic), but as Ray  
8 Schrock mentioned, original 12 bids,  
9 nine were advanced through that process,  
10 and this has been a long process, we've  
11 been pretty, very pleased with the Citgo  
12 management. We fielded 52 specific  
13 subject matter diligence calls, 42  
14 physical site visits, eight management  
15 presentations that often lasted greater  
16 than six hours, and addressed more than  
17 2,000 questions where we're almost  
18 complete with those with respect to  
19 diligence.

20 For the bids that came in on  
21 June 11th, as Ray Schrock mentioned six  
22 bids, of those two were credit bids and  
23 the others were broadly defined  
24 "strategic." They range in values from  
25 6.3 billion to \$8.8 billion, but



HIGHLY CONFIDENTIAL

Page 9

1 remember, that is enterprise value.  
2 That is before any adjustments for the  
3 2020 bondholders, pro forma debt, there  
4 is some different definitions in debt,  
5 different definitions in working capital  
6 and treatment of expenses. So all of  
7 those would have varying adjustments for  
8 each of the bidders to get to what  
9 actually goes to the claimants.

10 We are working through that though.  
11 So there is a significant amount of  
12 clarification that we need to do with  
13 these parties and all have submitted a  
14 stock purchase agreement, there are  
15 clarification and value points in that  
16 document as well, and so we are working  
17 with the bidders now to clarify those  
18 things.

19 With that, Ray Schrock, maybe I  
20 will turn it over to you back to discuss  
21 next steps.

22 MR. SCHROCK: Sure. So as Evercore  
23 indicated, we're currently engaging with  
24 the bidders to better understand the  
25 assumptions underlying their bids, with

HIGHLY CONFIDENTIAL

Page 10

1 the purpose being able to compare bids  
2 to one another according to the amount  
3 of proceeds available for distribution  
4 to the holders of attached judgments.

5 This marketing process is  
6 complicated in and of itself, and on top  
7 of that, Citgo's refinery business and  
8 other factors, such as the 2020  
9 bondholders and related litigation have  
10 all added further layers of complexity  
11 that unsurprisingly have resulted in  
12 complex bids with myriad assumptions.  
13 The Special Master and his advisors are  
14 already working to evaluate the  
15 submitted bids, bid letters and  
16 accompanying markups of the form  
17 purchase agreement, but it's clear our  
18 work will require extensive engagement  
19 with the bidders, as well as  
20 consultation with the sale process  
21 parties.

22 I do think it's worth mentioning,  
23 Your Honor, that, you know, although  
24 this isn't official yet, but at these  
25 levels, we would expect that

HIGHLY CONFIDENTIAL

Page 11

1 ConocoPhillips and Crystallex will  
2 declare that they are not going to be  
3 formal bidders in the process at this  
4 time, and you know, will be  
5 participating, given that there is  
6 sufficient value on the table to at  
7 least cover Conoco's first top level  
8 judgment, and you know, Crystallex'  
9 judgment and so -- which makes  
10 communicating with them about the bid  
11 process, about moving the process  
12 forward much easier once they declare  
13 they're not interested, and then we  
14 frankly we can bring them under the tent  
15 without, you know, having any sort of  
16 anticompetitive concerns associated with  
17 doing so. But we're still working  
18 through that with them, but that's our  
19 expectation is that that is going to be  
20 their -- their wish.

21 And that reconciliation process  
22 with all bidders is going to take time  
23 as we attempt to compare the bids in a  
24 manner that seeks to maximize the  
25 distribution, and as we learn more about

HIGHLY CONFIDENTIAL

Page 12

1 the bids, we are going to work on  
2 either, formal or informally, we are  
3 going to, you know, try our best to work  
4 them up and increase the amounts that  
5 are on the table.

6 Now that's all subject to, of  
7 course, Citgo's business and how it  
8 performs, which, you know -- you know,  
9 there is always -- it's -- given the  
10 nature of the business, there always  
11 could be, you know, softness or, you  
12 know, frankly an increase in business  
13 that would change the values and we're  
14 mindful of the time and trying to,  
15 frankly, wrap this up, but doing so in a  
16 manner that maximizes proceeds available  
17 to attached judgments.

18 So that brings us, Your Honor, to  
19 the tentative sale hearing. You know,  
20 even if these, the current engagement  
21 process with bidders would have result  
22 in a swift decision as to the successful  
23 bidder, we don't believe that the  
24 tentatively scheduled July 15th sale  
25 hearing will be viable. And there is a

HIGHLY CONFIDENTIAL

Page 13

1           few reasons for that.

2                   One, we really would like time to  
3           work up the bids to increase value, and  
4           we think that that's certainly possible,  
5           and that's going to take time. The  
6           complexity of the bids and the  
7           assumptions both around -- you know,  
8           some of the bids are saying that we want  
9           to, we're assuming that the Special  
10          Master will resolve the 2020  
11          bondholders. Others -- actually there  
12          was one bid that actually had a deal,  
13          tentative deal reportedly with the 2020  
14          bondholders, and then yet others said  
15          that they would assume the risk  
16          associated with litigation, and working  
17          through that, so we can compare a -- you  
18          know, get the bids on an  
19          apples-to-apples basis. And then  
20          looking at even the statutory minimum  
21          briefing schedule under the local rules,  
22          our recommendation is that it's in the  
23          best interest of the process and all  
24          parties to delay the sale hearing to a  
25          date later to be determined.

HIGHLY CONFIDENTIAL

Page 14

1 I would also note, Your Honor, that  
2 we did receive on Friday, June 14th, [REDACTED]  
3 [REDACTED] reached out to the Special Master to  
4 [REDACTED] [REDACTED]  
5 [REDACTED]  
6 [REDACTED]  
7 [REDACTED]. We've been working to  
8 schedule a call with [REDACTED] to discuss  
9 the specifics of their ask, but it's our  
10 understanding that their request is to

11 [REDACTED]  
12 [REDACTED]  
13 [REDACTED]

14 We get the sense, this is our  
15 impression, [REDACTED]  
16 [REDACTED]y  
17 [REDACTED]  
18 [REDACTED]  
19 [REDACTED]. But that's also  
20 factoring into our recommendation to  
21 adjourn the sale hearing, it's primarily  
22 driven by value, but obviously we're  
23 mindful of that request as well.

24 We're not aware of anything else  
25 related to [REDACTED] or any kind of change

HIGHLY CONFIDENTIAL

Page 15

1 of [REDACTED] or anything of  
2 that nature, Your Honor, but given that  
3 outreach and that had just occurred, we  
4 wanted to make sure that the court was  
5 aware of it.

6 So maybe I will just pause there  
7 for a moment, Your Honor, just on the  
8 sale hearing and, you know, happy to  
9 talk about that, and you know, of course  
10 anybody from the Special Master team and  
11 the Special Master himself, if he wished  
12 to weigh in on that dialogue.

13 THE COURT: I've got a handful of  
14 questions for you based on all the  
15 information you've all shared with me,  
16 which I very much appreciate.

17 Let me start with some aspects  
18 related to the bids that you've  
19 received. I think I have some  
20 understanding of what you mean by  
21 enterprise value versus the sort of  
22 dollar figure on the bid, but is there  
23 any kind of sort of shorthand arithmetic  
24 that one could have in mind if you were  
25 just trying to, at a high level, have

HIGHLY CONFIDENTIAL

Page 16

1           some sense as to how much money might be  
2           left over for creditors, or is that --  
3           is it too soon to even begin to think  
4           about that?

5                   MR. SCHROCK: Well, it's not too  
6           soon to think about it. "Yes" is the  
7           answer, but there are some pretty much  
8           major assumptions that we are trying to  
9           nail down. You know, one is the value  
10          that you take off the top for the 2020s.  
11          Another is various bidders have tweaked  
12          our assumptions around working capital.  
13          Another is, when is the closing date?  
14          Because there is cash generation of the  
15          business, positive or negative, and when  
16          does that flip to the buyer versus the  
17          seller.

18                   But, to answer your question  
19          directly, when you make some assumptions  
20          around all of those factors, and this,  
21          take this with a grain of salt, this is  
22          rough numbers, the amount to claimants  
23          as we've calculated range from these  
24          enterprise values that are on the top of  
25          the page, range from about 4.3 billion



HIGHLY CONFIDENTIAL

Page 17

1 to 7-plus billion.

2 The other -- the other factor that  
3 I probably failed to mention before is  
4 some of these have very, very aggressive  
5 financing assumptions, that, frankly, we  
6 don't think are realistic in terms of  
7 too much leverage, not enough equity, or  
8 where is the equity coming from. So  
9 those are the other clarifying things  
10 that we need to factor into these six  
11 remaining bidders.

12 THE COURT: Thank you.

13 SPECIAL MASTER PINCUS: And Your  
14 Honor, I would add that just from a, you  
15 know, sort of you want to do this on,  
16 you know, a piece of paper, the  
17 approximate \$1.9 billion comes off every  
18 one of these, except one is willing to  
19 assume it. So if you just wanted to get  
20 an idea, I mean I think that's something  
21 that you can sort of put you in a  
22 ballpark. Is that fair, ray?

23 MR. SCHROCK: That's fair.

24 THE COURT: Thank you.

25 And in terms of whether a sale

HIGHLY CONFIDENTIAL

Page 18

1 process party might indicate to you all  
2 that they're not a bidder, do you have  
3 an expectation as to the timing by which  
4 that would happen? Does the sale  
5 process order speak to that? Is there  
6 some sort of deadline for that?

7 MR. SCHROCK: Your Honor, as to  
8 when that might occur, we actually  
9 received a request, one of the two  
10 parties, Crystallex, to ConocoPhillips  
11 to -- that they wanted to be able, to  
12 you know, say that publicly very soon,  
13 because they're getting inquiries, you  
14 know, they are a public company, you  
15 know, as well, and so there they're  
16 focused on being able to communicate to  
17 parties out there. You know, we're  
18 still, we still have to discuss it, you  
19 know, with the Special Master, but our  
20 expectation is that they would want to  
21 do that, you know, soon, but there's  
22 not -- you know, I think Chase, you  
23 could correct me -- but, you know, now  
24 that these bids are in, you know, they  
25 indicated previously that they're going

HIGHLY CONFIDENTIAL

Page 19

1 to let us know relatively soon. And  
2 Crystallex has already essentially told  
3 us that they're not going to  
4 participate.

5 MR. BENTLEY: Right, and within the  
6 context of the sales procedures order  
7 now is the time, because it's actually  
8 stated in the negative, meaning we  
9 cannot give copies of the bids to the  
10 sale process parties if they have said  
11 in writing that they plan to credit bid,  
12 and we put that on them and we requested  
13 that they formally confirm it at this  
14 stage before we -- before we give them  
15 the actual bid letters. So we expect  
16 that confirmation to be coming very  
17 soon.

18 THE COURT: Thank you. And  
19 obviously we will be careful not to get  
20 into any arguments about anything that  
21 may end up being litigated, but you  
22 indicated there is potentially another  
23 bidder who, if I understand correctly,  
24 may be didn't meet the round two  
25 deadlines, so might have to ask for some

HIGHLY CONFIDENTIAL

Page 20

1 relief or modification of the sale  
2 procedure order? Do I understand that  
3 correctly that's a possibility out  
4 there?

5 MR. SCHROCK: That's correct, Your  
6 Honor. There's one party that is a late  
7 entry into the process, and there is  
8 also another bidder that was previously  
9 engaged in the process and has submitted  
10 a letter saying, although we didn't  
11 submit a bid, we would like to be deemed  
12 up with somebody to participate in the  
13 process. And so, you know, we're trying  
14 to maintain flexibility to keep as many  
15 parties as possible at the table to  
16 increase value for, for everyone.

17 THE COURT: And I guess coming to  
18 the July 15th scheduled hearing and how  
19 to move forward, give me an idea as to  
20 what you all are envisioning kind of  
21 step by step with making a decision as  
22 to -- I know you need some space for a  
23 process, that I understand would allow  
24 you to come up with your recommendation  
25 as to who, if anyone, I should approve

HIGHLY CONFIDENTIAL

Page 21

1           being a purchaser. Do you envision  
2           making, a filing a motion at that point  
3           asking me to approve bidder X, and  
4           disclosing I suppose as much as you can  
5           about bidder X and their offer somehow,  
6           and that triggering objections that then  
7           would be argued in front of me? Or what  
8           was July 15th in your mind? Was it to  
9           handle all of that, or was it just for  
10          you to formally say it's bidder X and  
11          now if somebody is unhappy with X, the  
12          court will set up, you know, will follow  
13          its procedure for dealing with  
14          objections to it?

15                 MR. SCHROCK: Your Honor, when we  
16                 originally set this up, we thought that,  
17                 you know, the deadlines have been  
18                 pushed, you know, kind of into this  
19                 July 15th date. But this date was going  
20                 to be the date by which we would  
21                 actually make a recommendation to the  
22                 court that we run our process, this is  
23                 the winning bidder, parties can object,  
24                 I suppose if somebody wanted to even try  
25                 and top up again, they could try and do

HIGHLY CONFIDENTIAL

Page 22

1 something like that, whatever their  
2 pleading would be; that's what we were  
3 previously or, you know, we were trying  
4 to maintain optionality and keep tension  
5 on the line to certainly still hit that  
6 date.

7 What we were thinking about is in  
8 light of the numerous competitive bids  
9 and the other circumstances that we were  
10 describing to you, is that we have a --  
11 you know, we could file a status report  
12 with the court, requesting that the  
13 court postpone the sale hearing to a  
14 later date to be determined, then we  
15 have the status conference that is  
16 coming up where we could give an update  
17 to parties. In the meantime, we would  
18 be working with bidders and frankly  
19 trying to work them up, you know, and  
20 through, frankly, formal and informal,  
21 you know -- you know, not serving rounds  
22 of bidding, but frankly, through  
23 negotiation to try and arrive at, you  
24 know, the highest or best value to be  
25 able to propose to the court.

HIGHLY CONFIDENTIAL

Page 23

1           We think it would be premature to  
2           ask you to like set a definitive date  
3           to -- you know, for the insurance sale  
4           hearing just yet, depending on given we  
5           just received the bids last week and  
6           we're still working on understanding  
7           them and pressing them up. But we are  
8           mindful that this date is fast  
9           approaching and we'd like to be able to  
10          get something on the docket that, you  
11          know, at least request the adjourn of  
12          the sale hearing to a date to be  
13          determined here with the status report  
14          relatively quickly.

15                THE COURT: I think what would be  
16                best, I guess, two things:

17                One, as a general matter, the more  
18                that you can make public the sooner,  
19                consistent with your expertise as to not  
20                undermining the substantive process  
21                you're going through to try to maximize  
22                the value that we ultimately, that you  
23                can potentially recommend to me, the  
24                better.

25                All of to say, I'm wondering if

HIGHLY CONFIDENTIAL

Page 24

1 perhaps it might make sense if, in  
2 addition to the status report, which I  
3 think already I've ordered you to do, if  
4 you filed a motion asking me to move the  
5 July 15th date, and put in that motion  
6 as much as you can of the reasoning that  
7 you shared with me today, [REDACTED]

8 [REDACTED]  
9 [REDACTED] if you are  
10 at liberty to disclose that publicly.

11 But I think also the idea that it's  
12 going to take time to sort through the  
13 numerous bids that you have received and  
14 to continue to pursue maximizing the  
15 value. If, also, you could think  
16 through, and maybe propose in that  
17 motion, if not dates, at least a time  
18 frame, yes, but also sort of the order  
19 of steps that what the Special Master is  
20 requesting is, if I'm understanding it  
21 correctly, space to figure out which, if  
22 any, bid you are going to recommend;  
23 then recommend it, in a public filing --

24 MR. SCHROCK: Yes.

25 THE COURT: -- which then



HIGHLY CONFIDENTIAL

Page 25

1           presumably triggers under the sale  
2           procedure order the objections period,  
3           which takes a certain amount of time, to  
4           be followed thereafter by the hearing  
5           that would have perhaps been July 15th  
6           but now will be at some to be determined  
7           date in the future. But if you set up  
8           those steps, that will certainly be  
9           helpful for me, but I would speculate it  
10          may be helpful for all the bidders and  
11          maybe for the market, just to know we're  
12          not just throwing up our hands and  
13          putting this aside. We have a process  
14          in mind, and maybe even a rough  
15          timeframe.

16                 MR. SCHROCK: Your Honor, I think  
17                 that's a great idea. We're happy to put  
18                 together a motion, you know, outlining  
19                 that here over the, you know, quickly  
20                 and we can work with the Special Master  
21                 on that, you know, to put that together  
22                 and I agree putting this out there  
23                 sooner rather than later would be ideal  
24                 and, you know, we're very mindful of  
25                 that as well.

HIGHLY CONFIDENTIAL

Page 26

1 THE COURT: And I think if you make  
2 an effort to at least to see if the sale  
3 process parties would all jointly agree  
4 to your motion that would be helpful,  
5 because I will set a briefing schedule  
6 for hearing objections to your request  
7 to move the July 15th hearing, but I  
8 don't want to spend a lot of time on  
9 that, particularly if you could possibly  
10 indicate if anyone is going to object,  
11 if you know.

12 MR. SCHROCK: And Your Honor, we've  
13 previewed that, you know, this thought  
14 that we may be speaking to you about  
15 this issue, and I can tell you that,  
16 one, we will go through the dates and  
17 the process that we're proposing with  
18 the sale process parties, but each of  
19 the sale process parties, has already  
20 indicate there is no issues with pushing  
21 out that date, and frankly, they were  
22 suggesting that, you know, the same.  
23 That listen, this is getting very tight  
24 and we want to make sure we give them  
25 enough time to, you know, give the

HIGHLY CONFIDENTIAL

Page 27

1 maximum value associated with this  
2 process; but also, you know, people want  
3 to put finality associated with this as  
4 well, but everybody knew that the way  
5 the bid deadline was getting pushed out  
6 to June 11th, that, you know, this was  
7 certainly possibility and they've  
8 already indicated their preference to us  
9 and that's part of what we're  
10 recommending to you today.

11 THE COURT: Okay. Thank you for  
12 that.

13 MR. SCHROCK: Sure.

14 Your Honor, you know, we also, as  
15 part of that motion, I think that, you  
16 know, we will also just preview, we've  
17 previewed a lot of this, Your Honor, as  
18 much as we can. But also, you know, we  
19 will probably -- I just wanted to  
20 highlight that, you know, given the  
21 complexity of the case and the sale  
22 process and just, frankly, the  
23 historical level of litigiousness with  
24 which this matter has progressed that we  
25 may be, you know, thinking about

HIGHLY CONFIDENTIAL

Page 28

1 extending the briefing schedule to just  
2 make sure parties have enough time to  
3 ensure that we have a robust record for  
4 the court in the event of appeals and  
5 just giving everybody sufficient time to  
6 be able to brief this matter.

7 But, you know, we will work with  
8 the parties either -- if we can set a  
9 timeframe and a potential date, we can  
10 actually propose a briefing schedule.  
11 If not, we will certainly highlight that  
12 issue, but we wanted to make Your Honor  
13 aware that we thought that would be  
14 another recommendation that would be  
15 prudent to do so, and I wouldn't think  
16 that would be a particularly surprising  
17 to the court given, everything that's  
18 occurred in this matter.

19 THE COURT: Probably would not  
20 surprise me, no.

21 MR. SCHROCK: And Your Honor, on  
22 the 2020 bondholders, a quick update for  
23 you, that as noted in a response to the  
24 Venezuela's objection regarding the  
25 Special Master's engagement with the

HIGHLY CONFIDENTIAL

Page 29

1           2020 bondholders, we are considering all  
2           of options for addressing the pledge of  
3           the Citgo holding equity for the bonds.  
4           And given these complexities, the  
5           simplest and least contentious path  
6           could be depositing some or, you know,  
7           or substantial portion or even all of  
8           the sale proceeds into escrow to be  
9           distributed pending resolution of the  
10          2020 litigation or other settlement with  
11          the bondholders.

12                 As we continue to evaluate the  
13          round two bids, our assessment of the  
14          most appropriate course of action with  
15          respect to the 2020s are going to be  
16          developed in tandem. We wished we had  
17          the settlement with the 2020  
18          bondholders, Your Honor, unfortunately  
19          we don't at this particular moment. As  
20          we mentioned, it looked like one of the  
21          bidders may have a deal, although  
22          frankly when we contact counsel of the  
23          2020s, they also expressed a little bit  
24          of surprise that there was a deal out  
25          there. So we're trying to figure out if

HIGHLY CONFIDENTIAL

Page 30

1           that's real or not. But upon the  
2           briefing and statements in connection  
3           with the May hearing, any, you know,  
4           method of addressing the 2020s that  
5           falls beyond the scope of authority  
6           already granted to the Special Master is  
7           going to be reflected in a motion for  
8           approval by the court. And we've let  
9           the sale process parties know that, and  
10          we just wanted to let you know, there is  
11          no deal at this moment. We're looking  
12          at it and, you know, there is this  
13          additional wrinkle with one party  
14          potentially having a deal on the table.  
15          If we could make that deal available to  
16          all parties, that would obviously be  
17          another method of resolving this.

18                 The 2nd Circuit is, know, is still  
19          considering the parties' submissions  
20          with regard to how to proceed after the  
21          New York Court of Appeals decision and  
22          in the Southern District of New York,  
23          over the last month or so, PDVH and the  
24          2020 bonds have exchanged a series of  
25          letters and the Southern District of New

HIGHLY CONFIDENTIAL

Page 31

1 York action, the PDVH bondholders, among  
2 other things, are seeking to modify the  
3 stay to prevent the Venezuela parties  
4 from seeking to use the assets of Citgo,  
5 the assets underlying the collateral  
6 securing the judgments, that is to  
7 settle claims with creditors of the  
8 Venezuela parties to preserve their  
9 indirect ownership as they see it in  
10 Citgo.

11 In response, the Venezuela parties  
12 have asked the court to schedule a  
13 hearing to, among other things, discuss  
14 negotiations with the bondholders and  
15 the Special Master, the Southern  
16 District of New York has taken no action  
17 on those letters to date. We are  
18 watching them and we mention them, among  
19 other things, Your Honor, but just to  
20 the extent that any parties were going  
21 to take action that would either hinder,  
22 delay, have an effect on the sale  
23 process that is before this court, we  
24 are, you know, watching those actions  
25 and, you know, communicating with

HIGHLY CONFIDENTIAL

Page 32

1 parties to make sure that, you know, if  
2 we need to be, we many, you know, let  
3 the court know and be able to deal with  
4 that moving forward.

5 But just so you know there is still  
6 some underlying litigation between those  
7 parties that are, you know, seeking to  
8 make some moves related to the stay that  
9 we're keeping a close eye on.

10 THE COURT: Thank you.

11 MR. SCHROCK: On the sale notice  
12 publication, pursuant to the  
13 requirements of the sale procedures  
14 order, the second round of sale notices  
15 pertaining to the second round of bid  
16 deadline were published in the Wall  
17 Street Journal, USA Today, Wilmington  
18 News Journal and the Delaware State News  
19 in the two weeks leading up to the round  
20 two bid deadline.

21 The Special Master also  
22 successfully published the sale noticed  
23 in the Venezuelan print source La Razon,  
24 R-A-Z-O-N, I may be mispronouncing that,  
25 on June 9, 2024.



HIGHLY CONFIDENTIAL

Page 33

1           We have kept on OFAC, we kept OFAC  
2           updated throughout the sales process. I  
3           mentioned to you the outreach from the

4           [REDACTED]

5           [REDACTED]

6           [REDACTED]

7           [REDACTED]

8           We think that by providing public notice  
9           associated with this, you know, the  
10          request to move the date, that we could  
11          forgo the need to engage in anything  
12          more public, but our preference is with

13          [REDACTED]

14          [REDACTED]

15          [REDACTED], and we will keep Your  
16          Honor updated as we have more  
17          information.

18                 Then finally, Your Honor, that as  
19                 directed we will be preparing an agenda  
20                 for the July 2 status conference in  
21                 conjunction with the sale process  
22                 parties. At this time we -- you know,  
23                 we envision providing interested parties  
24                 with an update on the marketing process  
25                 to date, as well as information on next

HIGHLY CONFIDENTIAL

Page 34

1 steps, to the extent that the Special  
2 Master has formally decided on next  
3 steps by July 2nd.

4 Of course, Your Honor, if we file  
5 the motion to extend the date, we  
6 certainly could also -- haven't heard  
7 and, you know, Your Honor can decide  
8 that in due course.

9 But if Your Honor has any other  
10 topics you'd like us to cover at the  
11 status conference, please let us know  
12 and we will be sure to include them and  
13 discuss with the sale process parties in  
14 advance of July 2nd. And just to state  
15 is it explicitly, Your Honor, we're very  
16 mindful of, you know, the desire, the  
17 court's desire. This is a public  
18 process. We are trying to make as much  
19 public as possible without compromise  
20 the competitive tension that we have in  
21 raising the price and getting as much  
22 proceeds as possible for the attached  
23 judgments.

24 THE COURT: And I appreciate that,  
25 and that might be a point worth making

HIGHLY CONFIDENTIAL

Page 35

1 in the motion.

2 MR. SCHROCK: We will certainly do  
3 that. We will certainly do that.

4 THE COURT: I think that that's a  
5 point the public should understand.

6 MR. SCHROCK: Yes. And that's all  
7 we had for today, Your Honor. Unless  
8 any other members of the team had  
9 something that I missed or wanted to  
10 correct anything that I might have  
11 stated?

12 THE COURT: Let me see if any of  
13 the members of my team have anything  
14 else they want to address. Li?

15 MR. ZHANG: Nothing from me. Thank  
16 you.

17 THE COURT: Quinn, anything?

18 MS. WALKER: Nothing right now.  
19 Thanks.

20 THE COURT: All right. Well, this  
21 has been very helpful. It was nice to  
22 see all of you and it seems I have some  
23 filings I can anticipate and then we  
24 will all see each other on I think it's  
25 July 2nd, but whatever has been

HIGHLY CONFIDENTIAL

Page 36

1 previously scheduled. I will see you  
2 there.

3 Thank you, everyone. Bye-bye.

4 (Time noted: 10:06 a.m.)

5

6

7

8

9

10

11

12

13

14

15

16

17

18

19

20

21

22

23

24

25

HIGHLY CONFIDENTIAL

Page 37

1 C E R T I F I C A T E

2 STATE OF NEW YORK )

3 : ss.

4 COUNTY OF NEW YORK )

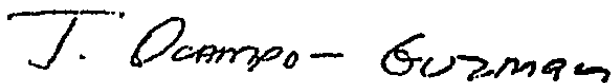
5

6 I, Jennifer Ocampo-Guzman, a  
7 Certified Realtime Shorthand Reporter  
8 and Notary Public within and for the  
9 State of New York, do hereby certify  
10 that the within is a true and accurate  
11 transcript of the proceedings taken on  
12 June 18, 2024.

13 I further certify that I am not  
14 related to any of the parties to this  
15 action by blood or marriage and that I  
16 am in no way interested in the outcome  
17 of this matter.

18 IN WITNESS WHEREOF, I have  
19 hereunto set my hand this 21st day of  
20 June 2024.

21

22 

23 JENNIFER OCAMPO-GUZMAN, CRR, CLR

24

25

# Crystallex v. Bolivarian Republic of Venezuela

## Special Master *Ex Parte* Meeting Discussion Materials

---

June 18, 2024

## Agenda

---

1 Sale Process Update

2 Miscellaneous Items

## Sale Process Update

### Marketing Process

- Following Round 1 IOIs in January, nine bidders were advanced to the participate in further diligence, with eight bidders remaining engaged in due diligence efforts up to the bid date
- As of June 14, 2024, Evercore has coordinated with CITGO management to address the following diligence efforts with bidders:
  - ▶ 52 diligence calls with subject matter experts
  - ▶ 42 site visits and 8 management presentations
  - ▶ Addressed more than 2,000 questions from bidders with approximately 94% currently closed

### Second Round Bids

- Round 2 Bids were due on June 11, 2024, at 5:00 PM CT
- The Special Master received six bids with an additional bidder considering coming into the process
  - ▶ Additional bidder executed an NDA on June 13, 2024
- Of the six bids received, two bids were submitted by credit bidders
- The bids received had an enterprise value range from \$6.3 billion to \$8.78 billion
  - ▶ Enterprise value does not account for consideration in the applicable bid related to the PDVSA 2020 Bondholders, if any, or any necessary adjustments for items such as pro forma debt, working capital, or treatment of transaction expenses, among others

### Next Steps

- The Special Master and his advisors are in the process of engaging with bidders to clarify certain bid terms and work through important contractual issues in an effort to increase each bid's proceeds available for distribution
- The Special Master expects this process of engaging with bidders to take some time and will inform the appropriate next steps
- Given the current timeline, the Special Master believes the Sale Hearing should be delayed beyond the existing July 15, 2024 tentative date



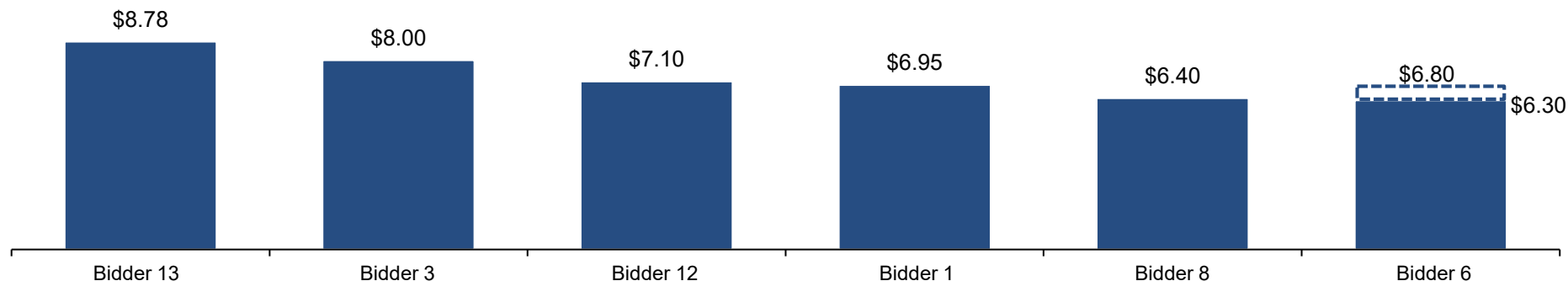
## Summary of Bids Received

- Amounts below represent the enterprise value attributed to CITGO by the applicable bidder and do not represent sale proceeds available for distribution.

### Round 2 Bids

(\$ in billions)

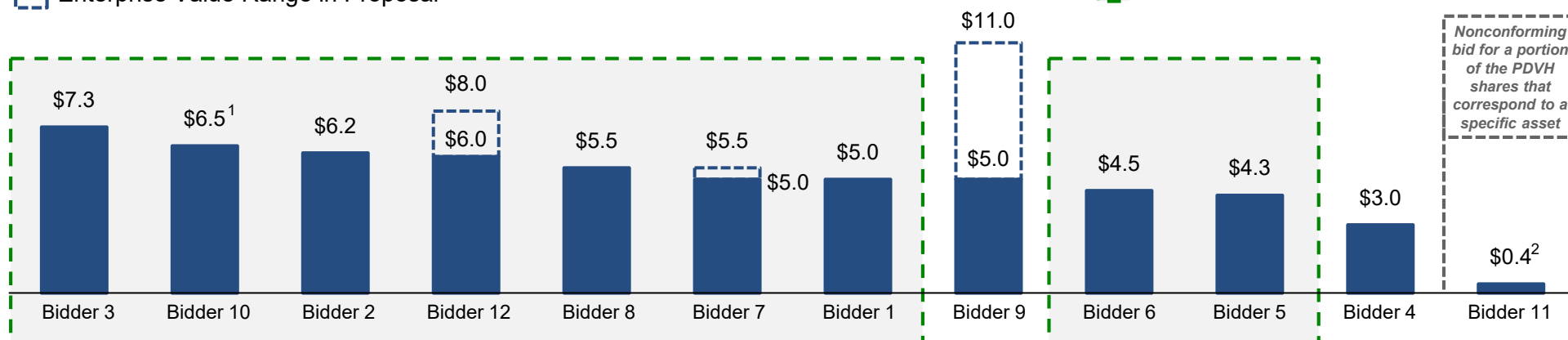
 Earnout Consideration



### Round 1 Indications of Interest

 Enterprise Value Range in Proposal

 Parties permitted to proceed to Round 2



1. Assumes Bidder 10 raises capital to fund senior claimants

2. Nonconforming bid for a portion of the PDVH shares equivalent to Bidder 11's valuation of the Corpus Christi refinery

## Miscellaneous Items

---

1 Update regarding PDVSA 2020 Bondholders

2 Sale Notice Publication

3 OFAC Update

4 Status Conference Agenda

**Exhibit J**

**Transcript of August 29, 2024 *Ex Parte* Meeting of the Court and the Special Master**

Page 1

\* \* \* HIGHLY CONFIDENTIAL \* \* \*  
IN THE UNITED STATES DISTRICT COURT  
FOR THE DISTRICT OF DELAWARE

CRYSTALLEX )  
INTERNATIONAL )  
CORPORATION, )  
Plaintiff, )  
v. ) Misc. No. 17-151-LPS  
BOLIVARIAN REPUBLIC )  
OF VENEZUELA, )  
Defendant. )  
----- )

HIGHLY CONFIDENTIAL

Transcript of Ex Parte Meeting  
August 29, 2024  
4:00 PM

B E F O R E: Honorable Leonard R. Stark

1 \* \* \* HIGHLY CONFIDENTIAL \* \* \*

2 APPEARANCES:

3

4 Robert B. Pincus, Special Master

5

6 WEIL, GOTSHAL & MANGES LLP

767 Fifth Avenue

7

New York, New York 10153

Ray C. Schrock, Esq.

8

Alexander W. Welch, Esq

Eoghan Keenan, Esq.

9

Chase A. Bentley, Esq.

David Lender, Esq.

10

Aaron J. Curtis, Esq.

Maggie Burrus, Esq.

11

Jared Friedmann, Esq.

12

Evercore

2 Houston Center

13

909 Fannin Street

Houston, Texas 77010

14

Ray Strong, Senior Managing Director,

15

and

16

Evercore

55 East 52nd Street

17

New York, New York 10055

William Hiltz, Senior Managing Director

18

David Ying, Senior Managing Director

Daniel Lakhdhir, Vice President

19

Michael Winterholler

20

21

22

23

24

25

\* \* \* HIGHLY CONFIDENTIAL \* \* \*

MR. SCHROCK: Good afternoon, Your Honor. Ray Schrock on behalf of the Special Master. Thanks for meeting with us today.

In terms of meeting topics we have marketing process update and then we just wanted to discuss, preview one issue related to the alter ego matters that are pending in different courts and some thoughts about how to deal with that because, as we'll talk about, there are some issues for all the bidders I think they see those pending matters and they are asking for some clarity around how that's going to affect, if at all, the sale process. But perhaps we can put up the slides.

Thanks, Chase.

So we'll talk a little bit about the illustrative distribution of proceeds as well, Your Honor.

Let's go ahead and flip the slide, Chase.

So as Your Honor is aware, the Special Master had to pivot away from focused negotiations with a lead bidder, with one lead

\* \* \* HIGHLY CONFIDENTIAL \* \* \*

bidder when the parties could not come to agreement on material terms of a transaction. And then we pivoted to another lead bidder who we'll refer to as the exclusive bidder here on the slides. That pivot to exclusive bidder resulted in productive discussions and advancement towards the execution of definitive documentation and to date, and so to facilitate those discussions on August 8th we granted exclusivity lasting until September 3rd and we've recently extended that to September 10th. Now, granting exclusivity means that the Special Master will not essentially do any of these things, solicit, initiate or encourage an alternative proposal, participate in discussions with or furnish non-public information in connection with or for the purpose of facilitating alternative proposal or entering into a letter of intent. Essentially we're working with them.

We have the right to terminate exclusivity if the exclusive bidder decreases the proposed purchase price provided in the exclusive bidder's revised bid dated July 10th

\* \* \* HIGHLY CONFIDENTIAL \* \* \*

and the Special Master and exclusive bidder, we made a lot of progress on finalizing the diligence as well as the definitive sale documentation. We -- I would just say that our thought here is that we're really trying to finish this up obviously as quickly as possible. We do have exclusivity pending through September 10th. It's possible that the bidder may ask to go to the 16th to execute. That's really what they are targeting for all their investment committee approvals and really being done. We told them, listen, we want to get this done faster than that. We're pushing them as hard as we can. Obviously it's a voluntary transaction and extremely complex and I would say even for those of us that work on complex transactions, this is on the far end of very extreme. And those parties in particular I think are focused on not just the issues with the business and CITGO has been working with us very cooperatively I'd say during this time, but just getting comfort in how this transaction will relate to any other



\* \* \* HIGHLY CONFIDENTIAL \* \* \*

litigation, how is it going to be a final order, can we get there in time, but in general I think we're heading in the right direction and we're optimistic that we are going to get there with this bidder and we are very hopeful that that will occur. And we're certainly, it's been a lot of work but I think all parties here on the phone would say we are in a good spot with them at the moment.

We've also continued settlement negotiations with the 2020 bond holders regarding their release of the equity pledge and we have allowed the exclusive bidder obviously to see what would be proposed settlement terms. They remain supportive. And worked with them around the seeking the escrow, a portion of the sale proceeds, the distribution of which will depend on the outcome of the 2020 litigation. That's in the event we don't reach a deal. We are still working with them and in fact, Your Honor, if we had this update frankly 48 hours ago we might have had a different answer here but they've recently come back to the table and

\* \* \* HIGHLY CONFIDENTIAL \* \* \*

said we're ready to strike a deal. We'll see if that ultimately comes to fruition, but we have been working with the sales process parties as well as the exclusive bidder to make the sale work either way. So we are not counting on it, but we think it's a whole lot easier if we do have a deal with the 2020 bond holders.

Let's go to the summary of sales proceeds and just talk a little bit about -- this is illustrative, but for illustrative sale proceeds available for distribution of 7 billion and there is a 2020 bond holder accrual claimed through 8/31/25, that's just rough justice for what we -- if there wasn't allowed to be an accrual and they were successful ultimately what the amount of the claim would be or if we had to escrow those proceeds. And then the illustrative settlement amount here with the 2020 bond is 1.8 billion. So you can see how the waterfall would work under one scenario with the settlement and attached judgements going to receive a pretty large distribution and who

\* \* \* HIGHLY CONFIDENTIAL \* \* \*

would be covered, which we are essentially into he RASERO (phonetic) and potentially ConocoPhillips and with the escrow there is amounts that are escrowed that could potentially be lower depending on the outcome of the litigation.

Now, escrowing proceeds and getting this type of relief is obviously, I think all of us would say, listen, we're on novel ground with doing all of these things but would do see a path and it's something we have been working with our litigation counsel pretty actively in coming up with solutions.

I don't hear from the Evercore or Bob, anything else you would like to hit here how this could work but I would still say if it's going to come together, I think it's going to be -- there's a couple -- I would say, Your Honor, I see one scenario where we strike a deal soon. There could be a scenario where we don't have a deal with the 2020s but continue to work on it pending entry of a sale order and we are very focused, though, no matter what, that the signing of the purchase

\* \* \* HIGHLY CONFIDENTIAL \* \* \*

agreement with the buyer is not going to depend on whether or not we have a deal with the 2020s, that we can go forward regardless.

MR. PINCUS: I would just add to this we have not found a buyer willing to take subject to the claim of the bond holders, which would be wonderful if we could but there has not been anybody that raised their had to do that.

JUDGE STARK: You were talking over a little bit at the beginning. My assumption, by showing me the two scenarios, is that the exclusive bidder you are talking to is potentially comfortable with both of these scenarios, that is escrowing because that litigation remains open or having that litigation settled.

MR. SCHROCK: That's correct. What they are not comfortable with is just continuing to litigate, owning the company and then continuing to litigate without any potential scenario, potential settlement. So on the escrow piece they are going to be, without getting too much in the details because we

\* \* \* HIGHLY CONFIDENTIAL \* \* \*

would be filing relief before Your Honor, we would be seeking relief in conjunction with the escrow to still get a release of the equity pledge. That's probably as far as I would go with it, we'd still be seeking court relief. It's a much more direct route just reaching a deal we think with the 2020 bond holders. We think it's consistent with the guidance we received to date and you can see a clear path certainly to get there, we believe.

JUDGE STARK: When I said okay or all right, I just want the record to be clear I'm indicating I think I understand what you are saying, I am not approving anything.

MR. SCHROCK: We understand. So why don't we go ahead and flip the slide, guys, and I'm going to turn over to my partner David Lender to talk to you a little bit about the alter ego and some potential thoughts we had around this. This is a preview.

MR. LENDER: Good afternoon, Your Honor. It's David Lender from Weil.

This is another issue that each of the bidders has raised as something we need to

\* \* \* HIGHLY CONFIDENTIAL \* \* \*

come up with a resolution for. There are three lawsuits that are out there in Texas and in Southern District that were brought by three creditors who actually appeared before Your Honor. They appeared in the sense they went through certain stages of the multi-step process. One went all the way through and is in fact an additional judgement creditor, and two, started the process but didn't make it all the way through. They have filed lawsuits in these other jurisdictions in Texas and New York where the claim that they've asserted is they are seeking to hold PDVH (phonetic) liable for their judgements against PDVSA and then what they are trying to do if they can under alter ego theory and what they are asking for is to attach the assets of PDVH which are the CITGO shares, the same assets that we're trying to sell before Your Honor. And so we feel like we -- not we but also the bidders, including the bidder we are talking about, feels it's necessary that we have to address these issues because obviously they are concerned about effectively buying assets

\* \* \* HIGHLY CONFIDENTIAL \* \* \*

and then somebody trying to grab them elsewhere. So we wanted to give you the heads up that we're intending to file a motion before Your Honor seeking an injunction to prevent them from continuing to do that and we would also inform those three courts that we've done that. We wanted to give you the heads up on this obviously before we filed a motion before you so you can understand why we're doing and why we feel we need to do this.

JUDGE STARK: I appreciate the heads up. And I'm not trying to commit you to timing or anything but is there anything you can say about whether you anticipate filing this as a joint motion between the Special Master and perhaps this exclusive bidder, or might I expect to see it in advance of those September dates that Mr. Schrock mentioned?

MR. LENDER: We were anticipating filing this imminently, like maybe as early as tomorrow or early next week. If we do it that way, which is what our current thinking is, it would be brought on behalf of the Special

1                   \* \* \* HIGHLY CONFIDENTIAL \* \* \*

2           Master and in facilitation of his mandate.

3                   JUDGE STARK: I would just encourage,  
4           and you may have an obligation under the rules  
5           anyway, but to confer with any other entities  
6           you think may have a view as to whether they  
7           are going to oppose it or not but if and when  
8           you file the motion I'll deal with it.

9                   MR. LENDER: Thank you, Your Honor.

10                  MR. SCHROCK: Thank you. I think that,  
11           I believe that, you know, concludes the  
12           commentary that we had. We wish that we were  
13           in front of you and we really tried very hard  
14           to be done with the share purchase agreement.  
15           I can just tell you that we have a very  
16           committed, exclusive bidder. We are all  
17           committed to getting this done on every level  
18           and all of the parties, including the sale  
19           process parties we've been consulting with  
20           extensively during this time. I mean, it has  
21           been like multiple times a week we are on the  
22           phone with these parties and so I feel  
23           confident in telling you from our perspective  
24           everybody has been kept very much up to speed,  
25           they understand the state of play, and we are



\* \* \* HIGHLY CONFIDENTIAL \* \* \*

pushing forward and including anything that we're talking to Your Honor about we're certainly talking to the other parties about.

JUDGE STARK: I appreciate that. I'm not surprised to hear that this is a very complicated transaction, you're all working hard. I'm not trying to put anymore pressure on you but you will notice, as you may have anticipated, Lee has now moved on. I haven't sat down with how many law clerks I've worked through on this case and related litigation. Quinn is still with us but I can't keep her forever either. I'm sure everyone involved can find one way or another to push this along and wrap it up one way or another.

MR. SCHROCK: We're trying very hard, Your Honor. And we look forward to working with Quinn obviously.

JUDGE STARK: Anything else you wanted to raise?

All right. You know how to reach her and to reach me if and when you want to have another call like this but I know we've got some deadlines there, like the deadlines

1                   \* \* \* HIGHLY CONFIDENTIAL \* \* \*

2                   coming up, and we will all proceed  
3                   accordingly.

4                   MR. PINCUS: Thank you for your time,  
5                   again. We much appreciate it. Have a good  
6                   Labor Day weekend.

7                   JUDGE STARK: Thank you all as well.  
8                   Thank you so much.

9                   (Time noted 4:15 p.m.)

10

11

12

13

14

15

16

17

18

19

20

21

22

23

24

25

CERTIFICATE

STATE OF NEW YORK )

: SS.:

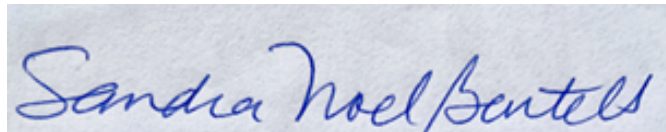
COUNTY OF ORANGE )

I, SANDRA NOEL BARTELS, a Notary Public for  
and within the State of New York, do hereby  
certify:

That the statements as herein set forth is a  
true record of the statements given.

I further certify that I am not related to  
any of the parties to this action by blood or  
marriage, and that I am in no way interested in  
the outcome of this matter.

IN WITNESS WHEREOF, I have hereunto set my  
hand this 30th day of August 2024.



SANDRA NOEL BARTELS

\* \* \*